

Oracle® Payables

Implementation Guide

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Contents

Send Us Your Comments

Preface

1 Payables Setup

Setting Up Oracle Payables	1-1
Payables Setup Steps Summary.....	1-2
Lookups	1-22
Distribution Sets	1-25
Voucher Numbers and Document Sequences	1-27
Document Sequences.....	1-28
Document Categories.....	1-29
Sequence Assignments.....	1-31
Sequential Numbering Profile Option	1-31
Document Sequencing Setup Examples.....	1-32
Implementing Sequential Voucher Numbering.....	1-33
Making a Sequence or Assignment Inactive.....	1-34
Choosing a Ledger	1-34
Financials Options	1-35
Financials Options Window Reference.....	1-36
Accounting Financials Options.....	1-36
Encumbrance Financials Options.....	1-37
Human Resources Financials Options.....	1-39
Supplier - Purchasing Financials Options.....	1-40
Tax Financial Options.....	1-41
Accounting Methods	1-42
Setting up Your Accounting Method.....	1-46

Payables System Setup	1-47
Payables Options	1-49
Payables Options Window Reference.....	1-51
Accounting Options Payables Options.....	1-52
Approval Payables Options.....	1-57
Currency Payables Options.....	1-58
Expense Report Payables Options.....	1-60
Interest Payables Options.....	1-61
Invoice Payables Options.....	1-63
Matching Payables Options.....	1-65
Payment Payables Options.....	1-67
Reports Payables Options.....	1-67
Tax Reporting Payables Options.....	1-68
Withholding Tax Payables Options.....	1-69
Supplier Payables Options.....	1-71
Special Calendar	1-72
Payment Terms	1-74
Payment Terms Window Reference.....	1-77
PAYMENT TERMS RESTRICTIONS:.....	1-79
Signing Limits	1-79
Invoice Tolerances	1-80
Invoice Hold and Release Names	1-81
Invoice Hold and Release Names Window Reference.....	1-84
Setting Up Invoice Approval Workflow	1-86
Invoice Approval Workflow Process Activities.....	1-90
Invoice Approval Workflow Negotiation Subprocess.....	1-94
Interest Rates	1-96
Countries and Territories	1-97
Tax Codes	1-98
Defining Tax Codes for Withholding Taxes.....	1-98
Withholding Tax Groups	1-100
Banks	1-102
Funds Disbursement Process.....	1-103
Bank Charges	1-105
Withholding Tax Certificates and Exceptions	1-106
Reporting Entities	1-107
Income Tax Regions	1-109
Controlling the Status of Payables Periods	1-111
Closing an Accounting Period.....	1-112
Aging Periods	1-114
Payables Implementation Information	1-115

Customizing Your Supplier Letters.....	1-115
Implementing the Invoice Payments Descriptive Flexfield.....	1-118
Customizing Automatic Withholding Tax.....	1-119
Using the Multiple Organization Support Feature.....	1-119
Setting Up Print Styles and Drivers for the Supplier Mailing Labels Report.....	1-120
Setting the Query Driver Parameter for 1099 Reporting.....	1-125
 2 Oracle Payables Command Center Setup	
Payables Command Center Configuration	2-2
Setting Up Payables Command Center.....	2-2
Setup and Configuration Steps for Payables Command Center.....	2-2
Profile Options for Payables Command Center.....	2-2
Configuring Descriptive Flexfields for Search.....	2-3
Loading Payables Command Center Data.....	2-4
 3 Invoices	
Setting Up Your System for Matching	3-1
XML Invoices	3-2
XML Invoice Transaction Limitations.....	3-3
Setup for XML Invoices	3-4
Message Map Detail	3-7
Tax on XML Invoices.....	3-14
Processing Oracle XML Gateway Invoice Records.....	3-14
Tax Handling for XML Invoices.....	3-16
Payables Open Interface Workflow	3-16
 4 Expense Reports and Credit Cards	
Setting Up Credit Card Programs	4-1
Code Sets Window.....	4-4
Card Programs Window.....	4-6
GL Account Sets Window.....	4-10
Profiles Window	4-10
Credit Cards Window.....	4-13
AP Procurement Card Employee Verification Workflow.....	4-15
AP Procurement Card Manager Approval Transaction Workflow	4-23
Configuring Procurement Card Web Pages Using Web Application Dictionary.....	4-31
Payables Procurement Card Transactions Interface Table.....	4-32
Using SQL*Loader to Populate the Payables Open Interface Tables.....	4-33
Credit Card Management	4-35
Credit Card Transactions Loader Preformat	4-36

US Bank Visa Transaction Loader	4-37
Bank of America Visa Transaction Loader	4-37
Diner's Club Transaction Loader	4-38
American Express Transaction Loader	4-38
Credit Card Transaction Loader and Validation Programs.....	4-39
MasterCard CDF and MasterCard CDF3 Transaction Loader and Validation Programs	4-39
Visa VCF 3/4 Transaction Loader and Validation Program	4-40
US Bank Visa Transaction Loader and Validation Program	4-40
Diner's Club Transaction Loader and Validation Program	4-40
American Express Transaction Loader and Validation Program	4-41

5 Payments

Setting Up Your System for Bills Payable.....	5-1
---	-----

6 Foreign Currency

Foreign Currency Transactions.....	6-1
------------------------------------	-----

7 Accounting

How Feature Setup Affects What Details Are Recorded for Accounting Events	7-1
How Payables Setup Controls Accounting Entries.....	7-1
Subledger Accounting Setup in Payables.....	7-3

8 Other Topics

Positive Pay Setup.....	8-1
Automatic Interest Prompt Payment Support.....	8-1
Enabling Automatic Offsets.....	8-2
Setting Up Payables for Budgetary Control.....	8-3
Setting Up Intercompany Accounting.....	8-4
Petty Cash Funds.....	8-5

A Profile Options

Profile Options in Payables.....	A-1
Profile Options Summary	A-1
Profile Options in Payables.....	A-4
Profile Options for Internet Expenses.....	A-5
Profile Options in Projects.....	A-6
Profile Options in General Ledger	A-6
Profile Options in Application Object Library.....	A-7

Profile Options for Multiple Organization Support.....	A-7
B Function Security	
Function Security in Payables.....	B-1
C Attachments	
Attachments in Payables.....	C-1
D Oracle Payables Alerts	
Using Oracle Alert for Exception Reporting.....	D-1
Invoices on Price Hold	D-2
Invoices on Quantity Received Hold	D-3
Invoices on Quantity Ordered Hold	D-4
Receipt Holds	D-5
E Implementing the Java Bank Class	
Implementing the Java Bank Class for Bank Transmissions.....	E-1
Bank Class Method Descriptions.....	E-9
Bank Class Setup.....	E-15

Index

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Oracle Payables Implementation Guide, Release 12.2

Part No. E48761-15

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- Are the implementation steps correct and complete?
- Did you understand the context of the procedures?
- Did you find any errors in the information?
- Does the structure of the information help you with your tasks?
- Do you need different information or graphics? If so, where, and in what format?
- Are the examples correct? Do you need more examples?

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Preface

Intended Audience

Welcome to Release 12.2 of the *Oracle Payables Implementation Guide*.

This guide assumes you have a working knowledge of the following:

- The principles and customary practices of your business area.
- Computer desktop application usage and terminology.

If you have never used Oracle E-Business Suite, we suggest you attend one or more of the Oracle Applications training classes available through Oracle University.

See Related Information Sources on page xiv for more Oracle E-Business Suite product information.

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Structure

- 1 Payables Setup
- 2 Oracle Payables Command Center Setup
- 3 Invoices
- 4 Expense Reports and Credit Cards

- 5 Payments
- 6 Foreign Currency
- 7 Accounting
- 8 Other Topics
- A Profile Options
- B Function Security
- C Attachments
- D Oracle Payables Alerts
- E Implementing the Java Bank Class

Related Information Sources

Integration Repository

The Oracle Integration Repository is a compilation of information about the service endpoints exposed by the Oracle E-Business Suite of applications. It provides a complete catalog of Oracle E-Business Suite's business service interfaces. The tool lets users easily discover and deploy the appropriate business service interface for integration with any system, application, or business partner.

The Oracle Integration Repository is shipped as part of the Oracle E-Business Suite. As your instance is patched, the repository is automatically updated with content appropriate for the precise revisions of interfaces in your environment.

Do Not Use Database Tools to Modify Oracle E-Business Suite Data

Oracle **STRONGLY RECOMMENDS** that you never use SQL*Plus, Oracle Data Browser, database triggers, or any other tool to modify Oracle E-Business Suite data unless otherwise instructed.

Oracle provides powerful tools you can use to create, store, change, retrieve, and maintain information in an Oracle database. But if you use Oracle tools such as SQL*Plus to modify Oracle E-Business Suite data, you risk destroying the integrity of your data and you lose the ability to audit changes to your data.

Because Oracle E-Business Suite tables are interrelated, any change you make using an Oracle E-Business Suite form can update many tables at once. But when you modify Oracle E-Business Suite data using anything other than Oracle E-Business Suite, you may change a row in one table without making corresponding changes in related tables. If your tables get out of synchronization with each other, you risk retrieving erroneous information and you risk unpredictable results throughout Oracle E-Business Suite.

When you use Oracle E-Business Suite to modify your data, Oracle E-Business Suite automatically checks that your changes are valid. Oracle E-Business Suite also keeps track of who changes information. If you enter information into database tables using database tools, you may store invalid information. You also lose the ability to track who has changed your information because SQL*Plus and other database tools do not keep a record of changes.

Payables Setup

Setting Up Oracle Payables

Follow the steps in the following chart to set up your Payables system. The chart shows you where to read in detail about the setup step. The Window Name(s) column shows you in which window(s) you perform the step, and if the window is available only if you use a specific responsibility or product. The Required column shows you if the step is required, optional, required with defaults, or conditionally required.

If you use this chart in online help, then you can easily access any documentation in other books by using hypertext links

Important: If you use the Oracle Applications Multiple Organization Support feature to use multiple ledgers for one Payables installation, read the *Oracle E-Business Suite Multiple Organizations Implementation Guide* before proceeding.

Important: If you use the Reporting Currencies feature to record transactions in more than one currency, read the *Oracle E-Business Suite Multiple Organizations Implementation Guide* before proceeding.

For more information, see: *Oracle Financials Implementation Guide*.

Setting Up Underlying Oracle Applications Technology

The setup steps in this chapter tell you how to implement the parts of Oracle Applications specific to Oracle Payables.

You need to complete several setup steps, including:

- performing systemwide setup tasks such as configuring concurrent managers and printers

- managing security, which includes setting up responsibilities to allow access to a specific operating unit and assigning individual users to one or more of these responsibilities

For more information, see: *Overview of Function Security, Oracle E-Business Suite System Administrator's Guide Documentation Set*.

Also, if your product uses Oracle Workflow, for example, to manage your invoice approval process, you need to set up Oracle Workflow.

For more information, see: *Oracle Workflow User's Guide*.

Payables Upgrade Steps

If you have upgraded from a previous release of Payables, review *Oracle Financials and Oracle Procurement Functional Upgrade* for information on new and changed features. Consult the *Oracle E-Business Suite Upgrade Guide: Release 11i to Release 12* for details on how to upgrade.

Payables Setup Steps Summary

Applications Setup Steps:

The following table shows the common applications setup steps that you need to complete when you set up Payables. For more information, see: *Common Applications, Oracle Financials Implementation Guide*.

Step Number	Required?	Applications Setup Step Description	Window Name(s)
Step 1	Required	Create application user sign-ons and passwords. See: Users Window, <i>Oracle Applications System Administrator's Guide</i> .	System Administrator responsibility: Users Oracle E-Business Suite System Administrator's Guide

Step Number	Required?	Applications Setup Step Description	Window Name(s)
Step 2	Required	Define your chart of accounts. See: Defining Your Chart of Accounts, <i>Oracle General Ledger Implementation Guide</i>, and Defining Your Account Structure, <i>Oracle General Ledger Implementation Guide</i>	General Ledger: multiple windows
Step 3	Optional	Define descriptive flexfields. The structure of the Descriptive Flexfields (datatypes, value sets) should be consistent among windows that share flexfield information. For example, flexfields in the Quick Invoices, Distributions Sets, Invoices, and Distributions windows must all have the same structure to work properly. See: Defining Descriptive Flexfields, <i>Oracle Applications Flexfields Guide</i>.	System Administrator responsibility: multiple windows
Step 4	Optional	Enable currencies that you plan to use. See: Currencies Window, <i>Oracle General Ledger User Guide</i>.	Currencies

Step Number	Required?	Applications Setup Step Description	Window Name(s)
Step 5	Optional	If you want to enter foreign currency transactions, define additional rate types, and enter your daily rates. See: Defining Conversion Rate Types, <i>Oracle General Ledger User's Guide</i>, Entering Daily Rates, <i>Oracle General Ledger User's Guide</i>, and Foreign Currency Transactions, <i>Oracle Payables User's Guide</i>.	General Ledger: 1) Conversion Rate Types and 2) Daily Rates
Step 6	Required	Define your accounting period types and accounting calendar periods. See: Defining Period Types, <i>Oracle General Ledger Implementation Guide</i>, and Defining Calendars, <i>Oracle General Ledger Implementation Guide</i>.	1) Period Types and 2) Accounting Calendar
Step 7	Required	Define a ledger. Specify a ledger name and assign it a calendar, ledger currency, and a chart of accounts structure. See: Defining Ledger Sets, <i>Oracle General Ledger User's Guide</i>.	(Define) Ledger Sets

Step Number	Required?	Applications Setup Step Description	Window Name(s)
Step 8	Required	After choosing your ledger, use the Application Developer responsibility to set the SET_OF_BOOKS_ID profile option to Updateable. See: Overview of User Profiles, <i>Oracle Applications System Administrator's Guide</i>, and Setting User Profile Options, <i>Oracle Applications System Administrator's Guide</i>	Application Developer responsibility: Profiles

Step Number	Required?	Applications Setup Step Description	Window Name(s)
Step 9	Required	After choosing your ledger, use the System Administrator responsibility to set the GL: Data Access Set profile option. If you are not using multiple organizations feature, set the option for the Oracle Payables application. If you are using multiple organizations feature, set the option for each unique combination of organization and responsibility. See: Overview of User Profiles, <i>Oracle Applications System Administrator's Guide</i>, and Setting User Profile Options, <i>Oracle Applications System Administrator's Guide</i>.	System Administrator responsibility: System Profile Values

Financials Setup Steps:

The following table shows the Financials setup steps that you need to complete when you set up Payables. For more information, see: Financial Common, *Oracle Financials Implementation Guide*.

Step Number	Required?	Financials Setup Step Description	Window Name(s)
Step 1	Required with Defaults	Define Payables Lookups. See: Lookups, page 1-22.	Oracle Payables Lookups

Step Number	Required?	Financials Setup Step Description	Window Name(s)
Step 2	Required with Defaults	Define Purchasing Lookups. See: Defining Lookup Codes, <i>Oracle Purchasing User Guide</i>.	Oracle Purchasing Lookups
Step 3	Optional	Define distribution sets. You can use a distribution set to automatically enter distributions for an invoice. If you use Multiple Organization Support, perform this step for each organization. See: Distribution Sets, page 1-25.	Distribution Sets
Step 4	Optional	If you use Payables to enter employees in your enterprise, enter employee lookups. See: Adding Lookup Types and Values, <i>Oracle Human Resources Management Systems Configuring, Reporting, and System Administration Guide</i>.	Oracle Human Resources Lookups
Step 5	Required	Enter locations. See: Setting Up Locations, <i>Oracle Human Resources Management Systems Enterprise and Workforce Management Guide</i>.	Location

Step Number	Required?	Financials Setup Step Description	Window Name(s)
Step 6	Conditionally Required	Enter employees. If you have Oracle Human Resources installed, use the People window. See: Enter a New Person, <i>Oracle Human Resources Management Systems Workforce Sourcing, Deployment, and Talent Management Guide</i> .	People or Enter Person
Step 7	Conditionally Required	If Oracle Inventory or Oracle Purchasing is installed, you must define at least one Inventory Organization before defining Financials Options. See: Creating an Organization, <i>Oracle Human Resources Management Systems Enterprise and Workforce Management Guide</i> .	Inventory: Organization
Step 8	Required with Defaults	Define payment programs.	Automatic Payment Programs
Step 9	Optional	Update country and territory information, and assign flexible address formats. See: Countries and Territories, page 1-97 , and Flexible Addresses, <i>Oracle Receivables User's Guide</i> .	Countries and Territories

Step Number	Required?	Financials Setup Step Description	Window Name(s)
Step 10	Optional	Implement sequential voucher numbering. See: Implementing Sequential Voucher Numbering, page 1-33.	System Administrator responsibility: multiple windows
Step 11	Optional	Implement Budgetary Control in General Ledger. See: Setting Up Budgetary Control, <i>Oracle General Ledger User's Guide</i> .	General Ledger: multiple windows
Step 12	Required	Set Up Taxes. See: Setting Up Taxes in Oracle E-Business Tax, <i>Oracle E-Business Tax User Guide</i>	E-Business Tax: multiple windows

Payables Setup Steps

The following table shows the setup steps you need to complete in Payables. For more information, see: Financial Common and Product, , *Oracle Financials Implementation Guide*.

Important: Carefully consider your implementation options. Some settings are irrecoverable.

Step Number	Required?	Payables Setup Step Description	Window Name (s)
Step 1	Required	Install or upgrade Payables. <i>See: Oracle E-Business Suite Installation Guide: Using Rapid Install, or Oracle E-Business Suite Upgrade Guide: Release 11i to Release 12.</i>	
Step 2	Required	Select your primary ledger. If you use Multiple Organization Support, perform this step for each organization. <i>See: Choosing a Ledger, page 1-34.</i>	Choose Ledgers
Step 3	Required	Use the System Administrator responsibility to assign your ledger to a responsibility. <i>See: Function Security in Payables, page B-1.</i>	System Administrator responsibility: Responsibilities

Step Number	Required?	Payables Setup Step Description	Window Name (s)
Step 4	Optional	Set profile options. See: Profile Options in Payables, page A-1.	System Administrator responsibility: System Profile Values
Step 5	Required	Define Financials options. If you use Multiple Organization Support, perform this step for each organization. See: Financials Options, page 1-35.	Financials Options
Step 6	Required	Define Payables System Setup options. See: Payables System Setup, page 1-47.	Payables System Setup
Step 7	Required	Define Payables options. If you use Multiple Organization Support, perform this step for each organization. See: Payables Options, page 1-49.	Payables Options

Step Number	Required?	Payables Setup Step Description	Window Name (s)
Step 8	Optional	Define special calendars for key indicators, recurring invoices, payment terms and withholding tax. See: Special Calendar, page 1-72.	Special Calendars
Step 9	Required	Define your payment terms. See: Payment Terms, page 1-74.	Payment Terms

Step Number	Required?	Payables Setup Step Description	Window Name (s)
Step 10	Conditionally Required	If you plan to use automatic withholding tax, define Tax Authority type suppliers. You must do this before defining tax codes and tax groups. If you use Multiple Organization Support, set up Supplier Sites for Tax Authority type suppliers for each organization. See: Entering Supplier Information, <i>Oracle iSupplier Portal Implementation Guide</i>.	Suppliers
Step 11	Required	Define banks, bank transmission details, and bank accounts. If you use Multiple Organization Support, perform this step for each organization. See: Bank Account Model Overview, <i>Oracle Cash Management User's Guide</i>.	Banks

Step Number	Required?	Payables Setup Step Description	Window Name (s)
Step 12	Conditionally Required	Define Suppliers. If you use Multiple Organization Support, set up Supplier Sites for each organization. See: Entering Supplier Information, <i>Oracle iSupplier Portal Implementation Guide</i>.	Suppliers
Step 13	Optional	Define request sets. See: Defining Request Sets, <i>Oracle E-Business Suite User's Guide</i>.	Request Set
Step 14	Conditionally Required	Assign Reporting Ledger. If you use Multiple Organization Support, perform this step for each organization.	Assign Reporting Ledger

Step Number	Required?	Payables Setup Step Description	Window Name (s)
Step 15	Optional	Define your purchase order matching tolerances. If you use Multiple Organization Support, perform this step for each organization. See: Invoice Tolerances, page 1-80.	Invoice Tolerances
Step 16	Required with Defaults	Define invoice hold and release names. You use these codes to apply and release holds from invoices. See: Invoice Hold and Release Names, page 1-81.	Invoice Hold and Release Names
Step 17	Optional	If you want to use Automatic Interest Calculation, define payment interest rates. See: Interest Rates, page 1-96.	Payment Interest Rates

Step Number	Required?	Payables Setup Step Description	Window Name (s)
Step 18	Optional	If you want to use Payables or Oracle Internet Expenses to enter employee expense reports, create templates for entering expense reports. If you use Multiple Organization Support, perform this step for each organization. See: Defining Expense Report Templates, <i>Oracle Internet Expenses Implementation and Administration Guide</i>.	Expense Report Templates

Step Number	Required?	Payables Setup Step Description	Window Name (s)
Step 19	Optional	If you use automatic withholding tax, define tax codes and withholding tax groups. If you use Multiple Organization Support, perform this step for each organization. See: Tax Codes, page 1-98, Withholding Tax Groups, page 1-100, and Setting Up Withholding Tax, <i>Oracle Payables User's Guide</i>.	1) Tax Codes and 2) Withholding Tax Groups
Step 20	Optional	Define withholding tax certificates and exceptions. If you use Multiple Organization Support, perform this step for each organization. See: Withholding Tax Certificates and Exceptions, page 1-106.	Withholding Tax Certificates and Exceptions

Step Number	Required?	Payables Setup Step Description	Window Name (s)
Step 21	Conditionally Required	Define one or more reporting entities for your organization for income tax reporting. If you use Multiple Organization Support, perform this step for each organization. See: Reporting Entities, page 1-107.	Reporting Entity
Step 22	Conditionally Required with Defaults	Define additional United States 1099 income tax regions. See: Income Tax Regions, page 1-109.	Income Tax Regions

Step Number	Required?	Payables Setup Step Description	Window Name (s)
Step 23	Optional	Define any additional payment formats. See: Setting Up Formats, <i>Oracle Payments Implementation Guide</i>. Note: If you plan to define foreign currency or multiple currency payment formats, you must first enable the Allow Multiple Currencies Payables option in the Payables Options window. See: Currency Payables Options, page 1-58.	Payment Formats
Step 24	Required	Open your Payables accounting period. See: Controlling the Status of Payables Periods, page 1-111.	Control Payables Periods

Step Number	Required?	Payables Setup Step Description	Window Name (s)
Step 25	Optional	Define the format for the Invoice Aging Report. See: Aging Periods, page 1-114.	Aging Periods
Step 26	Required	Set up Print Styles and Drivers for the Supplier Mailing Labels Report. See: Setting Up Print Styles and Drivers for the Supplier Mailing Labels Report, page 1-120.	System Administrator Responsibility: multiple windows
Step 27	Optional	If you use credit cards or procurement cards, then set up credit card programs. See: Setting Up Credit Card Programs, page 4-1	multiple

Step Number	Required?	Payables Setup Step Description	Window Name (s)
Step 28	Optional	If you want to use the Invoice Approval Workflow to automate your approval process then enable the feature and set up the workflow. See: Invoice Approval Workflow Overview, <i>Oracle Payables User's Guide</i> and Setting Up Invoice Approval Workflow, page 1-86	multiple

Subledger Accounting Setup

For information on setting up Subledger Accounting, see Subledger Accounting Options Setup Overview, *Oracle Subledger Accounting Implementation Guide*.

Related Topics

Enabling Automatic Offsets, page 8-2

Payables Implementation Information, page 1-115

Payables Navigator Paths, *Oracle Payables Reference Guide*

Setting Up Intercompany Accounting, page 8-4

Setting Up Payables for Automatic Interest Prompt Payment Support, *Oracle Payables Implementation Guide*

Setting Up Payables for Budgetary Control, page 8-3

Understanding Funds Disbursement, *Oracle Payments Implementation Guide*

Setting Up Withholding Tax, *Oracle Payables User's Guide*

Implementing Oracle Payables for Projects Integration, *Oracle Projects Implementation*

Guide

Setting Up Your Accounting Method, page 1-46

Setting Up Your System for Positive Pay, page 8-1

Setting Up Your System for Matching, page 3-1

Setting Up Your System for Future Dated Payments, page 5-1

Overview of Oracle iSupplier Portal, *Oracle iSupplier Portal User's Guide*

General Features of Oracle Payments, *Oracle Payments Implementation Guide*

Setup for XML Invoices, page 3-4

Lookups

A lookup is any predefined value that was not defined in a setup window. Use the Oracle Payables Lookups window to review and maintain sets of values, or *lookups*, that you use in Payables.

In some fields, you must select a value from a predefined lists of values. Sometimes the values on the list are items you have defined in a setup window, such as supplier names, payment terms, or tax codes. Other predefined sets of values are *lookups*, which you can view, and in some cases, update, in the Oracle Payables Lookups window.

A lookup category is called a *lookup type*, and the allowable values for the lookup type are called *lookup names*. For example, names of invoice types, such as Standard, Prepayment, Debit Memo, and so on, are lookup names for the lookup type of Invoice Type.

You can add lookup names to some lookup types. For lookup types that you can modify, you can define up to 250 lookup names. For example, you can define additional values for Source, which you specify when you import invoices. You cannot change lookup name values after you save them. To remove an obsolete lookup you can disable the code, enter an end date, or change the meaning and description to match a replacement code.

You can view all Payables lookups in the Oracle Payables Lookups window. However, you can't modify most lookups. For example, the Payables application uses lookups that you do not use for data entry, such as lookups that list exceptions on the Expense Report Export Results page.

If you use Multiple Language Support (MLS), you can define lookups in each of your installed languages. Select Translations from the toolbar or menu to enter the lookup name and description in other languages. When a user selects lookups from a list of values, the lookups on the list will appear in the user's language. For more information, see: the *Oracle E-Business Suite User Guide*.

For detailed information on defining and updating lookups, see: Lookups, *Oracle Applications Developer's Guide*.

Purchasing Lookups

Note that in the Oracle Purchasing Lookups window you can add values for the following lookups that Payables uses:

- **FOB.** Supplier default for all new purchase orders. See: Entering Supplier Information, *Oracle iSupplier Portal Implementation Guide*.
- **Freight Terms.** Supplier default for all new purchase orders. See: Entering Supplier Information, *Oracle iSupplier Portal Implementation Guide*.
- **Minority Group.** Supplier classification for reporting purposes. See: Entering Supplier Information, *Oracle iSupplier Portal Implementation Guide*.
- **Pay Group.** Groups invoices in payment batches. See: Creating Multiple Payments, *Oracle Payables User's Guide*.

Note: When entering Pay Group, enter the value as Standard. It is case-sensitive. Therefore, use Standard instead of STANDARD.

- **Supplier Type.** Supplier classification for reporting purposes. You enter this value in the Type field of the Classification region of the Suppliers window. This value cannot exceed 25 characters or you will not be able to see it in the Suppliers window. See: Classification Region of the Suppliers window, *Oracle iSupplier Portal User's Guide*.

Payables Lookups

You can add values for the following lookup types in this window:

- **AWT Certificate Types.** Define withholding tax certificates. Payables predefines the Standard lookup name. See: Withholding Tax Certificates and Exceptions, page 1-106.
- **AWT Rate Types.** Define Withholding Tax type tax codes. Payables predefines the following: Certificate, Exception, Penalty, and Standard lookup names. See: Tax Codes, page 1-98.

Important: Oracle Payables uses only the Standard AWT Rate Type. If you want to use an AWT Rate Type other than Standard, you may want to customize Automatic Withholding Tax to perform special behavior based on the AWT Rate Type. See: Customizing Automatic Withholding Tax, page 1-119.

- **Bank Branch Type.** Payables predefines the following Bank Branch values that you

enter in the Banks window: ABA, CHIPS, OTHER, SWIFT.

You define the Bank Branch Type lookup code in Receivables.

- **Card Brand.** Used in the Credit Card Programs window. Payables includes four card brands: American Express, Diner's Club, MasterCard, and Visa. See: Setting Up Credit Card Programs, page 4-6.
- **Date Mask.** (This value is no longer used).
- **Disbursement Type.** Used when you define your payment documents in the Manage Payment Documents page accessed from the Banks Accounts page.
Payables predefines three disbursement type values: Combined, Computer Generated, and Recorded.
- **Don't Pay Reason.** Used in the Modify Payment Batch window when you remove all invoices for a supplier site from a payment batch. See: Overview of the Funds Disbursement Process Home Pages, *Oracle Payments User's Guide*.
- **EDI Payment Format.** Payables predefines the following lookup names: CCD, CCP, CTP, CTX, PPD, PPP.
- **EDI Payment Method.** Payables predefines the following lookup names: ACH, BACS, BOP, FEW, FWT, SWT, ZZZ.
- **EDI Remittance Method.** Payables predefines the following lookup names: Do not route, EDI to Third party, EDI to payee, EDI to payee's bank, EDI to payer's bank.
- **EDI Transaction Handling.** Payables predefines the following lookup names: C, D, I, U, Z.
- **Source.** Used when you enter the source of invoices you want to import. See: Payables Open Interface Import Program, *Oracle Payables User's Guide*.
- **Tax Type.** Used to define tax codes. See: Tax Codes, page 1-98.
Payables uses four predefined tax type values: Sales, Use, Offset, and Withholding Tax. In addition, it predefines the following tax codes for installations in Italy and Brazil. For details on these tax types, see:
 - Italy: Custom Bill, Exempt Vat, Non Taxable, Self Invoice
 - Brazil: ICMS, IPI

Country-specific lookups

The following lookups are used only in certain localized versions of Payables.

- **JE_Custom_Bill_Tax Type.** Used to define a Custom Tax type tax code. When a distribution has a Custom Tax type, the amount entered is a statistical amount and is reported in the Purchase VAT register.
- **JE_EEC_VAT_Doc.** Not implemented.
- **JE_Exempt_Tax_Type.** Not implemented.
- **JE_Nontaxable_Tax.** Used to define a Non Taxable type tax code.
- **JE_Self_Invoice_Doc.** Not implemented.
- **JE_Self_Inv_Tax_Type.** Used to define a Self Invoice type tax code. When a distribution has a Self Invoice tax type, the amount entered is a statistical amount and is reported in the Self Invoice Purchase and Sales VAT registers.

Distribution Sets

You can use a Distribution Set to automatically enter distributions for an invoice when you are not matching it to a purchase order. For example, you can create for an advertising supplier a Distribution Set that allocates advertising expense on an invoice to four advertising departments.

You can assign a default Distribution Set to a supplier site so Payables will use it for every invoice you enter for that supplier site. If you do not assign a default Distribution Set to a supplier site, you can always assign a Distribution Set to an invoice when you enter it.

Use Full Distribution Sets to create distributions with set percentage amounts, or use Skeleton Distribution Sets to create distributions with no set distribution amounts. For example, a Full Distribution Set for a rent invoice assigns 70% of the invoice amount to the Sales facility expense account and 30% to the Administration facility expense account. A Skeleton Distribution Set for the same invoice would create one distribution for the Sales facility expense account and one distribution for the Administration facility expense account, leaving the amounts zero. You could then enter amounts during invoice entry depending on variables such as that month's headcount for each group.

If you enable and use a descriptive flexfield with your distribution set lines, the data in the flexfield will be copied to the invoice distributions created by the Distribution Set.

Creating Distribution Sets

To create a Full Distribution Set:

1. In the Distribution Sets window, enter the Name and Description of the Distribution Set you are creating. Enter an Inactive On date to specify when this

distribution set is no longer available.

2. Enter the Account and Description for each distribution and enter the Percentage of the invoice amount that you want to distribute to the Account. You can enter positive and negative percentages. Create as many distributions as you need. The sum of the distribution percentages must equal 100.

If you are creating a Distribution Set for a federally reportable supplier, optionally enter an Income Tax Type.

3. Save your work. Payables automatically assigns type Full to your Distribution Set.

To create a Skeleton Distribution Set:

1. In the Distribution Sets window enter the Name and Description of the Distribution Set you are creating. Enter an Inactive On date to specify when this distribution set is no longer available.

Tip: If you create a skeleton Distribution Set, include skeleton in the name to remind you to enter the line amounts.

2. Enter the Account and Description for each distribution and leave the Percentage at zero. Create as many distributions as you need.

If you are creating a Distribution Set for a federally reportable supplier, optionally enter an Income Tax Type.

3. Save your work. Payables automatically assigns type Skeleton to your Distribution Set.

Creating a Project Related Distribution Set

If you have Oracle Projects installed, you can associate a distribution with a project by entering project information on invoice distributions. The system uses the project information to build the distribution accounts. If you use a project related distribution set, Payables automatically enters the project information on the distribution for you. You can override the project fields on the distribution. The Account Generator will then create accounts based on the new information.

Prerequisite

- Oracle Project Costing is installed.

To create a project related Distribution Set:

1. Enter either a Skeleton or Full Distribution Set in the Distribution Sets window.
2. If a distribution is project related, check Project Related.
Enter the Project, Task, Expenditure Type, and Organization.
If you use Oracle Grants Accounting, you can enter a value for Award Number, to record the award associated with the project.
3. Save your work.

Related Topics

Entering Invoices for Suppliers Subject to Income Tax Reporting Requirements, *Oracle Payables User's Guide*

Entering Project Related Invoices and Distributions, *Oracle Payables User's Guide*

Implementing Oracle Payables for Projects Integration, *Oracle Projects Implementation Guide*

Oracle Grants Accounting Integration, *Oracle Payables User's Guide*

Voucher Numbers and Document Sequences

You can assign a unique voucher number to each invoice and payment document in your Payables system so you have a unique identifier for each document. For example, you may get two invoices with identical invoice numbers from two different suppliers. If you assign a voucher number to each, you can locate each invoice based on its unique voucher number.

Important: Plan your setup carefully. Before you set up your system for voucher numbers, read this section and the related documentation on Document Sequences in the *Oracle E-Business Suite System Administrator Guide*.

Assigning unique voucher numbers to documents is called document sequencing. You can set up document sequencing for all of the documents you use in all of your Oracle Applications.

Voucher numbers provide proof of completeness. If you use sequential voucher numbers, you can confirm that no document has been lost. Even if invoices or payments are deleted, each voucher number retains audit records. You can also maintain an audit trail because you can trace a journal entry back to the original document in Payables.

When setting up document sequencing, you select a set of numbers, called a sequence,

that you will assign to a type of document. The type of document is called a document category. For example, you may decide to assign the sequence of numbers to a document category of Credit Memo Invoices. Then, each Credit Memo you create will have a unique voucher number. Specifying the sequence that will be assigned to a category is called assignment.

When you create and save a sequence, you cannot change it. When you save it, a concurrent process starts that automatically generates the sequence. Wait until this process completes successfully before continuing with assigning the sequences to a category.

Important: Do *not* use voucher numbers that exceed nine digits. If your voucher number exceeds nine digits in Payables, then Payables cannot process the document.

Document Sequences

You can define any number of document sequences. When you define sequences, you define automatic sequences and (optionally) manual sequences.

- **Manual Sequences.** Enter voucher numbers manually by entering a number in the Voucher Number field when you create a document. Since numbers are entered manually, you can add coding to the number, for example, the transaction date. The system confirms only that the number is unique and that it is in the correct sequence for the document category. The system does not ensure that you have entered the next available document number in the sequence. Do not assign manual sequences to documents that Payables creates automatically (for example, electronic payments) because you cannot manually enter a voucher number for those documents.
- **Automatic Sequences.** Payables assigns numbers automatically when the document is created. Payables can assign numbers automatically for any document, whether it is created manually by users or automatically by Payables. If Payables creates a document automatically (for example, recurring invoices), then assign only an automatic sequence to it. When Payables automatically assigns sequence numbers it always assigns the next available number in the sequence. However, you may still have gaps in the sequence, for example, if there is a system problem while you are saving a document.
- **Gapless Sequences** (Type of Automatic Sequence valid only in the context of certain localizations): Payables assigns numbers automatically, it confirms that the document has been successfully created before it assigns the next available number in the sequence. This ensures that you have no gaps of unassigned numbers in the sequence.

For the following documents that users enter manually, you can assign either manual or automatic sequences:

- Manually entered invoices in the Quick Invoices window.
- Manually entered invoices in the Invoice Workbench
- Manual payments
- Quick payments
- Invoices you import through the Payables Open Interface Tables (Manual voucher numbers are possible but not recommended, since you would have to enter correct voucher information for each invoice in the Open Interface Invoices window.)

For the following documents that Payables automatically creates, you can assign automatic sequences.

- Invoices created from recurring invoice templates
- Payments created in a payment batch
- Interest invoices

Important: Once you save your changes in the Document Sequences window, the only fields you can update are the Description fields and the Message check box.

For detailed information, see: What is a Document Sequence?, *Oracle Applications System Administrator's Guide* and Sequence Assignments Window, *Oracle Applications System Administrator's Guide*.

Document Categories

A document category is a set of documents (invoices or payments) that share similar characteristics. You can assign a single document sequence to one or more document categories. For example, you could assign one sequence to all invoice categories.

Payables predefines the following categories for Payables documents:

- **Predefined invoice categories:** Standard Invoices, Credit Memo Invoices, Debit Memo Invoices, Expense Report, Interest Invoices, Mixed Invoices, Prepayment Invoices, Recurring Standard Invoices, PO Price Adjustment Invoices, Adjustment Invoices
- **Predefined payment categories:** Check Payments, Clearing Payments, Electronic Payments, Supplier Refund Payments, Wire Payments

When a document is created, Payables automatically assigns the default document category to the document.

- **Invoices:** Payables assigns a default invoice document category in the Document

Category Name field in the Invoices window based on the value you select in the Invoice Type field in the Invoices window

- **Payments:** In the Payment Documents window, Payables defaults the payment document category based on the payment method you assign to the payment document.

When you create a payment, the document category defaults from the payment document.

You can use the document categories that Payables provides and you can define additional categories. If you enable Document Category Override in the Invoices region of the Payables Options window, you can override the default document category that Payables automatically assigns to invoices or payments. If you enable this Payables option for payments you can also override the document category in the Payment Documents window.

For detailed information, see: Define Document Categories, *Oracle Applications System Administrator's Guide*.

Additional Information About the Document Categories Window

The following is additional information for some of the fields in the Document Categories window. Use these hints as a reference while you are using the following documentation: Document Categories Window, *Oracle Applications System Administrator's Guide*.

Important: Once you save a Document Category you cannot change it.

Application. The application that owns the tables where the voucher number will be stored: Oracle Payables.

Code. This is the code for the category that is stored in the application tables. When you select a document category for a document, the system stores this value in the DOC_CATEGORY_CODE column for the document record.

Name. Document category name that the user sees in the Document Category field in Payables windows. This is also the name you enter in the Category field of the Sequence Assignments window.

Table Name. The Payables table that stores the document (and the document's voucher number).

- **AP_INVOICES_ALL** stores all invoices.
- **AP_EXPENSE_REPORT_HEADERS_ALL** stores all expense report information before it is imported. This includes expense reports entered in Payables, Internet Expenses, and Projects.

- **AP_CHECKS_ALL** stores all payment information.

Sequence Assignments

In the Sequence Assignments window, you assign sequences to one or more document categories. You further specify a unique combination of Oracle Application, ledger, and document entry method (Manual or Automatic). The document entry method indicates whether Payables automatically creates the document or a user manually enters the document.

You can assign the same document sequence to more than one category if the application specified in the sequence is the same as the application specified for the category. For example, you can assign an automatic numbering sequence to documents you enter manually (such as category Standard Invoices) and documents created automatically (such as category Expense Reports), if both categories are in the same application (Payables). Remember that if Payables creates a document automatically (Expense Reports), then you need to assign an automatic sequence to the document category.

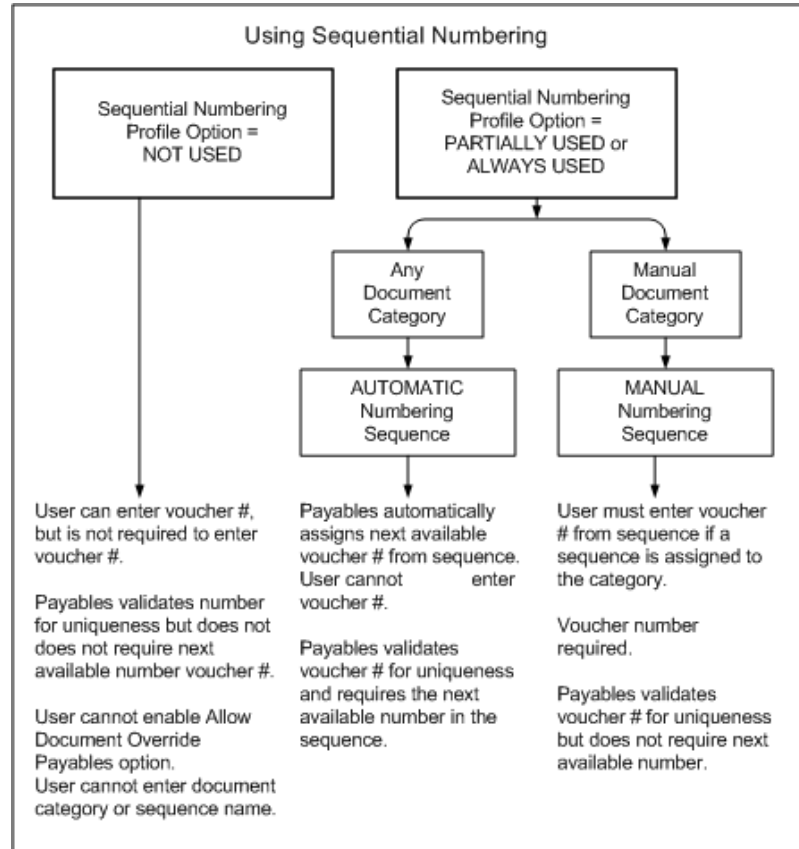
Sequential Numbering Profile Option

The Sequential Numbering profile option controls whether you can assign voucher numbers to documents, and whether you are required to assign voucher numbers to documents. This option can be enabled at the Responsibility, Application, or Site level. You can choose one of the following options:

- **Not used.** The system does not enforce sequential numbering. It does ensure that any numbers entered are unique but it does not require the next available number. You cannot enable the Allow Document Override Payables Option. You cannot enter a document category or sequence name
- **Partially Used.** The system enforces sequential numbering for all of the sequences that are assigned to a document category. If you create a document and no active sequence has been assigned to its document category, then Payables displays a warning message that a sequence does not exist. You can proceed without a sequence, or you can define and assign the sequence before you proceed.
- **Always Used.** The system enforces sequential numbering for all document categories. If you attempt to create a document and no active sequence has been assigned to its document category, then you cannot proceed until you define and assign a sequence.

Important: We recommend that you do not change this value once you have set it. When you select Not Used, if you enter a number it is stored in the VOUCHER_NUM column. If you select Partially Used or Always Used, the system populates the

DOC_SEQUENCE_VALUE column. Consequently, if you update the value after you have been using voucher numbers, existing voucher number data, while not lost, is no longer displayed because the system is using a different column.



For a text description of the previous graphic, see: Text Description of the Using Sequential Numbering Graphic, *Oracle Payables User's Guide*.

Document Sequencing Setup Examples

Example 1

You specify Always Used for the Sequential Numbering profile option. You create a document sequence named Auto Expense that uses automatic numbering. You assign the sequence to the document category Expense Report, used for invoices created from expense reports. Payables enters the next available number from the Auto Expense sequence into the Voucher Number field. Payables ensures that the number assigned is unique for the Auto Expense sequence.

Example 2

You also create a document sequence named Man Inv Standard that uses manual numbering. You assign the sequence to a document category you create called Standard Manual Invoice. You enable the Document Category Override Payables option for invoices. When you manually enter a Standard invoice, you can override the default category, Standard Invoice, and enter Standard Manual Invoice in the Document Category field. Because you set Sequential Numbering to Always Used, you must enter in the Voucher Number field an available number from the Man Inv Standard sequence. Payables ensures that the number you assign is in the sequence and that it is unique within that sequence. When you enter voucher numbers in this manner, Payables does not require you to use the next available voucher number.

Related Topics

Implementing Sequential Voucher Numbering, page 1-33

Implementing Sequential Voucher Numbering

The steps below are a summary of the steps to implement document sequencing. Refer to the *Oracle E-Business Suite System Administrator Guide* for details on each step.

Important: Plan your document sequencing carefully. You cannot make changes to the important data in the Document Sequences and Document Categories windows after you save your work.

Prerequisite

- Plan every document category you will use (across all Oracle Applications), plan a sequence to assign to each document category, and decide if the sequence will be automatic or manual. Remember not to assign manual sequences to documents that the system creates automatically.
- Log in as the System Administrator to perform the first four steps.

To implement sequential voucher numbering:

1. Enable the Sequential Numbering Option in the System Profile Values window. Set the value to either Partially Used or Always Used.
2. Optionally define Additional Document Categories in the Document Categories window. See: Document Categories Window, *Oracle E-Business Suite System Administrator's Guide*.
3. Define Document Sequences in the Document Sequences window. See: Defining a Document Sequence, *Oracle Applications System Administrator's Guide*.

Important: Do not use voucher numbers that exceed nine digits. If your voucher numbers exceed nine digits in Payables, then Payables cannot process your documents.

4. Assign Document Sequences to document categories in the Sequence Assignments window. See: Assigning a Document Sequence, *Oracle Applications System Administrator's Guide*.
5. If you want to use custom document sequences, then in the Payables Options window, enable Document Category Override options in the Invoice region. You must enable this option for payments if you want to assign custom document categories to payment documents you define. See: Payables Options, page 1-49. You can change these options after you have set them.
6. Assign Default Document Category to Bank Account Payment Documents. See: Bank Account Model Overview, *Oracle Cash Management User's Guide*.

Related Topics

Voucher Numbers and Document Sequences, page 1-27

Making a Sequence or Assignment Inactive

In the Sequence Assignments window, you can disable an assignment by entering an End date. The End date is the last date that the assignment is active. Once you have disabled the assignment, you can then disable the sequence in the Document Sequences window. Once disabled, a sequence cannot be reactivated.

Important: Always disable the assignment before you disable a sequence or you will have a category with an inactive sequence assigned to it.

Choosing a Ledger

Your ledger defines the account structure, accounting calendar, and ledger currency your organization uses to record transactions in Payables. If you are not using the Multiple Organization support feature, you can choose one primary ledger for each installation of Payables.

Your system administrator associates ledgers with one or more responsibilities. Your responsibility determines with which ledger you are working. You have the option of setting up multiple organizations within one installation of Payables. Your system administrator associates a responsibility with a particular organization and ledger. The name of your ledger appears on all reports you generate in Payables.

Important: You cannot change your Ledger selection in this window after you save it.

Prerequisites

- Define Ledger Sets. See Oracle General Ledger Implementation Guide.

To choose your primary ledger:

1. Navigate to the Choose Ledger window.
2. Enter the name of the ledger you want to use.
3. Save your work.

Related Topics

Setting Up Oracle Payables, page 1-1

Accounting Methods, page 1-42

Payables Options, page 1-49

Creating Dummy Accounting Reference Data for Oracle Training Administration,
Oracle Learning Management User's Guide

Financials Options

Use the Financials Options window to define the options and defaults that you use for your Oracle Financial Application(s). Values you enter in this window are shared by Oracle Payables, Oracle Purchasing, and Oracle Assets. You can define defaults in this window to simplify supplier entry, requisition entry, purchase order entry, invoice entry, and automatic payments. Depending on your application, you may not be required to enter all fields.

Although you only need to define these options and defaults once, you can update them at any time. If you change an option and it is used as a default value elsewhere in the system, it will only be used as a default for subsequent transactions. For example, if you change the Payment Terms from Immediate to Net 30, Net 30 will be used as a default for any new suppliers you enter, but the change will not affect the Payment Terms of existing suppliers.

Attention Oracle Payables Users:

You are required to enter defaults for the Accounting Financials Options in the Accounting region. If you do not use encumbrance accounting or budgetary control, you do not need to enter defaults in the Encumbrance region. If you do not also have Oracle Purchasing installed, you do not need to enter defaults in the Supplier-Purchasing region. If you do not have Oracle Human Resources installed, you are not

required to enter defaults in the Human Resources region. If your enterprise does not need to record a VAT registration number, you don't need to enter defaults in the Tax region. To see the default hierarchy for Payables review the Account Default Hierarchy Chart: page E - 11.

Attention Oracle Purchasing Users:

If Purchasing is the only Oracle application installed at your site, you are only required to enter information in the following regions: Accounting and Supplier Purchasing.

Attention Oracle Assets Users:

If Oracle Assets is the only product you use, you are only required to enter information in the following regions: Supplier, Human Resources, and Accounting. Attention Encumbrance Accounting Users: If you use encumbrance accounting, and you have Oracle Payables, Oracle Purchasing, and Oracle General Ledger installed, define your encumbrance options in the Encumbrance Financials Options region. See: Defining Encumbrance Types, *Oracle General Ledger User's Guide*.

Financials Options Window Reference

Select the region that contains the options you want to enter or review:

Accounting, page 1-36

Encumbrance, page 1-37

Human Resources, page 1-39

Supplier - Purchasing, page 1-40

Tax Financial Options, page 1-41

Accounting Financials Options

Future Periods. Payables displays the number of future periods you use in your ledger. Payables uses this value to limit the number of future periods you can maintain in the Control Payables Periods window. You can enter invoices in future periods.

GL Accounts

Liability. Payables assigns this account as the default Liability Account for all new suppliers you enter. You can override this value during supplier entry. If you use Accrual Basis accounting, then the Liability Account for an invoice determines the liability account(s) charged when you create accounting entries for invoices.

Prepayment. The Prepayment account and description for a supplier site's invoices. The Financials option value defaults to new suppliers, and the supplier value defaults to new supplier sites.

For more information see: Accounting for Prepayments, *Oracle Payables User's Guide*.

Future Dated Payment. If you use future dated payments, then enter a value for Future Dated Payment account. This value defaults to all new suppliers and new bank

accounts. The supplier value defaults to all new supplier sites. The bank account value defaults to new payment documents.

When Payables accounts for future dated payments, it uses the Future Dated Payment Account from either the supplier site or the payment document, depending on the option you select in the Payment Accounting region of the Payables Options window.

If you relieve liability payment time, this should be an asset account. If you relieve liability at future dated payment maturity, then this should be a liability account.

Discount Taken. If you choose to distribute your discounts to the system Discount Taken Account, Payables uses this account to record the discounts you take on payments. Use the Payables Options window to select your method for distributing discounts for your invoices.

PO Rate Variance Gain/Loss. Payables uses these accounts to record the exchange rate variance gains/losses for your inventory items. The variance is calculated between the invoice and either the purchase order or the receipt, depending on how you matched the invoice. These accounts are not used to record variances for your expense items. Any exchange rate variance for your expense items is recorded to the charge account of the purchase order. Payables calculates these amounts during Payables Invoice Validation.

Expenses Clearing. This account is optional when you use the Company Pay payment option of Oracle Internet Expenses. Payables uses this as a temporary account to record credit card transaction activity. Payables debits this account when you create an invoice to pay a credit card issuer for credit card transactions. Payables credits this account with offsets to the original debit entries when an employee expense report entered in Internet Expenses that has credit card transactions on it. If you enter an expenses clearing account in this field and in the Expenses Clearing Account field of the Card Programs window, the account entered in the Expenses Clearing Account field of the Card Programs window takes precedence. See: Expenses Clearing Account, page 4-6

Miscellaneous. Used only when importing invoices submitted in XML Gateway.

If you enter a value here then the system uses this account for all Miscellaneous charges on invoices your suppliers enter in iSupplier Portal. If you do not enter a value here then the system prorates Miscellaneous charges across Item lines on iSupplier Portal invoices.

The system also uses this value for any miscellaneous charges your suppliers send in XML invoices. If you do not enter a value here then import prorates miscellaneous charges across Item lines for XML invoices.

Retainage:Used for the amounts or percentages of payments that are withheld until work under a contract is completed and accepted.

Encumbrance Financials Options

To use encumbrance accounting or budgetary control, you must install Payables, Purchasing, and General Ledger. Use this region to enable encumbrance accounting and to specify the default encumbrance types Payables assigns to your invoices, and

Purchasing assigns to your requisitions and purchase orders.

If you enable encumbrance accounting or budgetary control, Purchasing creates encumbrances when you reserve funds for a requisition or purchase order. If you use the perpetual accrual method in Purchasing, Purchasing reverses purchase order encumbrances when you inspect, accept, and deliver the units. If you are using the periodic accrual method in Purchasing, Payables reverses the purchase order encumbrances when you create accounting entries for invoices.

Payables creates encumbrances when there is a variance between a matched invoice and the purchase order to which it is matched, and when the invoice encumbrance type is different from the Purchasing encumbrance type. See also: Encumbrances in Payables, *Oracle Payables User's Guide*.

Oracle Financials provides two predefined encumbrance types that you can use to identify requisition, purchase order, and invoice encumbrances: Commitment and Obligation. You can define additional encumbrance types in Oracle General Ledger in the Encumbrance Types window. See also: Encumbrance Entries in Payables, *Oracle Payables User's Guide*.

Encumbrances are created if encumbrances are enabled during the approval and reservation process. To create encumbrances for purchase orders and requisitions entered before encumbrances are enabled:

- For existing purchase orders and requisitions that are not receiving or invoice matched, you must reapprove the documents after enabling encumbrances.
- For existing purchase orders and requisitions that are partially received or partially invoice matched:
 - Final close or cancel the documents, then recreate them after encumbrances are enabled.
 - Enter any remaining unreceived or unbilled quantities since encumbrance are relieved when the item is received or invoiced.

Note: Encumbrance are relieved upon receipt if accrue on receipt is used or when invoiced if period end accrual is used.

Use Requisition Encumbrance. Enable this option to encumber funds for requisitions. If you enable this option, the Subledger Accounting creates journal entries and transfers them to General Ledger to encumber funds for purchase requisitions.

Note: If you ever change this option, ensure that there are no Requisitions that are still open. If there are open Requisitions when this option is changed, it could result in wrong funds available and create issues in budgetary control and with Payables-Projects integration.

Reserve at Completion. If you enable Use Requisition Encumbrance, indicate whether you want requisition preparers to have the option to reserve funds. If you do not enable this option, only requisition approvers will have the option to reserve funds.

Use PO Encumbrance. Enable this option to encumber funds for purchase orders, purchase order and receipt matched invoices, and basic invoices (not matched). If you enable this option, Purchasing encumbers funds for purchase orders and Payables encumbers funds for variances during Payables Invoice Validation for purchase order and receipt matched invoices. If you enable this option and enter a non-purchase order matched invoice, Payables will encumber funds for it during Payables Invoice Validation. All Payables encumbrances are reversed when you create accounting entries. If you enable Use Requisition Encumbrance, you must also enable this option.

Note: If you ever change this option, ensure that there are no open Purchase Orders or Invoices. If there are open Purchase Orders or Invoices when this option is changed, it could result in wrong funds available and create issues in budgetary control and with Payables-Projects integration.

Related Topics

Invoice Variances, *Oracle Payables User's Guide*

Budgetary Control In Payables, *Oracle Payables User's Guide*

Encumbrance Entries in Payables, *Oracle Payables User's Guide*

Defining Ledgers, *Oracle General Ledger Implementation Guide*

Overview of Encumbrance Accounting, *Oracle General Ledger User's Guide*

Defining Encumbrance Types, *Oracle General Ledger User's Guide*

Entering Encumbrances, *Oracle General Ledger User Guide*

Human Resources Financials Options

Use this region to enter the options and defaults for entering employee information in the Enter Person window.

Business Group. Enter the name of the business group that you want to associate with Purchasing. If you use Purchasing jointly with Oracle Human Resources, you must reference the business group that you define in Oracle Human Resources. If you use Purchasing without Human Resources, you can use the default value. The default for this field is the Human Resources default of Setup Business Group.

The business group determines which employees you can use in Purchasing. In Purchasing, you can see only the employees in this business group.

Expense Reimbursement Address. Select the default address you want to use on payments for employee expense reports: Home or Office. The system uses this default for each new employee you enter. You can override this default during employee entry

or expense report entry.

Use Approval Hierarchies. Enable this option to use positions and position hierarchies to determine approval paths for your documents within Purchasing. Disable this option if you want approval paths based on the supervisor structure.

Employee Numbering Method. You can enter your employee numbers manually or let the system generate sequential employee numbers. The system prevents you from entering a value in this field if you install Oracle Human Resources or Oracle Payroll. You can change the numbering method at any time.

- **Automatic.** The system automatically assigns a unique sequential number to each employee when you enter a new employee.
- **Manual.** You enter the employee number when you enter an employee.
- **Use National Identifier Number.** The system automatically enters the employee's National Identifier Number as the employee number. For example, a Social Security number for a United States employee.

Important: Be careful if you switch from manual to automatic entry. The employee number must be unique. When you use manual entry, you can assign any number and in any order. If you switch to automatic after having entered employee numbers manually, the system may try to assign a number that you already assigned. If you switch from manual to automatic entry, make sure the next available number for automatic entry is larger than the largest number you have already recorded.

Next Automatic Number. If you select the Automatic Employee Numbering method, enter the starting value you want the system to use for generating unique sequential employee numbers. After you enter a number and save your changes, the system displays the number that it will assign to the next new employee you enter.

Supplier - Purchasing Financials Options

The options you define in this region, except for Inventory Organization, are used as default values for the Purchasing region of the Suppliers window. The supplier values default to new supplier sites for the supplier, which default to new purchasing documents for the supplier site.

Note: If you use the Multiple Organizations Support feature, values you enter in this window will default to both the Supplier and Supplier Site.

You can override defaulted values during entry of the supplier, supplier site, and purchasing documents.

RFQ Only Site. Default value for all new suppliers. You cannot create purchase orders in Purchasing for a supplier site which is an RFQ Only Site.

Ship-To and Bill-To Location. The name of the ship-to and bill-to location for the system default values. If the name you want does not appear in the list of values, use the Location window to enter a new location. See also: Setting Up Locations, *Oracle Human Resources Management Systems Enterprise and Workforce Management Guide*.

Inventory Organization. You need to choose an inventory organization if you use Purchasing. You can associate each of your Purchasing operating units with one inventory item master organization. When you associate your Purchasing operating unit with an inventory organization, items you define in this organization become available in Purchasing. You can only choose an inventory organization that uses the same ledger as your Purchasing operating unit. Do not change the Inventory Organization after you have already assigned one to Purchasing.

Ship Via. Freight carrier you use with suppliers. If the type of freight carrier you want does not appear in the list of values, use the Freight Carriers window to define a new shipping method. The value you enter here is the value in the Description field of the Freight Carriers window in Purchasing.

FOB. If the type of FOB you want is not in the list of values, use the Oracle Purchasing Lookups window to define a new FOB.

Freight Terms. The freight terms for a supplier identify whether you or your supplier pays for freight charges on goods you receive. You can define new freight terms in the Oracle Purchasing Lookups window.

Acknowledgement Lead Time (Days). Enter a positive numeric value. The lead time is the number of days from the final approval date. Add that to the final approval date to calculate the Acknowledgement Lead Time. For example, if the approval date is 10-May-2016 (current date), the Lead Time is 5 days, thus the Acknowledgement Lead Time is 15-May-2016.

The Lead Time value in the supplier site (Supplier Site (Purchasing tab) takes precedence over the Purchasing Options (specified in Oracle Purchasing) value. If neither of the Lead Time values are found, the system does not calculate and default the value of the Acknowledgement Lead Time.

Tax Financial Options

The options you enter in this region control VAT registration for tax purposes.

Member State: The location of your company or organization. Payables uses this country name to determine if your company or organization is located in a member state of the European Union (EU).

VAT Registration Number: The value added tax (VAT) registration number for your organization. Your organization is assigned a VAT Registration Number if you register to pay VAT. The first two characters of a VAT registration number are the country code for the country or state where the registered company or organization is located. Payables prints this number on the header of the Intra-EU VAT Audit Trail Report.

Accounting Methods

Oracle Payables leverages Oracle Subledger Accounting to define the primary and secondary accounting methods used. The accounting method determines the types of accounting entries created for Payables transactions. For each accounting method, cash or accrual, you choose a ledger in which you will account for transactions.

Important: Carefully consider these settings at implementation time because you cannot change them after accounting events occur (for example, after any invoice has been validated in your system.)

Set up your accounting method to create accounting entries in compliance with one of the following accounting methods:

- **Cash Basis Accounting.** You account only for payments, and do not record liability information for invoices. The payment accounting entries typically debit your expense or asset account and credit your cash or cash clearing account. When you create accounting entries, you might also create entries for discount taken and foreign currency exchange gain or loss.

The payment date is used as the accounting date for your expense and cash journal entries.

- **Accrual Basis Accounting.** You create accounting entries for invoices and payments. The invoice accounting entries generally debit your expense or asset account and credit your liability account. For prepayments, accounting entries debit your prepayment account and credit your liability account. For prepayment applications, accounting entries debit your liability account and credit your prepayment account.

Payment accounting entries typically debit the liability account and credit the cash or cash clearing account. You might also create accounting entries for discount taken and foreign currency exchange gain or loss.

When you reconcile payments using Oracle Cash Management, the system might also create accounting entries for cash clearing, bank charges, bank errors, and foreign currency exchange gain or loss between payment and reconciliation time.

- **Combined Basis Accounting.** You maintain one ledger for cash accounting and one ledger for accrual accounting. You choose which will be your primary and your secondary ledger. Invoice accounting entries are recorded for your accrual ledger, and payment accounting entries are recorded in both your cash ledger and accrual ledger.

Combined basis accounting allows you to produce financial reports for either your cash or accrual ledger. For example, you may want to manage your company on an accrual basis, but require cash basis accounting information for certain regulatory

reporting on a periodic basis.

Accrual Basis Accounting Examples

In the following examples, US Dollars is the ledger currency for your ledger and you use accrual basis accounting. You account for payments at issue time only.

Example 1

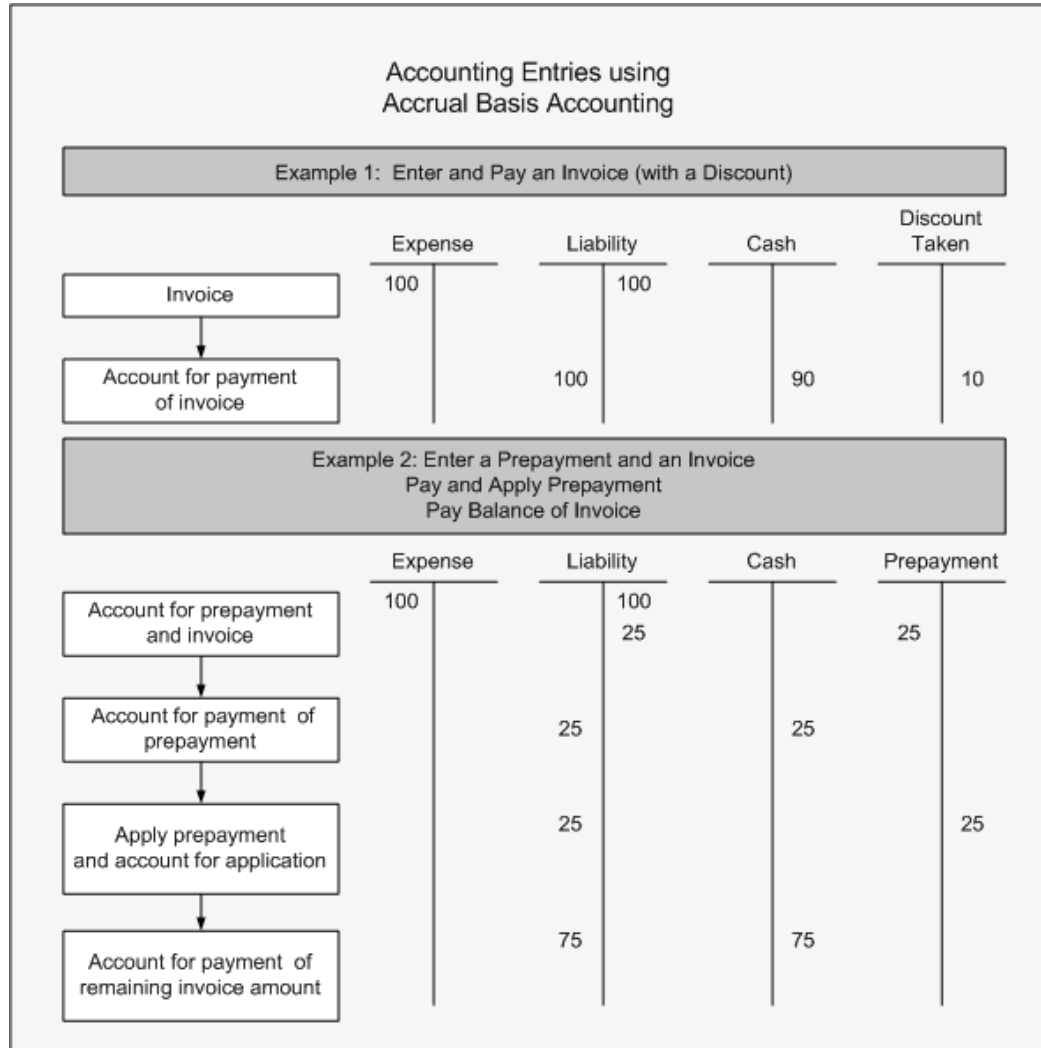
You enter and validate an invoice for \$100 with payment terms that allow you to take a 10% discount on the invoice if paid within 10 days. When Subledger Accounting creates accounting entries for the invoice, it debits the expense account and credits the liability account.

You pay the invoice five days later, taking the 10% discount. When Subledger Accounting creates accounting entries, it records the liability and cash transactions along with the appropriate discount transaction.

Example 2

You enter and validate a \$25 prepayment for a supplier site. You then enter and validate a \$100 invoice for the same supplier site. When you account for the prepayment and invoice, Subledger Accounting records the expense and liability transactions for the invoices.

You then pay the prepayment and apply the prepayment to the invoice, reducing the amount due on the invoice. You pay the remaining amount of the invoice and create accounting entries for the prepayment application and the invoice. The prepayment application accounting entry debits the liability account for the amount of the prepayment and credits your prepayment account. The invoice payment accounting entry debits your liability account for the reduced invoice amount and credits your cash account.



Cash Basis Accounting Examples

In the following examples, US dollars is the ledger currency for your ledger and you use cash basis accounting. You account for payments at issue time only.

Example 1

You enter and validate an invoice for \$100 with payment terms that allow you to take a 10% discount on the invoice if paid within 10 days. Subledger Accounting creates no accounting entries for the invoice.

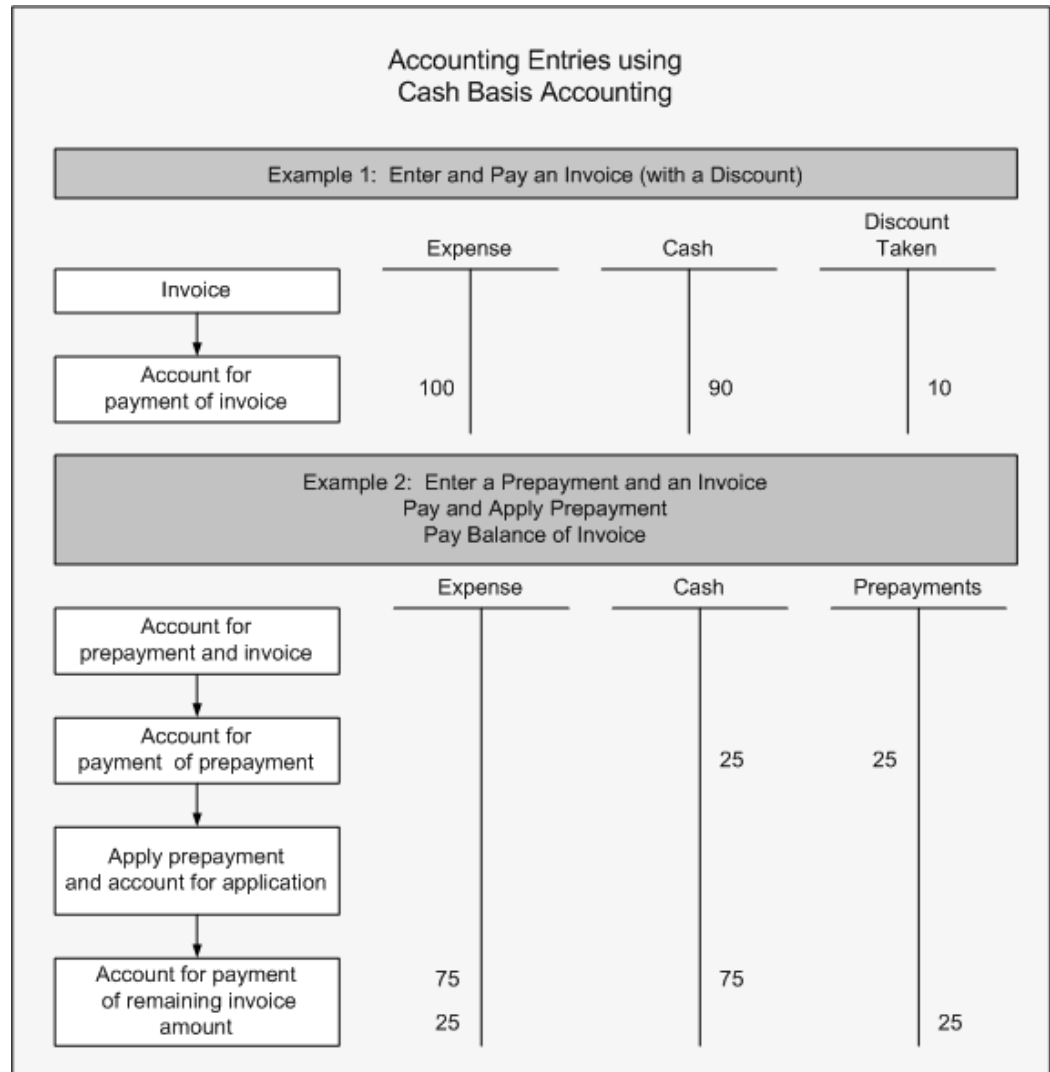
You pay the invoice five days later, taking the 10% discount. When Subledger Accounting creates accounting entries, it records the expense and cash transactions along with the appropriate discount transaction.

Example 2

You enter and validate a \$25 prepayment for a supplier site. You then enter and validate a \$100 invoice for the same supplier site. Subledger Accounting records no

accounting entries for the prepayment and invoice.

You then pay the prepayment and apply the prepayment to the invoice, reducing the amount due on the invoice. You pay the remaining amount of the invoice and create payment accounting entries. The accounting entry prepayment application debits the expense account and credits the prepayment account for the amount of the prepayment. The payment accounting entry debits your expense account and credits your cash account for the reduced invoice amount.



Related Topics

Accounting Methods Builder Overview, *Oracle Subledger Accounting Implementation Guide*

Defining Your Chart of Accounts, *Oracle General Ledger Implementation Guide*

Budgetary Control In Payables, *Oracle Payables User's Guide*

Automatic Offsets, *Oracle Payables User's Guide*

Foreign Currency Transactions, *Oracle Payables User's Guide*

Intercompany Accounting, *Oracle Payables User's Guide*

Setting Up Your Accounting Method, page 1-46

Oracle Cash Management User's Guide

Encumbrance with Combined Basis Accounting, *Oracle Payables User's Guide*

Encumbrance with Cash Basis Accounting, *Oracle Payables User's Guide*

Setting up Your Accounting Method

Set up Subledger Accounting to create subledger accounting entries for your Payables transactions in accordance with cash basis, accrual basis, or both (combined basis), accounting methods.

If you implement Reporting Currencies, open and close Payables periods in your primary ledger. Payables automatically opens and closes Payables periods in all of the associated reporting ledgers. You cannot close a Payables period if outstanding transactions exist in your primary or associated reporting ledger. See: *Oracle E-Business Suite Multiple Organizations Implementation* manual.

Important: Carefully consider these settings at implementation time because you cannot change them after accounting events occur (for example, after any invoice has been validated in your system.)

Prerequisite:

- Define Ledgers in the ledger window. See Oracle General Ledger User's and Implementation Guides.

To set up your accounting method:

For information on setting up your accounting method, see: Accounting Method Builder Overview, *Oracle Subledger Accounting Overview*, *Oracle Subledger Accounting Implementation Guide*.

Related Topics

Budgetary Control In Oracle Payables, *Oracle Payables User's Guide*

Foreign Currency Transactions, *Oracle Payables User's Guide*

Intercompany Accounting, *Oracle Payables User's Guide*

Automatic Offsets, *Oracle Payables User's Guide*

Payables System Setup

Use the Payables System Setup window to define supplier control options and defaults. Although you need to define these options and defaults only once, you can update most of them at any time to change controls and defaults for suppliers and future transactions.

Supplier Number Entry. Select an option to enter your supplier numbers manually or let Payables automatically generate sequential supplier numbers for you. You can change the number entry method at any time. Options include:

- **Automatic.** The system automatically assigns a unique sequential number to each supplier when you enter a new supplier.
- **Manual.** You enter the supplier number when you enter a supplier.

Important: Be careful if you switch from manual to automatic entry. Each supplier number must be unique. When you use manual entry, you can assign any number and in any order. If you switch to automatic after entering supplier numbers manually, the system may try to assign a number that you already assigned. If you switch from manual to automatic entry, make sure the next available number for automatic entry is larger than the largest number you have already recorded.

Supplier Number Type. Select the type of supplier number you want Payables to use for supplier number entry. Options include Alphanumeric or Numeric.

After you begin entering suppliers, you can change your Number Type from numeric to alphanumeric at any time. However, you can change your Number Type from alphanumeric to numeric only if all of your current supplier numbers are numeric.

Next Automatic Number. Enter the starting value you want the system to use for generating unique sequential supplier numbers. This field is available if you select Automatic as the Supplier Number Entry. After you enter a number and save your changes, the system displays the number that it will assign to the next new supplier you enter.

Invoice Match Option. Select Purchase Order or Receipts to indicate how you want to match most invoices. Defaulting is in the following order, but can be overridden at any level: Payables System Setup > supplier > supplier site > purchase order shipment. The value at the purchase order shipment controls which purchasing document type that you can match to an invoice.

Hold Unmatched Invoices. If you enable this option for a supplier site, Payables applies a Matching Required hold to an invoice if it has Item type distributions that are not matched to either a purchase order or receipt. Payables applies the hold during Invoice Validation. You cannot pay the invoice until you release the hold. You can

release this hold by matching the invoice to either a purchase order or receipt, and resubmitting Invoice Validation. You can manually release the hold in the Holds tab of the Invoice Workbench or through Workflow. Payables does not apply a hold if the sum of the invoice distributions by accounting code combination is zero. Payables does not apply this hold to Prepayment or Interest invoices.

Invoice Currency. Select the currency to use as a default for new suppliers that you enter.

Pay Group.

Select the pay group to use as a default for new suppliers that you enter.

Terms Date Basis. Select the date that Payables uses as the payment terms start date when Payables calculates the due and discount dates for invoice scheduled payments. This value defaults to new suppliers that you enter. Options include:

- **System.** Current date of your Payables system.
- **Goods Received.** Date you receive goods for invoices you match to purchase orders.
- **Invoice.** Invoice date.
- **Invoice Received.** Date you receive an invoice.

Pay Date Basis. Select the date that Payables uses to select invoices for payment. Options include:

- **Discount.** Payables uses the scheduled payment discount date.
- **Due.** Payables uses the scheduled payment due date, regardless of any available discounts.

Payment Terms. Select the terms that Payables uses to schedule payments for an invoice. This value defaults to new suppliers that you enter.

Always Take Discount. Enable this option to have Payables always take an available discount for a supplier, regardless of when you pay the invoice. Your selection defaults to new suppliers that you enter.

Create Interest Invoices. Enable this option to have Payables calculate interest for the supplier's overdue invoices and create corresponding interest invoices when you pay the overdue invoices. Your selection defaults to new suppliers that you enter.

Related Topics

Suppliers, *Oracle Payables User's Guide*

Payables Options

Use this window to set control options and defaults used throughout Payables. You can set defaults in this window that will simplify supplier entry, invoice entry, and automatic payment processing. Although you need to define these options and defaults only once, you can update most of them at any time to change controls and defaults for future transactions.

Important: If you use the Reporting Currencies feature to record transactions in more than one currency, read the *Oracle E-Business Suite Multiple Organizations Implementation* manual before proceeding. The manual details all setup considerations for implementing Payables with this feature.

Defining Payables Options

Prerequisites

- Define your chart of accounts. See: *Defining Your Chart of Accounts, Oracle General Ledger Implementation Guide*.
- Define your Financials options. See: *Financials Options*, page 1-35.
- Define your payment terms. See: *Payment Terms*, page 1-74.
- Define your currencies. See: *Currencies Window, Oracle E-Business Suite System Administrator's Guide*.
- Carefully consider your settings for the following options because most settings for these options are irrevocable once the system records accounting information based on these options, and you would need to reimplement your Payables system to reset them:
 - Accounting Methods: Primary Accounting Method, Secondary Accounting Method.

Note: These accounting methods are defined in Oracle Subledger Accounting. See: *Accounting Methods Builder Overview, Oracle Subledger Accounting Implementation Guide*

- Payment Accounting: Account for Payment
- Payment Accounting: Account for Gain/Loss

- Payment Accounting: Calculate Gain Loss

Also, carefully consider the following setting. Resetting it after the system creates accounting information can make the accounting process slower:

- Accounting Methods: Automatic Offset Method

Supporting Supplier Attributes in Payables Options for Oracle Payments

In Release 12 with the introduction of MOAC there are multiple operating units attached to a single responsibility. The supplier-based attributes are moved to Payables system setup from Financials and Payables Options and is not Operating Unit-specific. These supplier-based attributes defaulted from Payables system setup to Suppliers. With this change in the Supplier defaulting model in R12, the flexibility to default supplier attributes by operating unit is lost. Customers who operate in the global level and with multiple operating units are facing problem with system level supplier defaulting.

For customers to have flexibility to have operating unit-specific defaulting, certain supplier attributes have been provided in the Payables Options. From Payables Options, supplier attributes default to the supplier site level (which is Operating Unit striped) during site creation. If no value is defined in the Payables Options then the attribute value default from the supplier.

Following Supplier attributes are added in the Payables Options for Supplier Site level defaulting:

- Invoice Currency
- Pay Group
- Terms Date Basis
- Pay Date Basis
- Payment Terms

A new tab, Supplier, is added in the Payables Options window in the Payables Responsibility, that has supplier payment attributes, Invoice Currency, Pay Group, Terms Date Basis, Pay Date Basis and Payment Terms.

To define Payables options:

1. In the Payables Options window, select each region that contains the options you want to define. Refer to the window references below for detailed information on any field:
 - Accounting Option, page 1-52

- Currency, page 1-58
 - Tax Reporting, page 1-68
 - Invoice, page 1-63
 - Approval, page 1-57
 - Matching, page 1-65
 - Interest, page 1-61
 - Expense Report, page 1-60
 - Payment, page 1-67
 - Withholding Tax, page 1-69
 - Supplier, page 1-71
 - Reports, page 1-67
2. Enter or change option values.
 3. Save your work.

Related Topics

Payables Options Window Reference, page 1-51

Account Default Hierarchy Chart, *Oracle Payables User Guide*

Invoice and Invoice Batch Default Chart, *Oracle Payables User Guide*

Payables Options Window Reference

Select the tabbed region that contains the options you want to enter or review:

- Accounting Option, page 1-52
- Currency, page 1-58
- Tax Reporting, page 1-68
- Invoice, page 1-63
- Approval, page 1-57

- Matching, page 1-65
- Interest, page 1-61
- Expense Report, page 1-60
- Payment, page 1-67
- Withholding Tax, page 1-69
- Suppliers, page 1-71
- Reports, page 1-67

Related Topics

Accounting Methods, page 1-42

Defining Ledgers, *Oracle General Ledger Implementation Guide*

Accounting Options Payables Options

Use this region to control accounting information for your Payables system.

Account For Payment: Choose when you want to create payment accounting entries. You can select one or both options.

Payables creates the following accounting entries, depending on how the Account for Payment option is set. This accounting assumes you use accrual basis accounting. You specify the GL accounts when you define the payment document. Any accounting entries for gain and loss are controlled by the Account for Gain/Loss Payables option, so they are not included here.

Note: Carefully consider these settings at implementation time. After you set them and save this record, the only change you can make is to *also* account for the payment when the payment clears.

- **Both (When Payment is Issued, and When Payment Clears):** Payables accounts for each payment you issue twice—once as an unreconciled payment and once again as a cleared payment. If you select both options you have the same functionality as the Allow Reconciliation Accounting option provided in previous releases.

Payables creates the following accounting entries after payment issue:

- **unreconciled payment:** debit the AP Liability account and credit the Cash Clearing account

For future dated payments, debit the AP Liability account and credit the Future Dated Payment Account. Then, at payment maturity, debit the Future Dated

payment Account and credit the Cash Clearing account.

Payables then creates the following accounting entries after payment reconciliation or clearing in Cash Management:

- **reconciled payment:** debit the Cash Clearing account and credit the Cash account
- **bank charges:** debit the Bank Charges account and credit the Cash account
- **bank errors:** account in Cash account and Bank Errors account. Debits and credits depend whether the bank error was a positive or negative amount
- **When Payment is Issued:** Payables accounts for each payment once, after payment issue. After you issue the payment, Payables creates the following accounting entries.
 - **unreconciled payment:** debit the AP Liability account and credit the Cash account.

For future dated payments, debit the AP Liability account and credit the Future Dated Payment Account. Then, at payment maturity, debit the Future Dated payment Account and credit the Cash account.

Although you can reconcile the payment in Cash Management, Payables does not create accounting entries for payment reconciliation, bank charges, or bank errors, or gain and loss at reconciliation.

- **When Payment Clears.** If you select only this option, Payables accounts for each payment once, after clearing. After you clear the payment in Oracle Cash Management, Payables creates the following accounting entries.
 - **reconciled payment:** debit the AP Liability account and credit the Cash (asset) account.
 - **bank charges:** debit the Bank Charges account and credit the Cash account.
 - **bank errors:** account in Cash account and Bank Errors account. Debits and credits depend whether the bank error was a positive or negative amount.

See also: Accounting Methods, page 1-42.

Account For Gain/Loss: Select the time at which you will record currency gains or losses for foreign currency payments. If you selected Account For Payment When Payment Clears above, then the system enables the When Payment Clears option here and you cannot update it. See also: Gain/Loss Calculation, *Oracle Payables User's Guide*.

Note: Carefully consider these settings at implementation time. After

you set them and save this record, the only change you can make is to *also* account for the gain/loss when the payment clears.

The combination of Payables options you select and your accounting method control which gain and loss accounting entries Payables creates. The following table shows between which transactions Payables calculates gains and losses, depending on your system setup:

Gain/Loss Accounting for Accrual Basis Accounting

Account for Payment Transaction	Account for Gain/Loss: Payment Issue Only	Account for Gain/Loss: Payment Clearing Only	Account for Gain/Loss: Payment Issue and Payment Clearing
Account for Payment: Payment Issue Only	Invoice -> Payment Issue	(not available)	(not available)
Account for Payment: Payment Clearing Only	(not available)	Invoice ->Payment Clearing	(not available)
Account for Payment: Payment Issue and Payment Clearing	(not available)	Invoice -> Payment Clearing When accounting for the Payment, Payables uses the invoice exchange rate so there's no gain/loss at payment time)	1) Invoice -> Payment Issue 2) Payment -> Payment Clearing For future dated payments: 1) Invoice -> Payment 2) Payment ->Payment Maturity, and 3) Payment Maturity -> Payment Clearing

The following table shows between which transactions Payables calculates gains and losses, depending on your system setup:

Gain/Loss Accounting for Cash Basis Accounting

Account for Payment Transaction	Account for Gain/Loss: Payment Issue Only	Account for Gain/Loss: Payment Clearing Only	Account for Gain/Loss: Payment Issue and Payment Clearing
Account for Payment: Payment Issue Only	(not available)	(not available)	(not available)
Account for Payment: Payment Clearing Only	(not available)	(not available)	(not available)
Account for Payment: Payment Issue and Payment Clearing	(not available)	Payment -> Payment Clearing	Payment -> Payment Clearing For future dated payments: 1) Payment Issue -> Payment Maturity, and 2) Payment Maturity -> Payment Clearing

You can select one or both options.

- **Both. (When Payment is Issued and When Payment Clears).**
 - Cash Basis: Record currency gains and losses between payment time and payment clearing time.
For future dated payments, records gains and losses between payment and payment maturity and then between payment maturity and payment clearing.
 - Accrual Basis: Record currency gains and losses between invoice time and payment issue time. For future dated payments, record gains and losses between invoice time and payment issue, and then between payment issue and maturity time of the payment.
Then record currency gains and losses between payment time (payment maturity time for future dated payments) and payment clearing time.
- **When Payment is Issued.** (Available only if you use accrual basis accounting). Record currency gains and losses between invoice time and payment issue.
- **When Payment Clears.** If this is the only enabled option, then Payables will record

currency gains and losses between payment time and payment clearing time

- **Cash Basis:** Records gains and losses between payment issue and payment clearing.
- **Accrual Basis:** Record gains and losses between invoice time and payment clearing.

Account for Gain/Loss. Select the transaction level at which you want to calculate foreign currency gains and losses.

When Automatic Offsets is enabled in the Accounting Option tab, you can select only For Each Invoice. If you set this option to For Total Payment then you cannot enable Automatic Offsets in the Accounting Option region.

- **For Each Invoice.** Calculate the gain or loss for each invoice on the payment.
- **For Total Payment.** Calculate the gain or loss for the entire payment.

Future Dated Payment Account Source. You can define a future dated payment account at both the supplier site and the payment document level. This option controls which account Payables will use to create accounting entries for future dated payments.

- **From Payment Document**
- **From Supplier Site**

Automatic Offset Method. Enable Automatic Offsets by selecting Balancing or Account as your Offset Method if you want Payables to automatically create balancing accounting entries for your invoice and payment transactions. For details, see: Automatic Offsets, *Oracle Payables User's Guide*.

Important: Carefully consider this option before setting it. Changing your automatic offset setting after creating accounting entries can result in slower accounting process performance. Also, under certain circumstances, changing this setting can result in accounting irregularities.

- **None.** Do not use Automatic Offsets. For your invoice transactions, Payables creates one liability accounting entry, and for your payment transactions, Payables creates one cash type accounting entry.
- **Balancing.** Payables uses the supplier site's default liability account and overwrites the balancing segment (usually the company code) with the balancing segment from the expense distribution GL Account.
- **Account.** When creating the offsetting liability account, Payables uses the expense GL Account from the invoice distribution and overwrites the account segment with

the default liability account from the supplier site.

Discount Method. The method you want Payables to use for distributing the discounts you take when making payments.

If you leave this field blank, Payables uses the System Account method for distributing your discounts.

- **Prorate Expense.** Payables automatically prorates any discounts across all the invoice distributions. Payables assigns the discount to the charge account unless the invoice is matched to a purchase order with Accrue on Receipt enabled, in which case it is assigned to the price variance account.

If your Exclude Tax From Discount Calculation Payables option is enabled in this window and you enable this option, then the discount is prorated only to the expense lines and not the tax lines.

- **Prorate Tax.** Payables automatically prorates a percentage of the discount amount across the tax distributions. Payables only prorates the percentage of discount amount equal to the percentage of your tax distributions. Payables credits the remaining discount amount to the Discount Taken account you enter in the Financials Options window.

For example, if your tax distributions are 10 percent of the total invoice amount, Payables prorates 10 percent of the discount amount across the tax distributions. Payables credits the remaining 90 percent of the discount amount to the Discount Taken account.

You cannot select Prorate Tax if your Exclude Tax From Discount Calculation Payables option is enabled in this window.

- **System Account.** Payables credits all discounts to the system Discount Taken account you define in the Financials Options window.

If you enable Automatic Offsets, and you want to have Payables distribute Discount Taken amounts across balancing segments, choose this method. See also: Automatic Offsets, *Oracle Payables User's Guide*.

If you enable the Use Bank Charges option in the payment region, the Discount Distribution Method defaults to System Account and you cannot update it.

Approval Payables Options

Use Invoice Approval Workflow. Enable this option if you want to use the Invoice Approval Workflow feature to automate your invoice approval process. The workflow determines if an invoice needs any individuals to approve payment of the entire invoice (document) or invoice line, and if so, automatically routes the invoice to designated approvers who then approve or reject the invoice document or line. When you enable this option, almost all invoices must be processed by the Invoice Approval Workflow. For details see: Invoice Approval Workflow Overview, *Oracle Payables User's Guide*.

Note: The system automatically initiates invoice approval workflow for self service invoices that are not matched to a purchase order and that come from iSupplier Portal or the Payables Request responsibility.

Allow Force Approval. Enable this option if you use the Invoice Approval Workflow Program and want to allow accounts payable processors to override the workflow and manually approve invoices or invoice lines. Use the Invoice Actions window to manually approve the invoice document or the Force Line Approval check box to manually approve the invoice line. For example, you might want to force approve an invoice if the Invoice Approval Workflow does not complete for an invoice, or if you have authority to pay an invoice without using the workflow process. See: Invoice Approval Workflow Overview, *Oracle Payables User's Guide*.

Approval Processing Sequence. Select the order of how the system executes the accounting, approval, and validation processes.

Note: For self-service invoices that are not matched to a purchase order and that come from iSupplier Portal or the Payables Request responsibility, approval is always required before validation regardless of the option selected.

Options included:

- **Require Validation Before Approval.** If you enable this option, then Invoice Approval Workflow does not select any invoice for processing unless the invoice status is Validated. You might want to enable this option if you need the Invoice Validation process to create tax distributions for an invoice before approvers review it. See: Invoice Validation, *Oracle Payables User's Guide* and Invoice Approval Workflow Overview, *Oracle Payables User's Guide*.

You cannot enable this option unless you first enable the Use Invoice Approval Workflow Payables option.

- **Require Accounting Before Approval.** If you enable this option, then Invoice Approval Workflow does not select any invoice for processing unless the invoice status is Accounted. The validation process always runs before the accounting process. See: Invoice Validation, *Oracle Payables User's Guide* and Invoice Approval Workflow Overview, *Oracle Payables User's Guide*.

Currency Payables Options

Use Multiple Currencies. Enable this option if you want to enter and pay invoices in a currency different from your ledger currency. Payables also allows you to define a multiple currency payment format and bank account if you enable this option.

If you update this Payables option from enabled to disabled, Payables checks and warns you if you have any multiple currency bank accounts that are using multiple currency

payment formats. You must inactivate the payment documents that use multiple currency payment formats and change the Multiple Currency field value on multiple currency bank accounts to disabled before you can change this Payables option from enabled to disabled.

Require Exchange Rate Entry. Enable this option to require entry of an exchange rate whenever you enter an invoice or a payment in a currency other than your ledger currency or an associated fixed rate currency. If you maintain daily rates in the Daily Rates window, Payables defaults the rate automatically, based on the date and the Rate type you enter. If the exchange rate type is User, then Payables always requires an exchange rate, either entered by the user or calculated by the system.

You cannot create accounting entries for or pay foreign currency invoices without exchange rates. After you have entered invoices or created payments, you can enter exchange rates, either manually, or by using the AutoRate program.

When you create bills payable, you are required to enter the Maturity Rate, Maturity Rate Type, and Maturity Rate Date.

Calculate User Exchange Rate. If you already know the ledger currency amounts of any foreign currency invoices you are entering, then you can enable this option so Payables can calculate and enter effective invoice exchange rates for those invoices.

This functionality applies to invoices you enter in the Invoices window and invoices you import from the Payables Open Interface Import program. If this option is enabled, then when you enter a foreign currency invoice, if you select the exchange rate type of User and you provide the ledger currency amount, then Payables calculates and enters the exchange rate.

Payables allows you to enter a value for ledger currency amount in the Invoices window only if this option is enabled.

If this option is enabled then when you enter a foreign currency invoice, you still have the option of entering a foreign currency invoice amount and exchange rate so Payables will calculate and enter the ledger currency amount.

A new option **Use Invoice Exchange Rate for Prepayment Application Tax Line** is added. This checkbox is not selected by default. If you select this option, then on prepayment the functional amount for tax associated with Prepayment is calculated using the exchange rate specified on the Standard Invoice. If this option is not selected, then on prepayment the functional amount for tax associated with Prepayment is calculated using the exchange rate specified on the Prepayment Invoice. If you change the option at any time, the prepayment already applied are not impacted.

Exchange Rate Type. Payables uses this as the default exchange rate type when you enter invoices or create payments. See: *Types of Exchange Rates, Oracle Payables User's Guide*.

Realized Gain/Loss. Payables uses these accounts as the default realized gain and loss accounts for payments from each of your bank accounts. If the exchange rate changes between invoice entry and payment, Payables automatically calculates the realized gain or loss and records it in this account. Payables records gains and losses only if you use

accrual basis accounting. The Account for Gain/Loss Payables option controls when Payables accounts for gains and losses.

Rounding. Payables uses this account for currency rounding at the following times:

- You use multiple currencies and the payment currency does not round within the payment currency precision. For example, if a payment rounds to 100.001 GBP, the payment will be for 100.00 GBP, and the rounding error of .001 will be recorded in this account.
- The ledger currency amounts of payments do not equal the amount recorded as the liability. The system charges the remaining amount to the rounding account to fully relieve liability. This happens when you make the final payment of an invoice that is already partially paid.
- You have enabled automatic offsets and the cash account is pooled, and you have rounding errors. The system charges the remaining amount to the rounding account to fully relieve the cash clearing account. This happens when you make the final payment of an invoice that is already partially paid.

Related Topics

AutoRate Program, *Oracle Payables User's Guide*

Entering Daily Rates, *Oracle General Ledger User Guide*

Expense Report Payables Options

Default Template. The default expense report template that you want to use in the Payables Expense Reports window. You can override this value in the Expense Reports window. A default expense report template appears in the Expense Reports window only if the expense report template is active.

Apply Advances. Default value for the Apply Advances option in the Expense Reports window in Payables. If you enable this option, Payables applies advances to employee expense reports if the employee has any outstanding, available advances. You can override this default during expense report entry.

If you use Internet Expenses and you enable this option, then Expense Report Export applies all outstanding, available advances, starting with the oldest, up to the amount of the Internet expense report.

Automatically Create Employee as Supplier. If you enable this option, when you import Payables expense reports, Payables automatically creates a supplier for any expense report where an employee does not already exist as a supplier. If the supplier site you are paying (HOME or OFFICE) does not yet exist, Payables adds the supplier site to an existing supplier. Payables creates a HOME or OFFICE supplier site with the appropriate address, depending on where you are paying the expense report. The Home address is from the PER_ADDRESSES table, and the Office address is from the HR_LOCATIONS table. Payables creates suppliers based on the defaults you select in

this region and employee information from the Enter Person window. You can review suppliers and adjust any defaults in the Suppliers window.

If you do not enable this option, enter an employee as a supplier in the Suppliers window and link the Employee Name/Number to the supplier before you use Expense Report Export. Payables cannot export expense reports without corresponding suppliers, and lists them on Export Results page.

Payment Terms. Payment terms you want to assign to any suppliers that you create from employees during Expense Report Export.

Tip: Define and assign immediate payment terms for your employee suppliers.

Pay Group. Pay Group you want to assign to any suppliers that you create from employees during Expense Report Export. You can define additional values for Pay Group in the Purchasing Lookups window.

Payment Priority. Payment priority you want to assign to any suppliers that you create from employees during Expense Report Export. A number, between 1 (high) and 99 (low), which represents the priority of payment for a supplier.

Hold Unmatched Expense Reports. This option defaults to the Hold Unmatched Invoices option for the supplier and supplier site for any suppliers Payables creates during Expense Report Export.

When Hold Unmatched Invoices for a supplier site is enabled, Payables requires that you match each invoice for the supplier site to either a purchase order or receipt. If you enable this option for a site, then Payables applies a Matching Required hold to an invoice if it has Item type distributions that are not matched to a purchase order or receipt. Payables applies the hold to the invoice during Invoice Validation. You cannot pay the invoice until you release the hold. You can release this hold by matching the invoice to a purchase order or receipt and resubmitting Invoice Validation, or you can manually release the hold in the Holds tab of the Invoice Workbench. Payables will not apply a hold if the sum of the invoice distributions by accounting code combination is zero.

Related Topics

Entering Supplier Information, *Oracle iSupplier Portal Implementation Guide*

Expense Report Export Program, *Oracle Payables User's Guide*

Expense Reports, *Oracle Payables User's Guide*

Interest Payables Options

Use this region to enable Automatic Interest Calculation and then enter defaults, such as expense and liability accounts, for the interest invoices Payables creates automatically when you pay overdue invoices.

Allow Interest Invoices. Enable this option if you want to allow Payables to calculate interest for overdue invoices and create interest invoices for selected suppliers. Payables automatically creates interest invoices when you pay overdue invoices in a payment batch or with a Quick payment. If you pay an overdue invoice using a manual payment, Payables warns you that interest is due on the invoice and you should pay the invoice in a payment batch or with a Quick payment.

If you enable this option, the setting of the Prorate Across Invoices option on the Accounting Option region indicates how you want Payables to account for interest invoices.

When you enable the Allow Interest Invoices Payables option, Payables enables the Allow Interest Invoices option in the Payment Region of the Suppliers window for all new suppliers you enter. You can override this default value at any time. If you do not enable the Allow Interest Invoices Payables option, you cannot enable the Allow Interest Invoices option in the Suppliers window.

Minimum Interest Amount. If you enable the Allow Interest Invoices option, you must enter a value in this field that represents the minimum interest amount Payables will pay. If the calculated interest amount is less than this amount, Payables does not create an interest invoice.

Note: Because interest payments compound every thirty days, we suggest you pay interest when it is due, rather than allowing it to compound. Set the minimum interest amount low enough so that your interest does not compound, but not so low that you pay very exceedingly small amounts of interest on past due invoices.

Expense Interest Invoice Account.

If the Prorate Across Invoices option on the Accounting Option region is disabled then when Payables creates an interest invoice it creates a single distribution with this account.

If the Prorate Across Invoices option is enabled then Payables uses the natural (charge) account from the account you enter here when it builds expense accounts for an interest invoice.

Liability Interest Invoice Account. If you enable the Allow Interest Invoices option, you must enter a liability account. Payables uses this account as the liability account when it creates accounting entries for interest invoices. This liability account is always used when interest invoices are automatically created during the payment process. Payables does not overwrite the liability account if you use Automatic Offsets. See: *How Payables Builds the Offsetting Liability Accounts, Oracle Payables User's Guide.*

The following section is applicable to customers who use transaction codes. Transaction codes are typically used by US Federal Government customers to produce both proprietary and budgetary entries for a given transaction.

Related Topics

Automatic Interest, *Oracle Payables User's Guide*

Invoice Payables Options

Confirm Date as Invoice Number. If you enable this option, then during invoice entry when you accept the invoice date as the default for invoice number, Payables displays a pop-up window that reads, "Use the Invoice Date as the Invoice Number?"

Allow Online Validation. Enable this option if you want to allow users to select Invoice Validation from the Invoice Actions window or choose the Validate button in the Invoice Batches window. See: Submitting Online Validation for Invoices, *Oracle Payables User's Guide* and Submitting Online Validation for Invoice Batches, *Oracle Payables User's Guide*.

Allow Document Category Override. Enable this option if you want to allow users to override the default Document Category assigned to an invoice by Payables. Payables automatically assigns a document category to an invoice if your Sequential Numbering profile option is Partially Used or Always Used. Payables predefines a document category for each invoice type. Your system administrator can define additional document categories for an invoice type.

If your Sequential Numbering profile option is Not Used, Payables does not assign a document category to an invoice and you cannot enable this option, or enter a document category for an invoice.

Allow Adjustments to Paid Invoices. Enable this option if you want to allow users to update the distributions of a paid invoice. If you enable this option you can also reverse a match to a purchase order document and then match to another purchase order document that is not final matched. This means you could create a distribution variance on a paid invoice if you do not ensure the distributions total equals the invoice amount when you do your invoice adjustments. You would discover this possible error when you submit Invoice Validation because Invoice Validation would place a Distribution Variance hold on the invoice and prevent you from creating accounting entries for the invoice.

Recalculate Scheduled Payment. Payables calculates scheduled payments using a start date and payment terms. For example, if the start date is 01-JAN-2002 and the payment terms are Net 30, the invoice will be payable in full on 30-JAN-2002. During invoice entry, Payables automatically calculates scheduled payments for invoices using the invoice payment terms, and the invoice terms date as the start date.

If you enable the Recalculate Scheduled Payment Payables option, Payables automatically recalculates scheduled payments of invoices during Invoice Validation, unless you have manually updated any of the scheduled payments or used the Split Schedule functionality. Note that Payables also recreates scheduled payments during Invoice Validation if you enable the Exclude Tax from Discount Calculation Payables option and you have made changes to the tax amount. This recreation of scheduled payments is not based whether you select this option.

During recalculation, Payables uses the most recent of the available start date options and the most favorable of the available payment terms options so you can optimize your cash flow. Payables determines which payment terms are more favorable by comparing the rank you assigned to the terms in the Payment Terms window. The following table shows which options Payables uses during the recalculation. The available options are different depending on whether the invoice is purchase order matched.

Is Invoice PO Matched?	Start Date	Payment Terms
No	Most recent of the following: 1. Invoice Date 2. Terms Date 3. Date Goods Received + Receipt Acceptance Days	Invoice Payment Terms
Yes	Most recent of the following: 1. Invoice Date 2. Terms Date 3. Date Goods Received + Receipt Acceptance Days	More favorable of the following: 1. Invoice Payment Terms 2. Purchase Order Payment Terms

Allow Remit-to Account Override. Check this check box if you want to allow users to change the default primary supplier site bank account during Quick payment and payment batch creation. If you enable this option, you can override the Payables default of the Remit-to field of the Payments window and the Modify Payment Batch window. You can then select an alternate Remit-to account from a list of the supplier site's active bank accounts that use the same payment currency.

Allow Remit To Supplier Override. If this option is enabled, then you can override the default Remit To Supplier Name and Site values at the Invoice windows

Receipt Acceptance Days. Number of days you accept receipts.

GL Date Basis. The date you want Payables to use as the default accounting date for invoices during invoice entry.

- **Invoice Date.** Invoice date you enter during invoice entry.
- **System Date.** Current date for your Payables system. The date you enter the invoice.
- **Goods Received/Invoice Date.** Date that you enter in the Date Goods Received field. If no value is entered, then the invoice date is used.

- **Goods Received/System Date.** Date that you enter in the Date Goods Received field. If no value is entered, then the system date is used.

Freight Account. Payables uses this account as the default freight account for an invoice. You can override this account during invoice entry. See also: *Entering Freight on Invoices, Oracle Payables User's Guide.*

The system uses the value you enter here for all freight charges your suppliers enter online in Oracle iSupplier Portal. If you do not enter a value here then the system prorates freight charges across Item lines on iSupplier Portal invoices.

The system uses the value you enter here for all freight charges your suppliers send in XML invoices. If you do not enter a value here then the import prorates freight charges across Item lines on XML invoices.

Tax %. For Sales, Offset, and user-defined tax types, Payables Invoice Validation verifies that within the tolerance you enter here, each tax distribution amount equals the sum of the distributions that are taxable by the tax code, multiplied by the tax rate of the tax code.

Payables Invoice Validation applies a Tax Variance hold to the invoice if it is not within the tolerance you specify. For more information, see: *Process Checklist for Tax Determination and Tax Calculation, Oracle E-Business Tax User Guide.*

Tax Amount Range. The amount of variance you allow between the actual invoice tax amount and the invoice calculated tax amount.

Prepayment Payment Terms. Payment terms that you want to use for all prepayments. For example, you may want to have immediate payment terms for all prepayment type invoices. Note that this value does not exist at the supplier or supplier site level; the value you enter here defaults to prepayment invoices.

Note: Prepayment payment terms is not available to the advance and contract financing type of prepayment. The advance and contract financing type of prepayment uses the PO payment terms as the default.

Prepayment Settlement Days. Number of days you want Payables to add to the system date to calculate a default settlement date for a prepayment. Payables prevents you from applying the prepayment to an invoice until on or after the settlement date.

If you do not enter a value here, then Payables will default the supplier site value for invoice payment terms to prepayments you enter.

Matching Payables Options

Allow Final Matching. Enable this option to allow final matching of purchase order matched invoices. You can indicate a final match when you match an invoice to a purchase order during invoice entry or when you adjust a matched invoice distribution. You cannot final match when you match invoices to receipts.

Important: If you final match to a purchase order, any subsequent invoices matched to the purchase order will be placed on hold, and you cannot manually release the hold. See also: Final Matching and Final Closing Purchase Orders, *Oracle Payables User's Guide*.

Allow Distribution Level Matching. Enable this option if you want to allow matching to purchase order distributions. If you enable this option, you can match an invoice to one or more purchase order distributions. If you do not enable this option, Payables only allows you to match an invoice to a purchase order shipment.

This option is applicable when you match an invoice to a purchase order. You can also manually enter PO distributions in the invoice line.

Allow Matching Account Override. Enable this option if you want to allow override of the account for an invoice distribution created from matching to a purchase order. You can override the account for a matched invoice distribution in the Distributions window of the Invoice Workbench, or on any imported invoices. You cannot override the account for a matched invoice distribution if you use encumbrance accounting, or perpetual receipt accrual. In addition, you cannot override the account if the purchase order is projects related and the item destination for the purchase order distribution is Inventory.

Transfer PO Descriptive Flexfield Information. Enable this option if you want Payables to automatically transfer the descriptive flexfield information from the purchase order shipment to purchase order lines and the descriptive flexfield on purchase order distribution to the AP distribution when you match an invoice to a purchase order. If you enable this option, make sure that the flexfield structure is the same for purchase order distributions and invoice distributions.

Please note that for invoices imported through the invoice open interface if a value is provided for any flexfield attribute in the invoice open interface, that value will overwrite the resulting attribute value on the invoice.

Goods Tolerances. The tolerance template used for goods tolerances.

Services Tolerances. The tolerance template used for services tolerances.

Note: The Matching Payables Options tolerances take effect if there are no tolerances templates associated to each individual supplier site.

Related Topics

Automatic Interest, *Oracle Payables User's Guide*

Payment Terms, page 1-74

Scheduling Invoice Payments, *Oracle Payables User's Guide*

Payment Payables Options

Exclude Tax From Discount Calculation. If you enable this option, when you enter an invoice, Payables subtracts the tax amount from the invoice amount when it calculates the discountable amount for a scheduled payment. For more information, see *Discounts, Oracle Payables User's Guide*

If you enable this option, you cannot select Prorate Tax for your Discount Distribution Method Payables option. Note that even if you enable this option, taxes with corresponding offset taxes, such as VAT taxes, will be excluded from discount calculation to the extent not offset.

If you do not enable this option, Payables uses the gross amount (including the tax amount) of an invoice as the invoice amount applicable to discount. When you enter an invoice you can always override the default invoice amount applicable to discount. However, we recommend that you do not modify that amount to reduce it by the tax amount if your Exclude Tax From Discount Calculation Payables option is enabled.

Allow Pre-Date. If you enable this option, Payables allows you to create payments with a payment date before the system date.

Allow Void and Reissue. If you enable this option, you can reissue a Quick payment. You may need to reissue a check for a Quick payment if it is spoiled during printing. When you reissue a check, Payables voids the old check and creates a replacement check. The checks are identical except that the new check has a new check number, and optionally a new payment date.

You cannot select the Void and Reissue option for Bills Payable.

Allow Address Change. Enable this option if you want to allow users to address a payment to an address other than the invoice's supplier site's address.

Enable Bank Charge Deduction from Payment. Enable this option if you want to allow users to deduct bank charges from payment.

Deduct Bank Charge from Payment. If the Enable Bank Charge Deduction from Payment check box is enabled, you can set the deduction to one of the following options: No; Supplier/Negotiated; or Supplier/Standard.

Allow Remit To Supplier Override. If this option is enabled, then you can override the default Remit To Supplier Name and Site values at the Invoice windows.

Reports Payables Options

Sort by Alternate Fields. You can enter alternate names for suppliers, supplier sites, and bank accounts. Use this feature if you do business in Japan so you can enter both Kanji and Kana values.

If you enable this option then Payables sorts by values in the alternate fields whenever it sorts reports by supplier name, supplier site name, and bank account name. Although Payables sorts by the alternate name, it prints the standard name on the report.

The following table lists the reports affected by this option. If a report sorts by an alternate field value, the table indicates this with a Yes.

Report Name	Sorted by Supplier Name	Sorted by Supplier Site Name	Sorted by Bank Account Name
Accounting Entries Audit Report	Yes		
Cash Requirement Report	Yes		
Invoice Aging Report	Yes	Yes	
Invoice on Hold Report	Yes		
Invoice Register	Yes		
Preliminary/Final/Rejected Purged Listings	Yes		Yes
Supplier Mailing Labels	Yes	Yes	
Suppliers Paid Invoice History	Yes	Yes	
Suppliers Report	Yes	Yes	
Unaccounted Transactions Report	Yes		

Tax Reporting Payables Options

Use this region to enter defaults for tax reporting.

Combined Filing Program. Enable this option if you are using 1099 Combined Filing Program reporting. When you submit the 1099 Electronic Media report, Payables will produce K-records for all tax regions participating in the Combined Filing Program that have qualifying payments.

Note: If you use electronic filing or magnetic media to file your tax information with the Internal Revenue Service and you are not

participating in the Combined Filing Program, do not enable this option. The Internal Revenue Service may return your 1099 magnetic tape if the tape contains K records.

Use Pay Site Tax Region. You can enable this option only if you enable the Combined Filing Program Payables option.

Enable this option if you want to use a 1099 supplier's tax region as the default tax region. If you enable this option, Payables uses the 1099 supplier site's region as the default tax region for the invoice distributions. You can override this default region for each invoice distribution in Distributions window.

Do not enable this option if you do not want to use a supplier site's tax region as the default tax region. You must then enter the default tax region you want to use for all invoices in the next field, the Income Tax Region Name field.

The default you choose here determines how many K records Payables will produce on your 1099 Electronic Media. Payables produces one K record for each tax region. If you are participating in the Combined Filing Program, Payables forwards your 1099 qualifying payment information to all the tax regions that participate in the Combined Filing Program. If you enable this option, you may have as many K records as you have different supplier tax regions.

If you choose a default Income Tax region in the next field, you may have only one K record. This would be a K record for that one default tax region. Of course, you can always override the default tax region for each invoice distribution. In this case, Payables will then produce additional K records on your 1099 Electronic Media, one K record for each tax region. Payables only produces K records for tax regions that participate in the Combined Filing Program and that you have entered (either as a default or manually) on a paid distribution for a 1099 supplier. You can also choose to have your 1099 payment information forwarded to only one tax region regardless of which region your 1099 suppliers do business from. You do this by entering a value in the following Income Tax Region name field.

Income Tax Region. You can enter this field only if you enable the Combined Filing Program Payables option and did not enable the Use Pay Site Tax Region option. Enter the tax region you wish to use as the default for the invoice distributions of your 1099 suppliers. You can override this default region for each invoice distribution.

Withholding Tax Payables Options

Use Withholding Tax. Select this option to enable Automatic Withholding Tax. If you enable this option, you have the option to allow your suppliers and supplier sites to be subject to withholding tax.

Allow Manual Withholding. Enable this option to allow manual creation and adjustments of Withholding Tax type distributions for your invoices.

Tax Group. The name of the withholding tax group that you would like to use as the

default withholding tax group for the new suppliers you enter.

Apply Withholding Tax. Select the time at which you would like Payables to apply withholding taxes to your supplier's invoices:

- **Never.**
- **At Invoice Validation Time.**

Note: If Payables withholds tax at Invoice Validation, it calculates withholding only once. If you adjust an invoice after you submit Invoice Validation, then you need to manually adjust the withholding tax.

- **At Payment Time.** When you create payments in a payment batch or with a Quick payment.
- **At Invoice Validation and At Payment Time.** Indicates when the Withholding Tax is applied, that is at the time of both Invoice Validation and at the Payment.

Withholding Amount Basis.

- **Include Discount Amount.** Payables includes the invoice discount amount when it calculates withholding tax amounts for the invoice.
- **Include Tax Amount.** Payables includes the invoice tax amount when it calculates withholding tax amounts for the invoice.

Create Withholding Invoice. Select the time at which you would like Payables to automatically create withholding tax invoices to remit withheld taxes to tax authorities:

- **Never.** You can create a withholding type tax code without entering a tax authority. However, if you change to an option other than Never, you will need to manually ensure that each withholding type tax code has an associated tax authority.
- **At Invoice Validation Time.**
- **At Payment Time.**

Include Income Tax Type on Withholding Distributions. If you enable this option then you can report on federal income tax withheld (MISC4) for 1099 suppliers.

When this option is enabled, then when Payables automatically creates distributions of type Withholding Tax for 1099 reportable suppliers, Payables automatically provides the following values:

- Income Tax Type value of MISC4.

- Income Tax Region value, if the Combined Filing Payables option is enabled.

Note: Payables provides these values only for distributions it creates automatically. If you create a Withholding Tax distribution manually, then you need to enter these values manually.

When you enable this option, Payables initiates the Update 1099 Withholding Tax Distributions program, which updates these values on existing Withholding Tax distributions. The program selects distributions to update as follows:

- If the current date is before March 1 of the current calendar year then the program updates distributions with a payment date of January 1 of the previous calendar year or later.
- If the current date is March 1 of the current calendar year or later, then the program updates distributions that have a payment date of January 1 of the current year or later.

Related Topics

Automatic Withholding Tax Overview, *Oracle Payables User's Guide*

Supplier Payables Options

A new Tab, Supplier, is added in the Payables Option window. This new tab has one region Payment and contains the following fields:

Invoice Currency: Enter or select an invoice currency. This field is of type LOV and displays Currency Code, Currency Name and Currency Description.

Pay Group: Enter or select a pay group. This field is of type LOV and displays Pay Group and Pay Group description.

Note: When entering Pay Group, enter the value as Standard. It is case-sensitive. Therefore, use Standard instead of STANDARD.

Terms Date Basis: Enter or select terms date basis. This is of type Drop Down and has the following five seeded values.

- System
- Goods Received
- Invoice
- Invoice Received
- NULL

Pay Date Basis: Enter or select a pay date basis. This field has the following three seeded values:

- Discount
- Due
- Null

Payment Terms: Enter or select a payment term.. This field is of type LOV and displays Payment Terms and Pay Terms description.

Based on the setup, these fields default to the supplier sites during site creation.

The setup of Supplier tab in Payables Options is optional and if you don't setup these values then the values for Supplier site will be defaulted from Supplier.

Special Calendar

Use the Special Calendar window to define periods that Payables uses for automatic withholding tax, recurring invoices, payment terms, and for the Key Indicators Report. For example, if you monitor staff productivity weekly, use this window to define weekly periods for the Key Indicators calendar type.

The Report Run display-only check box indicates that a Key Indicators Report has been run for this period. The check box is not applicable to Payment Terms, Withholding Tax, or Recurring Invoices calendar types.

Note: The periods you define in the Special Calendar window are completely separate from the periods you define in the Accounting Calendar window for your AP Accounting Periods. See: *Defining Calendars, Oracle General Ledger User's Guide.*

To set up a special calendar

1. In the Special Calendar window, select the Type of calendar you want to define:
 - Recurring Invoice
 - Withholding Tax
 - Payment Terms
 - Key Indicator
2. Enter a calendar name and description. You will select this name from a list of values when you assign a special calendar to a key indicator report, a recurring

invoice template, a withholding tax type tax code, or payment terms.

Enter the number of periods per year. For example, if you use a 12 month period calendar, enter 12.

3. Enter a period name. For example, Jan, Feb, Mar, etc., or Q1, Q2, Q3, Q4.

Enter in the Year field the calendar year in which a period occurs.

Enter numbers in the Sequence fields to indicate the order that the periods occur in. The sequence numbers of a period should represent the sequence of the period in a regular calendar. May through December 2002 should be sequenced 5 through 12, and January 2003 should be sequenced 1.

Enter the From Dates and the To Dates for the period. Periods within a year cannot overlap.

Payables displays the System Name for the period by combining the accounting period name you entered with the last two digits of the From Date. Payables lists System Names whenever you select a period name from a list of values. This way you can use the same period names every year, such as Jan, Feb, but they will be unique to the period, because they will be Jan-03, Feb-03.

4. If you are defining a payment terms calendar, enter a due date for each period. For invoices with terms dates that fall anywhere within the period, a due date defines the date on which these invoices become due. Be sure to define periods with due dates for any terms date for which a user will enter an invoice or expense report.
5. Save your work.

Related Topics

Key Indicators Report, *Oracle Payables User's Guide*

Automatic Withholding Tax Overview, *Oracle Payables User's Guide*

Entering Recurring Invoices, *Oracle Payables User's Guide*

Payment Terms, page 1-74

Payment Terms

Payment Terms (Vision Operations: USD)

Name: 30 Days Net, 14 Days -2%

Description: 30 Days Net, 2% Discount if no

Cut-off Day:

Rank:

Effective Dates: From 03-MAR-1999 To

[]

Due First Discount Second Discount Third Discount

% Due	Amount	Calendar	Fixed Date	Days	Day of Month	Months Ahead
100				30		

In the Payment Terms window, you define payment terms that you can assign to an invoice to automatically create scheduled payments when you submit Payables Invoice Validation for the invoice. You can define payment terms to create multiple scheduled payment lines and multiple levels of discounts. You can create an unlimited number of payment terms.

Payment terms have one or more payment terms lines, each of which creates one scheduled payment. Each payment terms line and each corresponding scheduled payment has a due date or a discount date based on one of the following:

- a specific day of a month, such as the 15th of the month
- a specific date, for example, March 15, 2002
- a number of days added to your terms date, such as 14 days after the terms date
- a special calendar that specifies a due date for the period that includes the invoice terms date. Only due dates can be based on a special calendar. Discount dates cannot be based on a special calendar.

Each payment terms line also defines the due or discount amount on a scheduled payment. When you define payment terms, you specify payment amounts either by percentages or by fixed amounts.

You can also enter default payment terms for supplier sites in the Suppliers pages. The payment terms for a supplier site default to the standard invoices you enter for the site,

except in the following circumstances:

- You enter a PO Default or QuickMatch invoice in the Payments window, in which case the terms default from the purchase order.

The system populates the PO specified payment terms to the invoice if you specify the PO number in the invoice header level. If you do not specify the PO number, even if you specify the PO number in the invoice line, the system uses the supplier site's payment terms. This usually happens when you have one invoice matching to multiple POs.

- You import an invoice record that has payment terms specified on the record, or the import process can derive terms from purchase order matching.

You can override the default payment terms on any invoice.

Important: If you update the payment terms on an invoice, Payables immediately recalculates the scheduled payment for the invoice. Thus, you must re-enter any manual adjustments you made to the previous scheduled payment. For example, if you update the payment priority on a particular scheduled payment and then change the payment terms, Payables will immediately recalculate the scheduled payment using the same payment priority defaults as before and you will need to update the payment priority again.

If you use Multiple Language Support (MLS), you can define payment terms in each of your installed languages. Select Translations from the toolbar or menu to enter the payment term name and description in other languages. When you select payment terms from a list of values, the payment terms on the list will appear in your language. For more information, see the *Oracle E-Business Suite User Guide*.

Prerequisite:

- If you are defining calendar-based payment terms, define one or more payment terms type special calendars. See: Special Calendar, page 1-72.

To define payment terms

1. In the Payment Terms window, enter a unique payment term Name and a Description. These will appear on a list of values whenever you select payment terms.

For detailed information on any field, see: Payment Terms Window Reference, page 1-77.

2. If you enter Day of Month terms, enter a Cut-off Day.

3. If you enable Automatic Interest Calculation using the Interest Payables Options, enter a unique value in the Rank field.
4. If you want to make this payment term invalid on and after a certain date, enter that date in the To field of the Effective Dates region.

5. Enter each payment terms line.

Enter one of the following to determine the portion of an invoice due on the scheduled payment:

- % Due
- Amount

In the Due tab, enter one of the following to determine the due date on the scheduled payment line:

- Calendar
- Fixed Date
- Days
- Day of Month, and Months Ahead

6. If you use discount terms, define payment terms lines in the First Discount , Second Discount, and Third Discount tabs. Define your discounts so that the first discount has an earlier discount date than the second and so on. You can realize only one discount on a payment terms line.

Note: You cannot use a special calendar to define discount terms.

Enter one of the following to determine the portion of the invoice to discount on the scheduled payment:

- % Discount
- Amount

In the Discount tabs, enter the discount percent.

Enter one of the following to determine the due date on the scheduled payment line:

- Due Days
- Day of Month, and Months Ahead

Related Topics

Payment Terms Restrictions, page 1-79

Payment Terms Window Reference

Name. Payment term name. Use names that make it easy to identify the usage of payment terms. For example, use 1/10 Net 30 to refer to a payment term which indicates you get a 1% discount if you pay within 10 days and the invoice is due in 30 days. This name will appear on a list of values with the description whenever you select a payment term.

Description. Description of payment term.

Cutoff Day. For Day of Month type terms only, the day of month after which the due and discount dates of the scheduled payment will be in a future month. The exact month depends on the value you enter for Months Ahead. Payables compares the invoice terms date to the Cutoff Day. If you leave this field blank, Payables always uses the current accounting month to determine the due and discount dates. For example, your Cutoff Day is 11, your Months ahead is zero, and your Day Of Month due date is 15. If you enter an invoice with a terms date of January 12, Payables will set the due date for February 15.

If you use Due Days or Fixed Date type terms, do not enter a cutoff day.

Rank. If you enable Recalculate Scheduled Payment, enter a unique value to rank your invoice terms. 1 is the highest rank. Payables uses ranks to choose the most favorable payment terms from the invoice and purchase order. During Payables Invoice Validation, Payables recalculates the scheduled payment using the most favorable terms only if the Recalculate Scheduled Payment Payables option is enabled.

Effective Dates From and To: Effective Date range for a Payment Term is the date range when the Term is available for application on an invoice.

% Due. The portion of an invoice due. The total of your scheduled payment lines must equal 100%. You cannot combine percentages due and amounts due for one set of payment terms. See also: Payment Terms Restrictions, page 1-79.

Amount. For amount due terms only, enter the amount due. Typically amount due terms have more than one payment terms line since you must specify zero as the amount on your last payment terms line. Payables uses the zero amount payment line to determine the remaining amount due on the last scheduled payment. See also: Payment Terms Restrictions, page 1-79.

Due or Discount Date Region

Calendar. If you enter a value in the Calendar field, Payables determines due dates for scheduled payments by using a special calendar. A special calendar is divided into periods, and each period has a due date assigned to it. When you assign due dates to the periods of a payment terms calendar, you can avoid weekends, holidays, and so on.

You can define special calendars for payment terms in the Special Calendar window.

Note: If you use calendar-based terms, be sure to use calendars with periods defined for any invoice terms date that you will use. You cannot assign calendar-based terms in the Invoices window if there is not a period defined for the terms date. If you do so in the Quick Invoices window, then the system will use the terms date as the due date. If you do so for an expense report, you cannot import it.

Fixed Date. Specific month, day, and year on which payment terms are due.

% Discount. Payables uses the percentage you enter here to calculate the discount amount available for a scheduled payment. Payables multiplies this percentage with the amount due on the scheduled payment line to determine the discount amount available on the scheduled payment line. In the Second and Third Discount regions, you can enter second and third discount percentages for discounts available if you miss the first discount date. Do not enter a value in this field if there is no discount available.

Days. Payables adds this number of days to the invoice terms date to determine the due or discount date on your scheduled payment line. You cannot enter values in the Day of Month and Months Ahead fields for a payment terms line if you enter a value in this field.

Discount Calculation Options in Payment Terms to Support Quick Payments

The following changes are included in Payment Terms to support Quick Payments:

Discount Calculation Option. Discount Calculation option is included in payment terms. These are

- **Percentage Discount.** If the discounts are defined only in Percentage, then the existing logic for discount calculation is applied.
- **Discount Amount.** If the discounts are defined only in Amounts, then calculations are not applied and discount amounts are displayed directly on the payment schedules.

Note: If the Invoice amount is less than the Discount defined in the payment terms, then the discount amount applicable on Invoice is the invoice amount.

- **Criteria.** If the Criteria selected is Higher, then the higher of Percentage and Absolute discount amount is applied and vice versa.

Day of Month/Months Ahead

Day of Month. Payables uses the value you enter here to calculate a due or discount date for a scheduled payment. For example, enter 15 to have Payables schedule

payment for the 15th day of the month. Enter 31 if you want to have Payables schedule payment for the final day of the month, including months with less than 31 days.

Months Ahead. For Day of Month type terms only. Payables uses the value you enter here in conjunction with the Cutoff Day you enter to calculate the due or discount date of a scheduled payment line. If you enter zero in this field and the terms date of an invoice is the same as or later than the Cutoff Day, then Payables uses the day in the Day of Month field for the next month as the due date of an invoice payment line. If you enter 1 in this field, Payables uses one month beyond the next month as the due date. If you enter a value less than 0, that is a negative value, then an error displays.

You cannot enter a value in this field if you enter a value in the Due Days field.

Related Topics

Automatic Interest, *Oracle Payables User's Guide*

Financials Options, page 1-35

Scheduling Invoice Payments, *Oracle Payables User's Guide*

Discounts, *Oracle Payables User's Guide*

Payment Terms Restrictions, page 1-79

PAYMENT TERMS RESTRICTIONS:

% DUE/AMOUNT DUE. You cannot combine the percentage due and amounts due for one payment term.

CALENDAR. You cannot use a special calendar to define discount terms.

Signing Limits

Managers can approve an expense report only if the total amount of the expense report does not exceed their *signing limit*. The Manager (Spending) Approval Process in the Expense Reporting workflow uses the signing limits you define to determine which manager has authority to approve expense reports. You assign signing limits in your primary ledger currency.

When you assign signing limits to a manager, you also specify a cost center to which this signing limit applies. You can give managers signing limits for multiple cost centers.

To assign signing limits:

1. Navigate to the Employee Signing Limits window.
2. Select AP Expense Report as the document type.
3. Enter the name of the manager to whom you want to assign a signing limit.

4. Enter the cost center for which you want this manager to approve expense reports.
5. Enter a signing limit for this manager.
6. Save your work.

Related Topics

Setting Up Employees (*Oracle Internet Expenses Implementation and Administration Guide*)

Invoice Tolerances

Use the Invoice Tolerances Template window to define the matching tolerances you want to allow for variances between invoice, purchase order, and receipt information. You can define both percentage-based and amount-based tolerances.

Tolerances determine whether Payables places matching or tax holds on an invoice. When you submit Payables Invoice Validation for an invoice that you have matched to a purchase order or receipt, Payables checks that the invoice matches the purchase order or receipt within the purchase order matching tolerances you define.

If you enter a zero for a percentage tolerance and enable the check box for that tolerance, Payables will not allow any variance at all. If you want a low tolerance, you can enter a very small percentage. If you enter no value, then Payables will allow infinite variance.

Payables displays next to the tolerance field the name of the hold that Payables Invoice Validation applies to your invoice if the variance exceeds the tolerance you define.

To set tolerance levels for your invoices:

In the Invoice Tolerances Template window, select the check box for each tolerance you want to enforce, and enter tolerance levels for your purchase order matching transactions. Enter all amounts in your ledger currency.

- **Name.** Enter a unique name for the invoice tolerance template.
- **Description.** The description of the invoice tolerance template.
- **Type.** Choose either Goods or Services. Goods represent quantity based tolerances and Services represents amount based tolerances.
- **Maximum/Quantity Ordered.** Enter either the percent or quantity difference above purchase order shipment line quantity ordered that you allow suppliers to invoice. Payables Invoice Validation checks the quantity billed against the quantity ordered without taking price into consideration. Enter a Maximum Quantity Ordered tolerance only if most of your purchase orders are for the same relative value.

- **Maximum/Quantity Received.** Enter either the percent or quantity difference above purchase order shipment line quantity received that you allow suppliers to invoice. Payables Invoice Validation checks the quantity billed against the quantity received without taking price into consideration. Enter a Maximum Quantity Received quantity tolerance only if most of your purchase orders are for the same relative value.
- **Price.** The percentage difference above purchase order shipment line unit price that you allow suppliers to invoice.
- **Exchange Rate Amount.** The amount of variance you allow between an invoice amount and the amount of the purchase order shipment to which it is matched. Payables compares the ledger currency of each, based on the invoice and purchase order exchange rates, respectively. Enter a value in this field only if you enter foreign currency invoices in Payables.
- **Shipment Amount.** The amount of variance you allow between all invoice amounts (in transaction currency) matched to a shipment and the amount of the purchase order shipment. Payables Invoice Validation applies the Maximum Shipment Amount hold if the match exceeds the tolerance.
- **Total Amount.** The total amount of variance you allow for both the Exchange Rate Amount variance and the Shipment Amount combined. If you do not use foreign currency, do not enter a value in this field.

Note: For the greatest control over your foreign currency invoices, you may choose to enter a Total Amount tolerance that is less than the total of your Shipment Amount and Exchange Rate Amount tolerances. For example, if your foreign currency invoice match is within the individual Exchange Rate Amount and Shipment Amount tolerances, you still may want Payables to prevent payment of the invoice because the exchange rate variance combined with the shipment amount variance, while within their individual tolerances, exceed your desired Total Amount tolerance.

To make a tolerance inactive:

- Deselect the check box for the tolerance.

Invoice Hold and Release Names

Use the Invoice Hold and Release Names window to define the names that you use to manually hold or release invoices. You can define hold names that you assign to an invoice during entry to place the invoice on hold. For example, "Needs CFO Approval".

You can also define release names that you use in the Invoice Holds tab or Invoice Actions window to remove the holds you apply to invoices. For example, "CFO Approved". You cannot pay an invoice that has a hold applied to it. You can define as many invoice hold and release names as you need.

You can also determine whether to allow accounting entry creation for the hold names you define. If you assign to an invoice a hold name that does not allow accounting, then you cannot create accounting entries for the invoice until you remove the hold.

Payables predefined invoice hold names

Payables predefines hold names and release holds that it uses to apply and release invoice holds during Invoice Validation.

In the Invoice Hold and Release Names window, you can query the predefined hold and release names that Payables provides, but you cannot modify them.

Invoice Hold Types

The following table shows the hold names that are predefined in Payables.

Hold Names	User Definable	Manual Release Allowed
Acct Hold Reason	No	No
CCR Hold Reason	No	No
Funds Hold Reason	No	Mixed
Insufficient Information	No	No
Invoice Hold Reason	Yes	Mixed
Invoice Line Reason	Yes	Mixed
Line Hold Reason	No	No
Matching Hold Reason	No	Mixed
Pay When Paid	No	Mixed
PO Deliverable	No	Mixed
Prepaid Amount Reason	No	No

Hold Names	User Definable	Manual Release Allowed
Variance Hold Reason	No	Mixed

Invoice Release Types

The following table shows the release names that are predefined in Payables.

Release Types	User Definable
Acct Release Reason	No
Amount Lowered Reason	No
Automatic Release	No
Funds Release Reason	No
Sufficient Information	No
Invoice Release Reason	Yes
Matching Release Reason	Yes
Project Manager Release	No
Variance Release Reason	Yes
Hold Quick Release Reason	Yes
Inv Quick Release Reason	Yes

Defining Supplier Controls

You can automatically apply holds to invoices for a supplier site by enabling invoice controls for the site. Payables provides controls that you can enable in the Supplier Sites region of the Suppliers page. You can also define default values for these controls in the Suppliers page at the supplier level. Payables automatically assigns defaults you define for a supplier to any new sites you enter for the supplier.

Defining Invoice Hold and Release Names

To define invoice hold or release name:

1. In the Invoice Hold and Release Names window enter a unique Name and Description to identify the hold or release name. The name and reason will appear on a list of values whenever you need to enter the hold or release name.
2. Enter the type of name you are defining. You can define either hold or release names. For detailed information on any field, see: Invoice Hold and Release Names Window Reference, page 1-84
3. If you are defining a hold name, enable the Accounting Allowed option if you want to allow Payables to create accounting entries for invoices that have this hold applied.
4. If you want to make the hold or release name inactive on and after a certain date enter a value in the Inactive On field.
5. Save your work.

Related Topics

Summary of Invoice Hold Names, *Oracle Payables User's Guide*

Applying Holds, *Oracle Payables User's Guide*

Releasing Holds, *Oracle Payables User's Guide*

Invoice Validation, *Oracle Payables User's Guide*

Invoice Hold and Release Names Window Reference, page 1-84

Invoice Hold and Release Names Window Reference

Use the Invoice Hold and Release Names window to define names that you use to manually apply and release holds.

Name. A unique hold or release name. The name and description will appear on a list of values when you need to enter the hold or release name.

Description. Description of the hold or release name. Use this description to elaborate on your hold or release name to eliminate any confusion over similar names.

Type. The type of a hold or release name determines if a hold is applied or released. You can enter a Hold type or a Release type.

Accounting Allowed. If this option is enabled, Payables creates accounting entries for invoices with this hold name.

Manual Release Allowed. If you can release this hold manually, Payables enables this

check box.

Inactive On. Date on and after which you want to prevent use of a hold or release name. On or after this date, Payables will not include this name on a list of values, and you will not be allowed to enter it. You can adjust an inactive date at any time.

Hold Types:

Hold type names are used by Invoice Validation when it applies holds to invoices. You can define and manually apply names of the Invoice Hold Reason type.

For a summary of predefined hold and release names listed by type, see: Summary of Invoice Hold Names, *Oracle Payables Implementation Guide*.

Release Types:

Release type names are used by Invoice Validation when it releases holds. You can manually release holds using names with release types Invoice Release Reason, Matching Release Reason, Variance Release Reason, Hold Quick Release Reason, and Invoice Quick Release Reason. Release hold names appear on a list of values for the Release field of the Invoice Actions and Invoice Holds tab of the Invoices window. You can define release names for the following release types:

- **Invoice Release Reason.** You can use names with this release type to release one manually releasable hold for one invoice in the Invoice Holds tab.
- **Invoice Quick Release Reason.** You can use names with this release type to release all manually releasable holds for one invoice in the Invoice Holds tab.
- **Hold Quick Release Reason.** In the Invoice Actions window, you can use the release name with this release type to release all holds from invoices that you query in the Invoice Workbench. In the Invoice Actions window, you can use only release names with this release type. Payables releases only the type of hold you entered as part of your search criteria.
- **Matching Release Reason.** You can use release names with this release type to release a Matching hold that Payables automatically applies to an invoice during Invoice Validation.
- **Variance Release Reason.** You can use this type of release name to release Variance Holds that Invoice Validation automatically applies to invoices that have a tax variance.

The following release types are predefined by Payables:

- **Acct Release Reason.** For an invoice, Payables releases an account hold when you correct the invalid account and submit Invoice Validation.
- **Amount Lowered Reason.** When you submit Invoice Validation, Payables releases

a Prepaid Amount hold after you have unapplied a prepayment that, after tax calculation, exceeded the amount of the invoice to which it was applied

- **Funds Release Reason.** Payables uses these releases for funds checking if you use budgetary control. Payables releases a Funds hold on an invoice during Invoice Validation if sufficient funds exist for an invoice or if Payables can perform funds checking.
- **Sufficient Information.** Payables predefines one release name with the Sufficient Information type. Payables places a Sufficient Information release name on an invoice after you enter an exchange rate for a foreign currency invoice.
- **Variance Release Reason.** Payables predefines two release names with the Variance Release Reason type.

Payables places the Variance Corrected release name on an invoice if you correct an invoice variance. Payables places this release name when you submit Invoice Validation for an invoice with a distribution or tax variance hold for which you have corrected the variance.

You cannot enter a variance release reason for an invoice with a Distribution Variance hold. You must adjust the invoice so that the total of the invoice distributions equals the invoice amount.

You can enter Variance Override for an invoice if you want to release an invoice from a tax variance hold using the Holds tab. You can also define other Variance Release Reasons to use for releasing invoices from tax variance hold.

Holds Workflow Options

Define options for the system to use during the Holds Resolution workflow process.

Initiate Workflow. Select the check box so the system initiates the Holds Resolution workflow process for invoices that contain this hold type.

Notify After (Days). Specify a number of days for the system to wait before it sends a notification to the approver.

Remind After (Days). Specify a number of days for the system to wait before it sends a reminder notification about an action. This option is intended to be used with the Acknowledge action. When an approver acknowledges a hold notification, the workflow waits the specified number of days and then resends the notification, if the hold is not released past the specified number of days.

Hold Instruction. Enter free format text on hold instructions for this hold type.

Setting Up Invoice Approval Workflow

The Invoice Approval Workflow routes invoices to designated individuals for approval. This workflow uses the approval rules that you define in Oracle Approvals

Management (AME) to determine if an invoice requires approval. If the entire invoice (document) or invoice lines require approval then the workflow routes the invoice according to the ordered list of approvers for approval. For more detailed information on the Invoice Approval Workflow, see: *Invoice Approval Workflow Overview, Oracle Payables User's Guide*.

This document describes the unmodified workflow program.

1. The workflow begins by finding the first approver on the ordered list of approvers. If the invoice lines or entire invoice require no approvers to approve them, then the invoice's approval status for all levels of the invoice is set to Not Required and the workflow program ends.
2. If an invoice line has a first approver, then the workflow program sends an invoice approval request to the approver's e-mail or Oracle Workflow Notifications Worklist web page (or both). The workflow process groups invoice lines by approver and sends one notification to each approver requesting approval for a line or set of lines.
3. If that approver approves the invoice line or lines, the workflow program then looks for the next approver on the ordered list. If there is another approver, the workflow requests approval from that person. The workflow continues processing invoice lines until all persons on the ordered list approve or reject their invoice lines.

Note: During invoice line approval, approvers can initiate a negotiation process for non-PO matched invoices. Once they complete the negotiation process, the approver can approve or reject the invoice line.

4. If an approver does not respond within the specified time period, the workflow removes the original notification from the approver's Notifications Worklist and sends a reminder notification to the approver. If the approver still does not respond, then the workflow removes the reminder notification from that approver's Notifications Worklist and sends that person's manager an escalation notification.

Lastly, if no response is received for the escalation notice and a time out has occurred, the system applies a new set of rules defined in AME. Those rules can consist of automatic approval or rejection of the line, or approval by a new set of approvers.

5. Whenever an invoice line is approved or rejected, Payables updates the approval record of the invoice line, which you can review in the Invoice Lines Approval History window or the Invoice Approval History Status Report. See: *Invoice Approval History Window Reference, Oracle Payables User's Guide*, and *Invoice Approval Status Report, Oracle Payables User's Guide*.

6. Once all invoice lines are approved, the entire invoice (document) is subject to document level approval. The workflow repeats steps 2 through 5 for the entire invoice. One exception is the system updates the Invoice Approval History window once the entire invoice is approved or rejected. See: Invoice Approval History Window Reference, *Oracle Payables User's Guide*.
7. The system updates the appropriate invoice approval status when the approver approves or rejects the invoice line or entire invoice.

An approver can delegate approval requests, approval reminders, and escalated approval requests. If a notification is delegated to an approver outside the approval chain, the system continues with the original approval chain. For example, the approval chain consists of approvers A > B > C. Approver A delegates to approver X. Once approver X approves the invoice, the system notifies approver B. If the delegated approver does not respond within the time you specify, the system sends a reminder to the delegated approver. If the delegated approver still does not respond, the system rejects the invoice approval and does not escalate it. The Invoice History Approval and Invoice Lines Approval History windows track the approval process, including the delegated approvers' actions.

You can initiate the Invoice Approval Workflow Program in the following ways:

- Schedule regular submission of the Invoice Approval Workflow concurrent program
- Initiate the Invoice Approval Workflow Program from the Submit Request window
- Manually initiate the workflow by selecting one or more invoices in the Invoices window and then from the Invoice Actions window selecting Initiate Approval

Note: Invoice approval workflow is required for non-PO invoices created using the iSupplier Portal or the Payables Request Responsibility. The system initiates the approval process automatically when the invoices are submitted.

Setting Up the Invoice Approval Workflow

To set up the Invoice Approval Workflow:

1. Install and set up Oracle Approvals Management (AME).

In AME, you define the rules that the system uses to determine who the appropriate approvers are for an invoice or invoice line.

If you use HR hierarchies to generate your lists of approvers in AME, then you need to provide logic so AME can identify the starting approver. You provide this

logic by writing a dynamic usage query for the Transaction Requestor ID attribute owned by AME. Your logic can identify a starting approver by using any system data such as project, descriptive flexfield, or requester on purchase order. For example, if you want your starting approver to be the person who requested a purchase order for an item, then your logic can derive that person's personid from the purchase order to which the distribution is matched. For information on defining rules in AME, see: *Oracle Approvals Management User Guide*.

2. Install the Oracle Workflow Builder client component program if you want to modify the Invoice Approval Workflow. For more information on workflow installations, see: *Setting Up Oracle Workflow, Oracle Workflow Administrator's Guide*.
3. Set up approvers to receive notifications. You can set up Oracle Workflow Notification Mailer so the Invoice Approval Workflow Program can use e-mail, and your system administrator can grant approvers access to view invoice approval notifications from the Oracle Workflow Notification Worklist web page. For more information see: *Setting Up Oracle Workflow, Oracle Workflow Administrator's Guide*.
4. Complete additional Oracle Workflow setup steps. Specify the timeout value, the time period in which an approver needs to respond before sending a reminder notification or escalating the request to the approver's manager. For more information, see: *Setting Up Oracle Workflow, Oracle Workflow Administrator's Guide*.
5. (Optional) Modify the Invoice Approval Workflow. For example, you can modify the message text that appears on your notifications. Also, the Exclude PO Matched Invoices rule is disabled by default, and you might want to enable it. See: *Setting Up Oracle Workflow, Oracle Workflow Administrator's Guide*.
6. Consider one of the following modifications to handle cancelled invoices.
 - In Oracle Workflow, modify the predefined workflow notifications to show the invoice status.
 - In Oracle Approvals Management, set an AME rule to remove invoices from the approver's list when the status becomes Cancelled.
7. Set the Use Invoice Approval Workflow, Allow Force Approval, and Approval Processing Sequence Payables options. See: *Invoice Payables Options*, page 1-63.
8. Set up a designated person who receives notification of workflow errors through the Oracle Workflow Default Error Process. We recommend that the person who receives AME error notifications should also receive Oracle Workflow process error notifications. See: *Setting Up Oracle Workflow, Oracle Workflow Administrator's Guide*.

9. (Optional) In the Submit Request window, set up Invoice Approval Workflow to run regularly. See: To schedule automatic submission of the Invoice Approval Workflow Program, *Oracle Payables User's Guide*.
10. Ensure that the seeded agent listener service component named Workflow Deferred Agent Listener, provided by Oracle Workflow, is running for the WF_DEFERRED agent. This agent listener performs deferred processing including launching the Invoice Approval Workflow for all invoices with an approval status of Initiated. Use Oracle Applications Manager to schedule and manage the Workflow Deferred Agent Listener. For more information, please refer to Oracle Applications Manager online help.
11. (Optional) Set up the Invoice Approval History Status report to run nightly to report on rejected invoices. See: Invoice Approval Status Report, *Oracle Payables User's Guide*.

Related Topics

Invoice Approval Workflow Overview, *Oracle Payables User's Guide*

Oracle Workflow Developer's Guide

Oracle Workflow Guide, *Oracle Workflow User Guide*

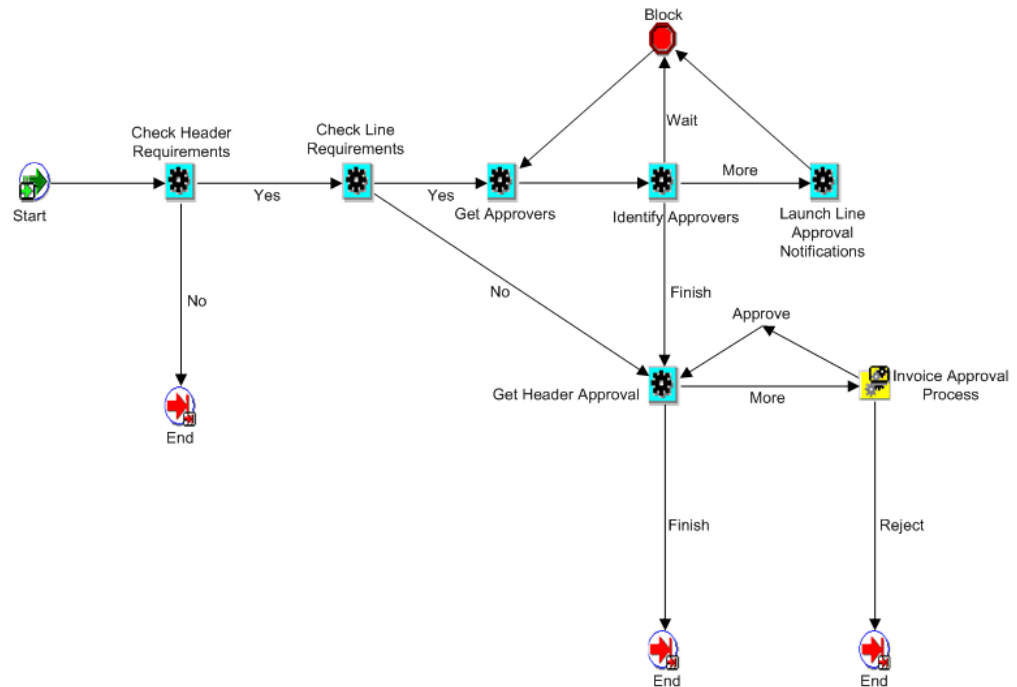
Invoice Approval Workflow Process Activities

This section provides overviews of the workflow approval flow components, including:

- Invoice approval main process.
- Invoice lines approval process.
- Invoice approval process.

Invoice Approval Main Process

The following Invoice Approval Main workflow process diagram lists the display name of each activity or process.



Invoice approval rules are applied at the header level, the line level, or both depending how you set up your approval rules in AME. During the invoice approval main process flow, the system:

1. Checks header requirements.

AME is queried to determine if there are any header level production rules. The production rules can be either No Approval Required or Invoice Not Ready. In either case, the system records the status in the history table and further processing stops if either case is true.

2. Checks line requirements.

AME is queried to determine if there are any line level production rules. This is done for all the lines belonging to the invoice. If any or all of the lines do not require approval, the system sets their approval status as Approval Not Required and inserts a record into the history table.

3. Gets approvers.

AME is queried to determine if there are any approvers for whom notifications have not been sent. If there are, the system inserts details about the approver in the AP_APINV_APPROVERS table. The information is accessed later by the Launch Approval process.

4. Identifies approvers.

The system identifies approvers and returns a finished status if all approvals are completed, a more status if there are approvals that need to be sent, or a wait status if neither situation exists. The identify approvers procedure contains the logic to track the notifications sent with approval pending and notifications that need to be sent.

5. Launches line approval notifications.

The system queries AP_APINV_APPROVERS and groups by approvers (so that each approver does not receive duplicate notifications for different lines), and launches the Line Approval process.

6. Gets header approver.

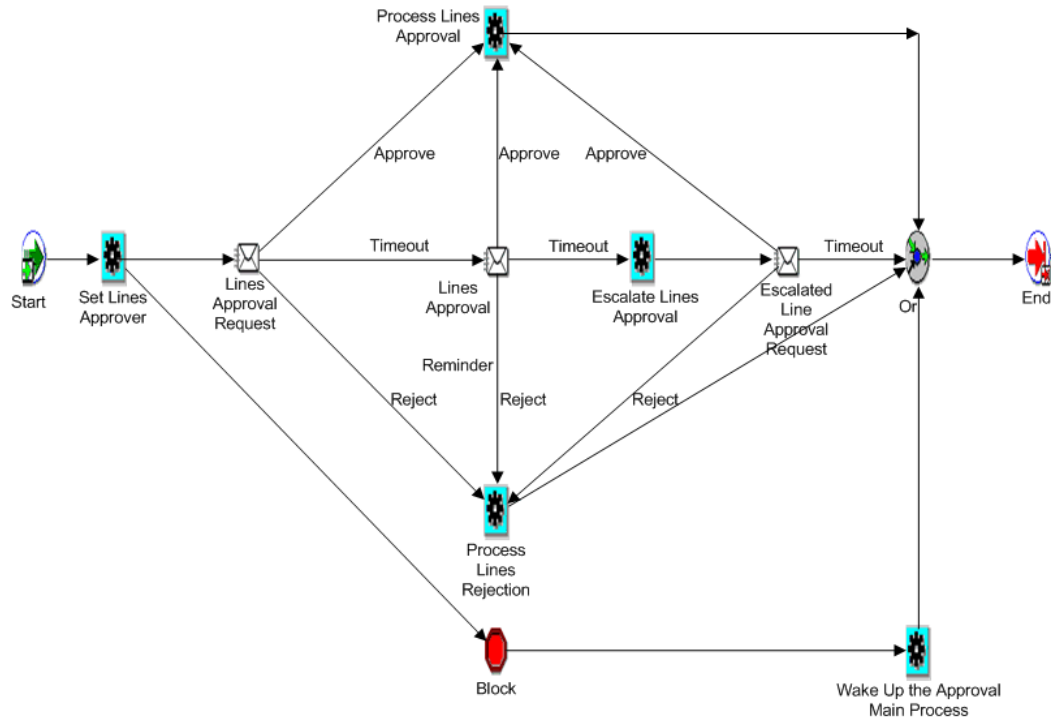
The system queries the AME for invoice header level approvers. If there are no further approvers, and previously there was at least one approver, the system sets the invoice approval status as Workflow Approved. If there are no approvers, and previously there were no approvers, then the system sets the invoice approval status as Manually Approved. If there are approvers returned by AME, the system sets internal attributes, which the Invoice Approval process uses.

Note: If the invoice is approved, there is logic to convert iSupplier Portal invoice requests into regular invoices.

7. Proceeds to the Invoice Approval process.

Invoice Lines Approval Process

The following Invoice Lines Approval workflow process diagram lists the display name of each activity or process.

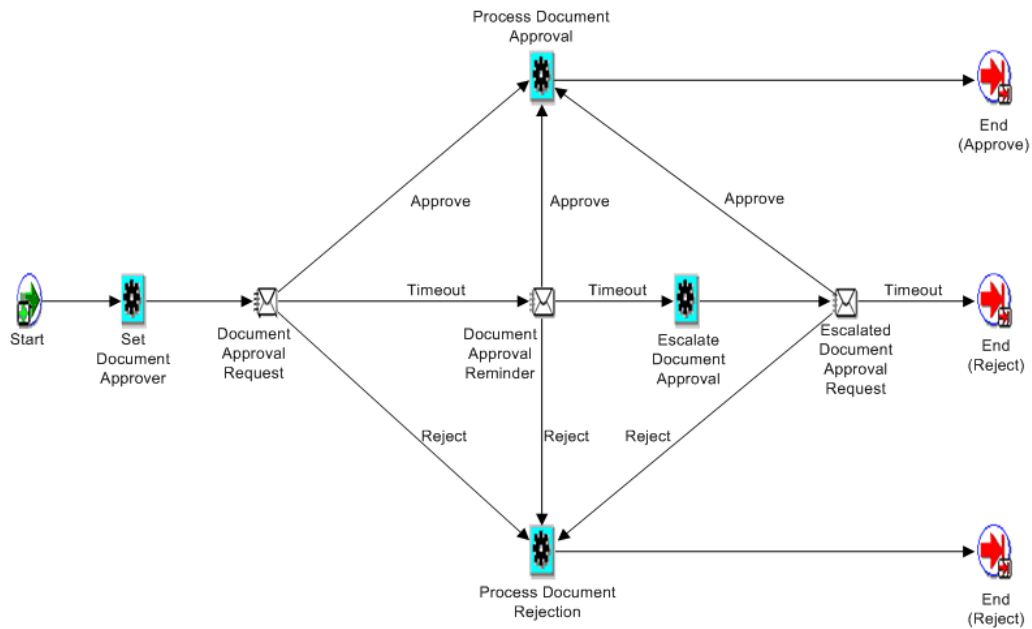


During the Invoice Lines Approval process, main points to consider are:

1. The approver can either Approve, Reject, or Request Information in the notification.
2. If the approver fails to respond, the system sends an escalation notification to the approver's supervisor, which is set up in Human Resources.
3. Whenever the workflow reaches a logical conclusion, such as Process Lines Approval, Process Lines Rejection, or the Block is woken up by a Negotiation subprocess, the system wakes up the Approval Main process and goes to the Get Approvers step.

Invoice Approval Process

The following Invoice Approval workflow process diagram lists the display name of each activity or process.



During the Invoice Approval process, main points to consider are:

1. The approver can either Approve, Reject, or Request Information in the notification.
2. If the approver fails to respond, the system sends an escalation notification to the approver's supervisor, which is set up in Human Resources.
3. The Invoice Approval process ends in approval statuses of Approve or Reject.

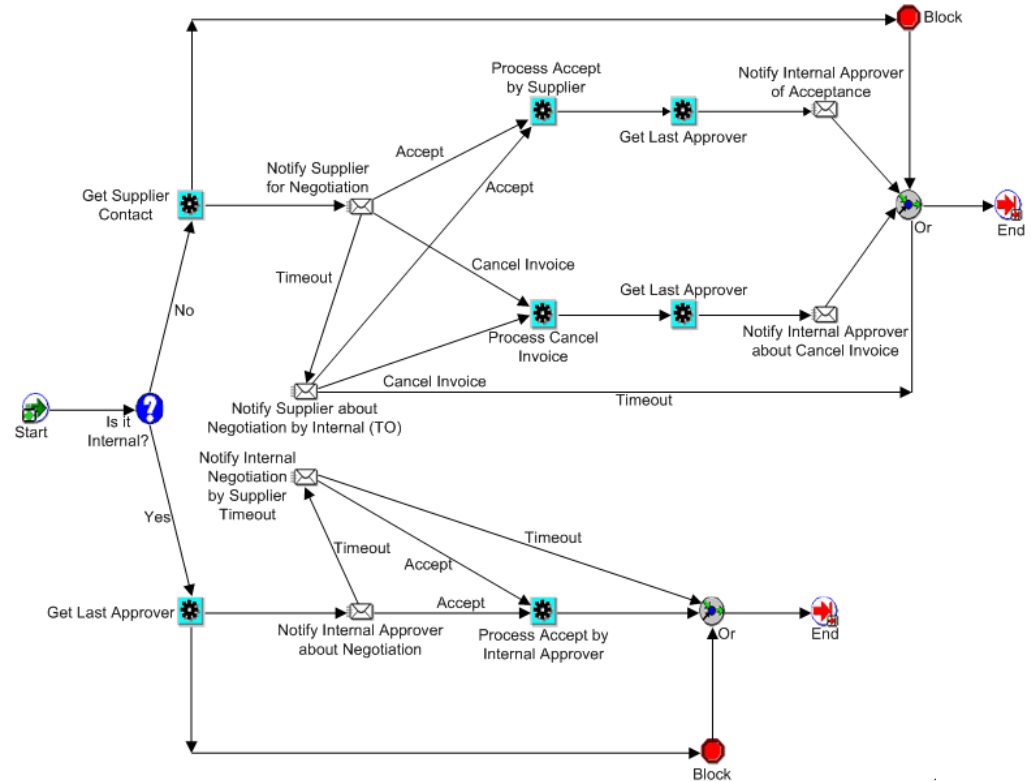
This status is used in the Approval Main process to either continue or stop the workflow process. For example, the approval process stops at the first rejection.

Invoice Approval Workflow Negotiation Subprocess

This section provides an overview of the Negotiation during invoice lines approval workflow components.

Negotiation During Invoice Lines Approval

The following Negotiation workflow subprocess diagram lists the display name of each activity or process.



During the Negotiation subprocess, main points to consider are:

1. Negotiation from lines approval is possible only for non-PO matched invoices.
2. The system chooses the supplier in the Negotiation page according to the supplier contacts, supplier site, and supplier ID relevant to the invoice.
3. The Negotiation subprocess is a back and forth process between the internal approver and the supplier until one of them accepts the invoice or the supplier cancels the invoice.

When a new Negotiation subprocess is started, the old subprocess is closed by waking up the blocked branch.

4. The system enforces functional security when the supplier cancels an invoice.
The user assigned to the supplier must have access to the cancel invoice function.

Related Topics

Invoice Approval Workflow Overview, *Oracle Payables User's Guide*

Interest Rates

In the Payment Interest Rates window, you define interest rates Payables uses to calculate and pay interest on overdue invoices. Payables calculates interest on overdue invoices only if you enable both the Allow Interest Invoices Payables option and the Allow Interest Invoices option for the supplier of an invoice.

Payables calculates interest based on the rate you enter in this window in accordance with the United States Prompt Payment Act. The formula used compounds monthly, up to a maximum of 356 days interest. You can review the formula in the following discussion: Automatic Interest Prompt Payment Support, *Oracle Payables User's Guide*.

For each rate you define, specify during which dates the rate is effective. Effective dates of rates cannot overlap. For example, the current interest rate is 7% for all unpaid balances. The interest rate on overdue invoices will rise to 7.5% on December 1, 2004. This new rate will be valid for four months. You enter two date ranges and interest rates, the first from today's date to November 30, 2004 (interest rate 7%) and the next from December 1, 2004 to March 31, 2005 (interest rate 7.5%).

You can add or change a rate at any time. Payables uses the interest rate effective on the day after the due date of the invoice to calculate and pay interest on overdue invoices.

If the system cannot find a rate then it uses zero as the rate.

Defining Payment Interest Rates

Prerequisite

- Enable the Allow Interest Invoices Payables option. See: Interest Payables Options, page 1-61

To define payment interest rates:

1. In the Payment Interest Rates window, enter an interest rate, and enter a start date and an end date between which the interest rate is effective.
2. Save your work.

Related Topics

Interest Payables Options, page 1-61

Automatic Interest, *Oracle Payables User's Guide*

Prompt Payment Support, *Oracle Payables User's Guide*

Countries and Territories

Use this window to maintain country and territory information in Oracle Financials. You cannot enter a new country or territory in this window, but you can update the name, description, VAT member state code, or address style for any of the more than 200 predefined countries or territories.

Adjusting Country or Territory Information

To adjust country or territory information:

1. Adjust any of the following four fields:
 - **Country/Territory.** Country or territory name.
 - **Code Description.** Country or territory description.
 - **VAT Member State Code.** Member State Code for a country belonging to the European Union (EU). There are special Value-Added Tax (VAT) rules that apply to member states of the EU. If a country does not belong to the European Union, you should not enter a member state code. The following Oracle Applications use member state codes:
 - Oracle Payables and Oracle Purchasing use member state codes to determine which suppliers to include in the Intra-EU VAT Audit Trail Report.
 - Oracle Receivables uses member state codes to determine which customers to include in the European Sales Listing.
 - **Address Style.** Address style data entry default for a country or territory. If you leave this field blank, the Oracle Financials default address style will be used. Oracle Financials provides the following address styles:
 - Japan
 - Northern Europe
 - South America
 - Southern Europe
 - UK/Africa/Australasia

You can also create your own address styles. See: *Setting Up Flexible Addresses, Oracle Receivables Implementation Guide*.

2. Save your work.

Related Topics

Setting Up Taxes, *Oracle E-Business Tax User Guide*

Intra-EU VAT Audit Trail Report, *Oracle E-Business Tax Reporting Guide*

Defining Descriptive Flexfields, *Oracle Applications Flexfields Guide*

Tax Codes

Use the Withholding Tax Details window to define the tax names, or *tax codes*, you use for withholding taxes.

Withholding Tax type tax codes can have multiple rates, effective date ranges, tax amount limits, and taxable amount limits. You can also link a tax authority supplier to a Withholding Tax type tax code so you can create invoices to pay taxes you withheld from your suppliers.

Note: Use E-Business Tax to set up and maintain other taxes such as Sales, Use, Offset, and Self Assessed. See: Setting Up Taxes in Oracle E-Business Tax, *Oracle E-Business Tax User Guide*.

After you define withholding tax codes, you can group them into withholding tax groups in the Withholding Tax Groups window. See: Withholding Tax Groups, page 1-100.

Defining Tax Codes for Withholding Taxes

Payables provides flexibility in defining withholding tax rates with specific controls. When you define a withholding tax code, you indicate first whether you will have any amount or rate controls by selecting one of the following rate structures:

- **Period Limit.** After you pay a certain amount for withholding tax in a period, Payables stops withholding taxes. For example, for each special calendar period, Payables will withhold no more than \$10,000.
- **Flat Rate.** The withholding tax has no amount or period limits.
- **Amount Ranges.** The tax rate depends on how much you have already paid during a time period. Base the paid amount on the gross amount of total paid invoice amounts, or on the total amount of tax withheld. The time period can be either per withholding tax calendar period or per invoice. For example, define a tax that for each year will withhold at a rate of 10% until you pay \$100,000 in invoices, and then it withholds at a rate of 15% after you pay \$100,000.

In addition to these controls, the same withholding tax code can have different rates depending on the effective date. For example, a withholding tax has a rate of 10% one year and 11% the following year.

Prerequisites

- (Optional) Define AWT Rate Types. See: Lookups, page 1-22.

Important: Payables uses only the Standard AWT Rate Type. If you want to use an AWT rate type other than Standard, such as Penalty, then you may want to customize Automatic Withholding Tax to perform special behavior based on the AWT rate type. See: Customizing Automatic Withholding Tax, page 1-119.

- Define accounts. See: Defining Accounts, *Oracle General Ledger Implementation Guide*.
- Define your tax authorities as Tax Authority type suppliers. See: Classification Region of the Suppliers window, *Oracle iSupplier Portal User's Guide*.
- Define Withholding Tax Periods if you want to be able to review online period-to-date amounts for a Withholding Tax code. See: Special Calendar, page 1-72.

To define tax codes for withholding taxes:

1. In the Withholding Tax Details window, enter a tax code.
2. Enter the account to which you will charge this tax.
3. Specify the tax authority by entering either its supplier name or supplier number. Enter the tax authority supplier site.

Important: If your Create Withholding Invoice Payables option is set to Never, then you can create a Withholding type tax code without entering a tax authority. However, if you change your Create Withholding Tax Payables option to a value other than Never, you will then need to manually ensure that each Withholding type tax code has a tax authority associated with it.

4. Select one of the following values for Rate Structure, then complete the associated fields:
 - **Period Limit:** To limit the amount of tax withheld during a withholding tax calendar period select Period Limit. Then enter values for Calendar and Period Limit.
 - **Flat Rate:** If you do not want to control the tax based on amounts paid, then select this option.

- **Amount Ranges.** To base the rate on the amount of the total invoices paid to date or the amount withheld to date, choose Amount Ranges. Then enter values for Amount Basis (Gross or Withheld Amount) and Period Basis (Invoice or Period). If you choose Period for Period Basis, also enter a value for Calendar. If you choose the Amount Basis option, you can enter values in the Amount Range fields below.
5. To review online period-to-date withheld amounts for this tax code, then enter a special calendar name, if you haven't already.
 6. If you do not want Payables to create accounting entries for zero amount withholding tax distributions, enable the Don't Create Zero Amount Accounting or Invoices option. Also, when this option is enabled, Payables does not create tax authority invoices for zero amount distributions.
 7. To automatically create a tax withholding group for this tax code, select the Create Withholding Tax Group check box.

To use a Withholding Tax type tax, you must assign it to a withholding tax group. You can define a Withholding Tax Group with multiple Withholding Tax type tax codes in the Withholding Tax Groups window.
 8. In the Tax Rates region, enter the withholding tax rate details. Enter the rate type, effective dates, and rate.
 9. If you selected Amount Basis for the rate type, enter one or both Amount Range fields to set upper and/or lower amount limits for taxable amounts or tax amount.

Related Topics

Automatic Withholding Tax Overview, *Oracle Payables User's Guide*

Special Calendar, page 1-72

Withholding Tax Groups, page 1-100

Withholding Tax Groups

Use this window to define withholding tax groups that include multiple Withholding Tax type tax codes. You can assign the same tax code to more than one group. When you assign a withholding tax group to an invoice or distribution, Payables calculates invoice withholding tax based on every tax code in the withholding tax group. For example, you assign a withholding tax group to an invoice or distribution if you need to withhold taxes at both the local and country level, each withheld at different rates and remitted to different tax authorities. You define and assign to the invoice or distribution a Withholding Tax Group that includes both taxes.

You rank all of the tax codes in a withholding tax group when you define the group.

When you enter an invoice and enter a withholding tax group, Payables calculates the taxes in order of rank. Lower ranked taxes are applied to the amount of the invoice or distribution amount less the previous withholding tax amounts. For example, you define a withholding tax group with two tax codes, and you give tax A (rate = 10%) a rank of 1 and tax B (rate = 5%) a rank of 2. When you assign this group to an invoice, Payables calculates the withholding tax for a \$100 invoice as follows: tax A = \$10, tax B = \$4.50 $(.05(100 - (100 * .10)))$.

If you want to define a withholding tax group with only one Withholding Tax type tax code, you can enable the Create Withholding Tax Group option in the Withholding Tax Details window to automatically create a withholding tax group with the one Withholding Tax type tax code.

You can assign a default withholding tax group in the Payables Options window. Payables automatically assigns the Payables default withholding tax group to all new suppliers. The suppliers value defaults to any new supplier sites for the supplier. Supplier sites assign the default to any new invoices you enter for the supplier site. You can override any withholding tax group default at any time.

Creating Withholding Tax Groups

Prerequisites

- Define Withholding Tax type tax codes. See: Tax Codes, page 1-98.

To create withholding tax groups:

1. In the Withholding Tax Groups window, enter a unique name for your withholding tax group, and enter a description of the group. The name and description will appear on a list of values whenever you need to select a withholding tax group.
2. If you want to inactivate this withholding tax group on a certain date, enter an Inactive Date.
3. Assign a rank to each tax code in the tax group. 1 is the highest rank. You can assign the same rank to more than one tax code. For example, if you want to use the gross invoice amount to calculate withheld amounts for each tax code, assign each tax code a rank of 1.

Enter each Withholding Tax type tax code that you want to assign to this group.

Payables automatically displays the Description, Tax Authority Name, and Tax Authority Site that are associated with each tax code.

Related Topics

1099 Reporting Overview, *Oracle Payables User's Guide*

Automatic Withholding Tax Overview, *Oracle Payables User's Guide*

Banks

Oracle Payables integrates with Oracle Cash Management to set up your internal banks. Oracle Cash Management's bank account model allows users to define and keep track of all bank accounts in one place and explicitly grant account access to multiple operating units/functions and users. Using Oracle Cash Management, you define internal banks from which you disburse payments for your Payables transactions. See: Bank Account Model Overview, *Oracle Cash Management User's Guide*.

You can also define external banks for your suppliers to which you send electronic payments. You then assign these bank accounts to the supplier and its sites using the Banking Details page accessed from the Suppliers page. See: Defining Bank Account Details, *Oracle iSupplier Portal Implementation Guide*.

Setting Up Banks

Complete these internal bank setup steps in Oracle Cash Management:

1. Define banks and bank branches.

Use the Manage Banks and Branches page to access pages to specify general information and define addresses and contacts for banks and bank branches. See: Create Banks, *Oracle Cash Management User's Guide* and Define Bank Branches, *Oracle Cash Management User's Guide*.

2. Define bank accounts.

Use the Manage Bank Accounts page to access pages to create account owners and use, controls, access, and contacts. Also specify general information for your bank accounts. See: Bank and Account Administration: Define Bank Accounts, *Oracle Cash Management User's Guide*.

3. Manage payment documents.

Use the Manage Payment Documents region on the Manage Bank Account page to access the Payment Documents page. From this page, you can access pages to create payments documents, update payment documents, and void skipped documents. See: *Oracle Cash Management User's Guide*.

Defining Payables Controls for Bank Accounts

You specify options for processing payments in the Payables Controls region of the Create Bank Account: Account Controls page in Oracle Cash Management.

Multiple Currency Payments. Enable this option if you want to use this bank account to pay invoices entered in multiple currencies. You can select this option only if the Use Multiple Currencies Payables option is enabled and of the bank account is in your functional currency.

Allow Zero Payments. Enable this option to allow zero-amount payments from this bank account.

Pooled Account. Enable this option if you use Automatic Offsets and you want to associate multiple companies with this bank account. Oracle Payables creates one corresponding cash accounting entry for each liability distribution. Oracle Payables builds the cash account based on the cash account defined for the bank account, and on the account segments of the liability lines.

Maximum Outlay. Enter the largest currency outlay that you allow for a payment batch for this bank account. The system displays a warning if the payment batch exceeds this amount. However, you can continue to process the payment batch. You can override this default amount when initiating a payment batch.

All payments are set to Pay = Yes, even if the total payment value exceeds the maximum outlay limit.

Minimum Payment. Enter the lowest payment amount that you allow in a payment batch. You can override this default amount when initiating a payment batch.

Maximum Payment. Enter the largest payment amount that you allow in a payment batch. You can override this default amount when initiating a payment batch.

Funds Disbursement Process

Oracle Payables integrates with Oracle Payments to create payments for your Payables transactions. Oracle Payments provides a central repository for your suppliers' payment information. Oracle Payments supports several payment methods for funds disbursement payments, including:

- Checks.
- Electronic funds transfers (EFT).
- Wire transfers.
- Bills Payable.

For additional information, see: Understanding Funds Disbursement, *Oracle Payments Implementation Guide*.

Setting Up Payments

Both the funds capture and funds disbursement processes have setup tasks in common. These shared setup steps must always be performed, whether you are using only the funds capture features of Payments, only the funds disbursement features, or both. Complete these setup steps in Oracle Payments:

1. Set up system security options, *Oracle Payments Implementation Guide*.

Use the System Security Options page to set security options for payment

instrument encryption, masking, and credit card control.

2. Set up validations, *Oracle Payments Implementation Guide*.

Use the Validations page to ensure that funds capture and funds disbursement transactions are valid, in addition to being correctly formatted before they are printed or submitted to payment systems.

3. Set up Oracle XML Publisher templates, *Oracle Payments Implementation Guide*.

Use the Create Template page to correctly format funds capture and funds disbursement transactions.

4. Set up formats, *Oracle Payments Implementation Guide*.

Use the Create Format page to associate payment formats with specific Oracle XML Publisher templates. You can assign validation sets to validate transactions that use that format.

Oracle Payments predefines several payment formats that you can use. See: Country-Specific Payment Formats, *Oracle Payments Implementation Guide*.

5. Set up transmission configurations, *Oracle Payments Implementation Guide*.

Use the Create Transmission Configuration page to implement a specific transmission protocol, which allows the delivery of a transaction to a specific payment system or financial institution.

6. Set up payment systems, *Oracle Payments Implementation Guide*.

Use the Create Payment System page to define the external organizations that Oracle Payments collaborates with to process your funds capture and funds disbursement transactions. Payment systems are not required for printed funds disbursement payments.

Setting Up Funds Disbursement

To enable the proper processing of payments, complete these setup steps in Oracle Payments:

1. Set up funds disbursement payment methods, *Oracle Payments Implementation Guide*.

Use the Create Payment Method pages to define a medium by which the first party payer, or deploying company, makes a payment to a third party payee, such as a supplier.

2. Set up payment method defaulting rules, *Oracle Payments Implementation Guide*.

Use the Create Defaulting Rules page to define rules when payment methods default onto a document payable, such as an invoice.

3. Set up bank instruction codes, *Oracle Payments Implementation Guide*.
Use the Create Bank Instruction Code page to define codes that provide the payment system or bank with additional details about how the country-specific payment is to be processed.
4. Set up delivery channel codes, *Oracle Payments Implementation Guide*.
Use the Create Delivery Channel Code page to define codes that provide the payment system or bank with additional details about how the country-specific payment is to be delivered to a payee.
5. Set up payment reason codes, *Oracle Payments Implementation Guide*.
Use the Create Payment Reason Code page to define codes that provide the payment system or bank with additional details about the reason for the payment for regulatory reporting purposes.
6. Set up payment process profiles, *Oracle Payments Implementation Guide*.
Use the Create Payment Process Profile page to define payment process profiles, which, comprise of several types of payment processing information, including specifications for formatting and transmission.
7. Set up disbursement system options, *Oracle Payments Implementation Guide*.
Use the Disbursement System Options page to define disbursement system options that control disbursements made by the first party payer to suppliers.

Bank Charges

Use the Bank Charge Calculation window to specify charges associated with transferring money between banks. If you use Payables you specify charges between your remittance banks and your suppliers' banks. If you use Receivables you specify charges between your customers' banks and your banks. You can define charges:

- from a single bank to a single bank
- from a single bank to all banks (i.e., to all banks including the transferring bank)
- from a single bank to all other banks (i.e., to all banks except the transferring bank)
- from all banks to a single bank
- from all banks to all banks

Any time you specify a single bank, you have the choice of selecting a particular branch of that bank or all branches.

Both Payables and Receivables users use this window. Bank charges information, however, is not shared between the products.

Different countries have different guidelines for using Bank Charges. If you use this feature, refer to your country-specific documentation to see how you should use this feature:

- Japan: Bank Charges, *Oracle Financials for Asia/Pacific User Guide*

Withholding Tax Certificates and Exceptions

Use the Withholding Tax Certificates and Exceptions window to define Withholding Tax type tax code rate exceptions for a supplier site. You can define a certificate to specify a rate exception for a Withholding Tax type tax code for all invoices of a supplier site. You can also define a rate exception for a Withholding Tax type tax code for a single invoice.

Defining Withholding Tax Certificates and Exceptions

Prerequisites

- Enable the Use Withholding Tax Payables option. See: Payables Options, page 1-49.
- Define Withholding Tax type tax codes. See: Tax Codes, page 1-98.
- Enter withholding tax details for suppliers: See: Defining Tax Details, *Oracle iSupplier Portal Implementation Guide*.
- Payables predefines the Standard certificate type. Define additional certificate types in the Oracle Payables Lookups window. See: Lookups, page 1-22.

To define a withholding tax certificate

1. In the Withholding Tax Certificates and Exceptions window, enter a supplier name or supplier number, and supplier site for which you want to define a certificate or an exception.
2. In the Certificate region, enter the Withholding Tax type tax code for which you want to define a withholding tax certificate.
3. Enter the certificate number. This number can be user-defined or it can be a number assigned to a certificate issued to the supplier by the tax authority.
4. Enter the certificate type. Payables predefines the Standard type. You can define additional certificate types in the Oracle Payables Lookups window.
5. Enter the certificate priority. If you have one or more certificates for the same Withholding Tax type tax code with an overlapping effective date range, Payables applies the certificate with the highest priority (1 = highest priority). Only one

certificate can be enforced at a time.

6. Enter the certificate tax rate for the Withholding Tax type tax code. If the certificate specifies that the supplier site is exempt from this tax code, then enter 0 as the rate.

Note: The tax rate for a certificate overrides all rates on the withholding tax.

7. Enter the effective date range for the certificate tax rate. If you specify a unique priority for each certificate, then you can enter overlapping effective date ranges on different certificates for the same Withholding Tax type tax code for the same supplier site.

To define a withholding tax exception:

1. In the Withholding Tax Certificates and Exceptions window, enter the supplier name, supplier number, and supplier site for which you want to define an exception.
2. In the Exception region, enter the Withholding Tax type tax code for which you want to define an exception.
3. Enter the invoice number to which the current exception applies. If you enter the invoice before entering the exception, select from a list of values the invoice number to link the exception to the invoice. If you enter the exception before entering the invoice, enter the unvalidated invoice number and Payables will automatically link the exception to the invoice number when you enter the invoice.

4. Enter the exception rate for the invoice.

Note: The tax rate for an exception overrides all rates on the withholding tax.

5. Enter the effective date range for the exception. If you enter an incorrect invoice number for an exception, enter an effective date range in the past to make an exception rate for an invoice invalid.

Related Topics

Automatic Withholding Tax Overview, *Oracle Payables User's Guide*

Reporting Entities

Use the Reporting Entity window to define reporting entities for your 1099 tax

reporting. A reporting entity is any person or organization that has a unique Tax Identification Number (TIN).

If you use the NACHA payment format, the Name and Tax ID Number are used to identify the reporting entity that is initiating the electronic payment. When you define your disbursement bank account, enter the tax reporting entity in the Alternate Account Holder field of the Bank Accounts window, since Payables allows you to define more than one entity per organization. See: *US NACHA Generic Format, Oracle Payments Implementation Guide*.

Payables provides country-specific validation of the taxpayer identification number. The validation rules are based on your *home country*, as defined in the Member State field of the VAT Registration region of the Financials Options window. If your home country is the same as your Default Country Profile option, validation is performed in accordance with the rules of your home country. If your home country is different from your default country, no validation is performed.

You can submit the following 1099 reports for a specific reporting entity:

- 1096 Form
- 1099 Forms
- 1099 Invoice Exceptions Report
- 1099 Supplier Exceptions Report
- 1099 Payments Report
- 1099 Electronic Media

For each reporting entity, you assign one or more balancing segment values. For example, an enterprise defines a reporting entity called Headquarters which is comprised of Company 1, Company 2, and Company 3 (three balancing segment values). When submitting a 1099 report, Headquarters is entered as the reporting entity for the report. Payables prints on the 1099 report the accumulated payments for Companies 1, 2, and 3. Payables sums up the paid invoice distributions that have these company balancing segment values in their accounts.

Balancing segment values must be unique across reporting entities. Therefore, the list of values for the Balancing Segment field of the Reporting Entity window displays only balancing segments not already assigned to other reporting entities.

Defining Tax Entities

Prerequisites

- Define the locations of each reporting entity. See: *Setting Up Locations, Oracle Human Resources Management Systems Enterprise and Workforce Management Guide*.

- Use the Key Flexfield Segments window to define Balancing Segment values. See: *Defining Key Flexfields, Oracle Applications Flexfields Guide*.
- Define Payables Options. See: *Payables Options*, page 1-49.

To define tax entities, in the Reporting Entity window:

1. Enter the Name, Location, and Tax ID Number of the reporting entity you are defining. For example, a Tax ID Number can be an individual's social security number or a corporation or partnership's federal identification number/federal tax ID. If you submit the 1099 Electronic Media for this tax entity, the Tax ID Number value should be nine digits or the program will fail.
2. Enter one or more balancing segment values that comprise the reporting entity.

Related Topics

1099 Reporting Overview, *Oracle Payables User's Guide*

Payables Programs, Reports, and Listings, *Oracle Payables User's Guide*

Income Tax Regions

Use the Income Tax Regions window to define your tax regions if you are using 1099 Electronic Media Combined Filing Program reporting in the United States. If you enable the Combined Filing Payables option, when you submit the 1099 Electronic Media Payables produces K records for all tax regions (or states) participating in the Combined Filing Program that have qualifying payments. Payables also produces B records for suppliers with 1099 payment amounts that equal or exceed the tax region's reporting limit in qualifying states.

Payables has predefined the region abbreviations and the descriptions for all U.S. States, the District of Columbia, and some U.S. Territories. Payables has also predefined the region codes for those tax regions that are participating in the Internal Revenue Service's current Combined Filing Program. You must enter a region code for all tax regions that you wish to use for the Combined Filing Program reporting and that Payables has not already defined. You cannot update the predefined region abbreviations.

You can use this window to define your income tax regions for those states that are participating in the Combined Filing Program. You can select one of these tax regions for each of your 1099 supplier sites in the Supplier Sites window. Depending on how you define your Payables options, Payables uses either the supplier site's tax region or the system default tax region as the default region for each of the invoice distributions for your 1099 supplier. When you submit your 1099 reports, Payables uses the tax region from the invoice distributions to determine to which tax authority Payables should report the payments.

In the United States, you usually define the various states as your income tax regions. If you are participating in the Combined Filing Program, the Internal Revenue Service then automatically forwards each state's 1099 B records to each state on the 1099 Electronic Media.

In this window, define your income tax regions so that they conform to the Internal Revenue Service codes. You can use the 1099 Supplier Exceptions Report to identify any 1099 suppliers with state abbreviations that do not conform to the income tax regions you define here.

Defining Income Tax Regions

Prerequisites

- If you are doing business within the United States, refer to federal or state tax publications to obtain information regarding the 1099 reporting requirements for each participating tax region. For example, you need to identify the reporting limits for each of your income tax regions. You also need to define region codes for all states that have recently started participating in the Combined Filing Program.
- Enable your Combined Filing Program Payables option. See: Payables Options, page 1-49.

To define income tax regions:

1. In the Income Tax Regions window, enter the region Abbreviation you are defining or locate the region Abbreviation you are updating. Enter the region's Internal Revenue Service Code.

Enter a Description for the region if it is not predefined.

After you save a tax region, you cannot update or delete it, but you can specify effective dates if you want to make it inactive.

2. Enter for the Reporting Limit Amount the minimum amount Payables uses to determine whether to report on a supplier's payments. If you do not enter an amount, Payables assumes the limit is zero.

Select the Method that Payables uses to compare actual payments to the Reporting Limit Amount:

- **Compare Individually.** Compare to the Reporting Limit Amount the sum of payments for each 1099 MISC Income Tax type. For example, region X's reporting limit is \$600. If you make a total of two \$400 payments to a supplier in region X and classify each payment as a different 1099 MISC Type, Payables will not report this supplier to region X because neither individual payment type exceeded region X's reporting limit. In this case, Payables only reports the supplier to the Federal tax authorities.
- **Compare Sum.** Compare to the Reporting Limit Amount the sum of payments

for all 1099 MISC Income tax types. For example, region X's reporting limit is \$600. If you make a total of two \$400 payments to a supplier and classify each payment as a different 1099 MISC Type, Payables will report this supplier to the region X tax authority because the sum of the payments exceeds region X's reporting limit. In this case, Payables reports the supplier to both federal and state tax authorities.

- **Same as Federal.** Ignore the region Reporting Limit Amount, and instead use the Federal reporting limit, which Payables has predefined as \$600.

Related Topics

1099 Reporting Overview, *Oracle Payables User's Guide*

Controlling the Status of Payables Periods

You enter and account for transactions in open accounting periods. The period statuses available in Payables are Never Opened, Future, Open, Closed, and Permanently Closed. When you first define a period, Payables assigns a status of Never Opened to the period. Payables does not allow transaction processing in a period that has never been opened. After you change the status to Future or Open you cannot change it back to Never Opened.

Your accounts payable periods are separate from your general ledger periods. For example, you can close your Q1 period in Payables before you close your Q1 period in General Ledger. For details on setting up general ledger periods, see: *Defining Calendars, Oracle General Ledger User Guide*.

If you use the Reporting Currencies feature, read the *Oracle E-Business Suite Multiple Organizations Implementation* manual for information on changing a period status when you use Multiple Reporting Currencies.

To change the status of an accounting period

1. In the Control Payables Periods window update the Period Status to one of the following:
 - **Future.** Payables allows invoice entry and accounting in a Future period. Payables does not allow payment entry or payment voiding in a Future period.

Payables allows you to limit the number of Future periods based on the number you enter in the Future Periods field in the Financials Options window. After you change the status of a Future period to Open, you cannot change it back to Future.
 - **Open.** You can record transactions and account for them in an Open period.

You cannot open a period if it is an adjusting period. You define adjusting periods using the Define Calendar window. Adjusting periods can have overlapping dates.

- **Closed.** Payables does not allow transaction processing in a Closed period. You can reopen a Closed period if the corresponding general ledger and purchasing periods are also Open. You cannot close a period in which any of the following conditions exist:
 - Outstanding payment batches.
 - Future dated payments for which the Maturity Date is within the period but that still have a status of Issued.
 - Unaccounted transactions.
 - Accounted transactions that have not been transferred to general ledger.

For details on Closing an Accounting Period, see: Closing an Accounting Period, page 1-112.

- **Permanently Closed.** Payables does not allow transaction processing in a Permanently Closed period. You cannot reopen a Permanently Closed period.

2. Save your work.

Related Topics

Defining Calendars, *Oracle General Ledger Implementation Guide*

Closing an Accounting Period

You close a Payables period after you have completed accounting for transactions for the period and you have transferred the accounting entries to general ledger.

You cannot close a period in Payables if any of the following conditions exist:

- **Outstanding payment batches.** Confirm or cancel all incomplete payment batches.
- **Future dated payments for which the Maturity Date is within the period but that still have a status of Issued.** Submit the Update Matured Future Payment Status Program, *Oracle Payables User's Guide*.
- **Unaccounted transactions.** Submit the Create Accounting program to account for transactions, or submit the Unaccounted Transaction Sweep to move any remaining unaccounted transactions from one period to another. See: Creating Accounting Entries in Payables, *Oracle Payables User's Guide*Unaccounted Transactions Sweep,

Oracle Payables User's Guide.

- **Accounted transactions that have not been transferred to general ledger.** Transfer accounting entries to General Ledger. See: Transferring Journal Entries to Your General Ledger, *Oracle Payables User's Guide*

To complete the close process in Payables:

1. **Validate all invoices.**

See: Payables Invoice Validation, *Oracle Payables User's Guide*.

2. **Confirm or cancel all incomplete payment batches.**

3. **If you use future dated payments, submit the Update Matured Future Dated Payment Status Program.** This will update the status of matured future dated payments to Negotiable so you can account for them.

See: Update Matured Future Payment Status Program, *Oracle Payables User's Guide*.

4. **Resolve all unaccounted transactions.**

Submit the Create Accounting program to account for all unaccounted transactions.

See: Creating Accounting Entries in Payables, *Oracle Payables User's Guide*.

Review the Unaccounted Transactions Report. Review any unaccounted transactions and correct data as necessary.

See: Unaccounted Transactions Report, *Oracle Payables User's Guide*.

Then resubmit the Create Accounting program to account for transactions you corrected. Or move any unresolved accounting transaction exceptions to another period(optional).

Submit the Unaccounted Transactions Sweep Program, *Oracle Payables User's Guide*.

5. **Transfer invoices and payments to the General Ledger and resolve any problems you see on the output report:**

Transferring Journal Entries to Your General Ledger, *Oracle Payables User's Guide*.

6. **In the Control Payables Periods window, close the period in Payables.**

See: Controlling the Status of Payables Periods, page 1-111.

7. **Reconcile Payables activity for the period.** See: Reconciling Payables Activity, *Oracle Payables User's Guide*. You will need the following reports:

- Accounts Payable Trial Balance Report, *Oracle Payables User's Guide* (this period and last period).

- Posted Invoice Register, *Oracle Payables User's Guide*.
 - Posted Payment Register, *Oracle Payables User's Guide*.
8. **If you use Oracle Purchasing, accrue uninvoiced receipts.** See: Purchasing Integration, *Oracle Payables User's Guide*.
 9. **If you use Oracle Assets, run the Mass Additions Create Program transfer capital invoice line distributions from Oracle Payables to Oracle Assets.** See: Mass Additions Create Program, *Oracle Payables User's Guide*.
 10. **Post journal entries to the general ledger and reconcile the trial balance to the General Ledger.** See: Reconciling Payables Activity to General Ledger, *Oracle Payables User's Guide*.

CLOSE RESTRICTIONS:

COMBINED BASIS ACCOUNTING: If you use the combined basis accounting method, you must transfer invoices and payments to your accrual ledger and payments to your cash ledger before you can close an accounting period.

Related Topics

Period Close Exceptions Report, *Oracle Payables User's Guide*

Aging Periods

Use the Aging Periods window to define time periods for the Invoice Aging Report. The Invoice Aging Report provides information about invoice payments due during four periods you specify. Payables displays the invoice information in four columns. Each column corresponds to one period.

When you submit the Invoice Aging Report, you select the type of aging periods to use for the report.

For example, you define one type of aging period called Weeks Past Due, and define the following periods for Weeks Past Due: 1 Week, 2 Weeks, 3 Weeks, and Over 3 Weeks. You also define a type of aging period called Current, and define the following periods for Current: Due in More than 3 Weeks, Due in 3 Weeks, Due in 2 Weeks, and Due in 1 Week. When you submit the report, if you select Weeks Past Due for the Type parameter, Payables reports on the four periods with that type.

You can use the Aging Periods window to modify or reorder the periods within an aging period type at any time.

Defining Aging Periods

To define an aging period:

1. In the Aging Periods window, enter the Name and Description of the type of aging periods you are defining. When you submit the Invoice Aging Report, this value will appear in Type parameter list of values if it is active. To activate the aging period, choose Active.
2. Enter each aging period:

Enter the range of days for the period. For example, to define a period that reports invoice payments due during the next 7 days, enter From -7 days To 0 days.

Enter the First and Second lines of the Column Heading as you want them to appear on your report. For example, Due in 1 Week.

Enter the column order. The period with Column Order 1 will be the first column on the report, and so on. The Invoice Aging Report uses only the four lowest numbered periods. You can reorder periods at any time.
3. Save your work.

Related Topics

Invoice Aging Report, *Oracle Payables User's Guide*

Payables Implementation Information

This section provides you with reference material you may need for implementing Payables. It includes specific information on the following topics:

- Customizing Your Supplier Letters, page 1-115
- Implementing the Invoice Payments Descriptive Flexfield, page 1-118
- Customizing Automatic Withholding Tax, page 1-119
- Using the Multiple Organization Support Feature, page 1-119
- Setting Up Print Styles and Drivers for the Supplier Mailing Labels Report, page 1-120
- Setting the Query Driver Parameter for 1099 Reporting, page 1-125

Customizing Your Supplier Letters

You use supplier letters to notify your suppliers, purchasing agents, and purchase

requestors of actions you have taken for their invoices or to request additional information from them. Payables provides the following reports that produce supplier letters:

- **Matching Hold Agent Notice.** This report produces a letter notifying your purchasing agents that you cannot pay an invoice because of a price or quantity variance.
- **Receiving Hold Requestor Notice.** This report produces a letter notifying your purchase requestors that you cannot pay an invoice until they acknowledge that they received the product they ordered.
- **Print Invoice Notice.** This report produces a letter notifying a supplier that you have entered one or more invoices for the supplier in Payables.
- **Prepayment Remittance Notice.** This report produces a letter notifying a supplier that you have applied a prepayment to an invoice. Payables automatically prints the supplier name, address information, and any related information, such as invoice number, on each of the letters it prints.
- **Invalid PO Supplier Notice.** This notice informs a supplier that you placed an invoice on hold because the supplier did not provide a valid purchase order number.
- **Tax Information Verification Letter.** This letter requests a supplier to confirm or provide tax information.

Many of the reports include report parameters that you can use to specify custom information, such as sender name, title, and return address, each time you submit a report. In addition, each of the reports includes boilerplate text that you can customize to reflect your enterprise's operations.

If your installation uses multiple languages, you can customize the following notices in multiple languages. When Payables prints the notice, it prints it in the language assigned to the supplier site.

- **Print Invoice Notice.**
- **Prepayment Remittance Notice.**
- **Invalid PO Supplier Notice.**

Using Report Parameters

The Tax Information Verification Letter and the three purchase order notices provide report parameters that you use to specify the name, title, and return address of the letter sender when you submit the reports. You can define defaults for all of these report parameters to avoid having to re-enter the parameters each time you submit the reports. See: *Define Concurrent Program, Oracle Applications System Administrator Guide*.

Important: Two of the reports, Print Invoice Notice and Prepayment Remittance Notice, do not use report parameters. For these reports, Payables includes a fictitious name and title for the sender of the letter. You should modify this boilerplate text to reflect the name(s) and title (s) of the persons in your enterprise responsible for sending out supplier letters.

Modifying Boilerplate Text

You can use Oracle Reports to customize any of the boilerplate text defined in a supplier letter report.

Prerequisite

- You should be familiar with your Oracle Reports and Oracle Reports Designer. See: *Oracle Report Manager User Guide*.

To make a copy of the Original Report File (Recommended):

1. In your operating system, change directories to the \$AP_TOP/reports/<two letter country code> directory.
2. Make a copy of the original file for each report you want to modify and save each copy using a different name. You may also want to store the original file in a different directory or give it a new name, because Payables references the original report name when you submit a report.

The following are the file names for each supplier letter report:

- **Matching Hold Agent Notice.** APXMHLET.rdf
- **Receiving Hold Requestor Notice.** APXVDRAL.rdf
- **Tax Information Verification Letter.** APXVDTIN.rdf
- **Invalid PO Supplier Notice.** APXVDLET.rdf
- **Print Invoice Notice.** APXINPRT.rdf
- **Prepayment Remittance Notice.** APXPPREM.rdf

To load your copy into Oracle Reports Designer:

1. Start Oracle Reports Designer and use the Open File menu option to select the file you want to modify.
2. Open the report and bring up the layout window. Oracle Reports displays the

report and allows you to select and manipulate objects in the layout body of the report.

Modifying Your Report

You can select any boilerplate object and use the Oracle Reports Designer text editing tool to modify the text in the object.

Tip: You can identify boilerplate objects by selecting objects and bringing up the property sheets. Oracle Reports displays the name and type of an object in the property sheet for the object.

You can also change the characteristics of a boilerplate object, including the length and height, to accommodate the text that you wish to add or modify. Also, you can reposition boilerplate objects within a report frame to change the format of the report.

Important: You should exercise caution when changing the format of a report. You can cause your report to fail if you move an object outside the boundaries of the object's defined frame.

When you have finished making your changes, save the changes and exit Oracle Reports. The next time you submit the report, the modifications you made will appear in the body of the report.

Important: You should not change any of the SQL statements in the report. Payables defines each statement to select necessary information for each report. Also, you should not change any of the functions, report settings, or names of objects that Payables defines.

Implementing the Invoice Payments Descriptive Flexfield

Payables uses the same Descriptive Flexfield definition for scheduled payments and invoice payments. Payables automatically transfers Descriptive Flexfield information from the scheduled payment to the invoice payment when payments are created.

With Oracle Application Object Library, once you define the Invoice Payments Descriptive Flexfield, you can access this Descriptive Flexfield in every window where it appears. Depending on your security level, you can enter, update, or view information in this Descriptive Flexfield in the Scheduled Payments tab of the Invoice Workbench, the Modify Payment Batch Window, and the Invoices window of the Payments Workbench. See also: *Planning Your Descriptive Flexfields*, *Oracle Applications Flexfields Guide*.

Customizing Automatic Withholding Tax

If you are using Payables to automatically withhold tax, you may want to customize the AP_CUSTOM_WITHHOLDING_PKG to perform special behavior. This PL/SQL package contains two procedures that are called when you automatically withhold tax. Both procedures are empty (perform nothing), but can be modified.

AP_SPECIAL_RATE is called any time you automatically withhold tax. Modify this procedure if you want to use Penalty type AWT rates, or any other user-defined AWT Rate Type. For example, you may want to use a Penalty type rate for a specific supplier. The AP_SPECIAL_RATE procedure is located in the following directory and is called:

```
$AP_TOP/admin/plsql/apcmawtb.pls
```

After you modify this file, execute the following command:

```
$ sqlplus <APPS username>/<APPS password> @apcmawtb.pls
```

AP_SPECIAL_ROUNDING is called only when you automatically withhold tax during payment batch processing. Modify this procedure if you want to perform rounding of tax amounts during withholding. For example, you may want to round all withholding tax amounts up to the nearest dollar. The AP_SPECIAL_ROUNDING procedure is located in the following directory and is called:

```
$AP_TOP/admin/plsql/apcmawtb.pls
```

After you modify this file, execute the following command:

```
$ sqlplus <APPS username>/<APPS password> @apcmawtb.pls
```

Related Topics

Automatic Withholding Tax Overview, *Oracle Payables User's Guide*

Using the Multiple Organization Support Feature

You can use the Oracle Applications Multiple Organization Support feature to use multiple ledgers for one Payables installation. You can then assign a unique ledger (with its unique calendar, chart of accounts, and ledger currency) to each organization you define. When you assign responsibilities using function security you can limit a user to one organization's ledger. In addition to its original title, the organization name is displayed in the header of reports also.

With the Multiple Organization Support feature you can segregate transactions by operating unit but you can still choose to share certain information, such as supplier information, between organizations so the information needs to be entered only once. For more information read the *Oracle E-Business Suite Multiple Organizations Implementation Guide* before proceeding.

If you use the Oracle Applications Multiple Organization Support feature, you must implement Cash Management for your payment reconciliation needs. See: Reconciling

Payments with Oracle Cash Management, *Oracle Payables User's Guide*.

When you use Oracle Applications Multiple Organization Support, Payables displays the user's organization name in each window title. If you use Reporting Currencies, Payables also displays the currency.

Payables provide the following cross-organizational reports:

- Accounts Payable Trial Balance Report, *Oracle Payables User's Guide*
- Posted Invoice Register, *Oracle Payables User's Guide*
- Posted Payment Register, *Oracle Payables User's Guide*
- Unaccounted Transactions Sweep, *Oracle Payables User's Guide*
- Unclaimed Property Report, *Oracle Payables User's Guide*

Setting Up Print Styles and Drivers for the Supplier Mailing Labels Report

When you submit the Supplier Mailing Labels report, you choose an output style parameter of either Formatted or Unformatted. If you choose Formatted, Payables prints the supplier label information on Avery brand laser labels. If you choose Unformatted, Payables creates a flat file with the supplier label information. You can then use a custom program to format the flat file and print your custom labels. For more information, see: Supplier Mailing Labels Report, *Oracle Payables User's Guide*.

Before you can run the Supplier Mailing Label report, you must set up a print style and printer driver and assign them to the report. You set up the print style based on whether you want to run the report in the Formatted or Unformatted output style, and if you use a printer in PostScript mode or not.

If you want to use the Formatted output style, and you use a printer in non-PostScript mode, and an SRW driver is not defined for this printer, you must first define a new Portrait type (66 height x 80 width) SRW driver for your printer and it must be in your \$FND_TOP/\$APPLREP directory. See: Creating Custom SRW Drivers, *Oracle Applications System Administrator's Guide*.

Tip: If you want to be able to choose both Formatted and Unformatted output styles when you submit the report, assign in the Print Style window an SRW driver that can print in the Unformatted output style, and assign in the Printer Drivers window an SRW driver that can print in the Formatted output style. The system uses the SRW driver in the Print Styles window when, in the Submit Request window, you enter zero in the Copies field. The system uses the SRW driver in the Printer Drivers window if, in the Submit Request window, you enter a value greater than zero in the Copies field, and you enter a printer value in the Printers field. If the Print Style SRW driver is different from the

Print Drivers SRW driver, each time you submit the Supplier Mailing Labels program, you must remember to properly set the Copies and Printer fields in the Submit Request window.

To define the 'Portrait - Mailing Labels' Print Style:

1. Log in to Oracle Applications and choose the System Administrator responsibility.
2. Navigate to the Print Styles window.
3. Define the Portrait - Mailing Labels print style by entering and saving the following values and options. For detailed information on the window, see: Print Styles Window, *Oracle Applications System Administrator's Guide*.

Field	Value or Option
Style Name	PORTRAITMAILLABELS
Sequence	Unique number that specifies order in which the printer name appears on your printer list of values. See: Print Styles Window documentation for more details.
User Style	Portrait - Mailing Labels

Field	Value or Option
SRW Driver	Select a driver depending on whether an SRW driver for your printer is predefined in Oracle Applications, whether you use your printer in PostScript mode, and whether you use the Formatted (Avery labels) or Unformatted (custom labels) Output Style parameter for the Supplier Mailing Labels Report: - APFMLB (predefined PostScript SRW driver, Formatted output style, with page breaks) - APUMLB (predefined non-PostScript SRW driver, Unformatted output style, without page breaks) - existing Portrait type (66 height x 80 width) SRW driver, e.g. P (predefined non-PostScript SRW driver for Formatted/Unformatted output styles with page breaks) - user-defined
Description	Style for Supplier Mailing Labels
Columns	80
Rows	66
Suppress Header	Disabled
Orientation	Portrait

4. Save your work

To define the printer driver:

1. Log in to Oracle Applications and choose the System Administrator responsibility.
2. Navigate to the Printer Drivers window.
3. Define a printer driver by entering the following values. For more information, see:

Printer Drivers Window, *Oracle Applications System Administrator's Guide*.

If you are using a printer in non-PostScript mode, you may want to remove the PostScript references in the values you enter for the Driver Name, User Driver, and Description.

Field	Value
Driver Name	PORTRAITPSMAILLABELS
User Driver	PostScript Portrait for Mailing Labels
Description	PostScript Portrait 80x66 (8.5"x11"), 0 margins
SRW Driver	Select a driver depending on whether an SRW driver for your printer is predefined in Oracle Applications, whether you use your printer in PostScript mode, and whether you use the Formatted (Avery labels) or Unformatted (custom labels) Output Style parameter for the Supplier Mailing Labels Report: - APFMLB (predefined PostScript SRW driver, Formatted output style, with page breaks) - APUMLB (predefined non-PostScript SRW driver, Unformatted output style, without page breaks) - existing Portrait type (66 height x 80 width) SRW driver, e.g. P (predefined non-PostScript SRW Driver for Formatted or Unformatted output styles with page breaks) - user-defined
Platform	(blank)

Field	Value
Driver Method	Command You can use other Driver Methods. Using an alternate Driver Method may require you to change the values for Spool File, Standard Input, Program Name, and Arguments.
Spool File	Enabled
Standard Input	Disabled
Program Name	(blank)
Arguments	lp -c -d\$PROFILES\$.PRINTER -n\$PROFILES\$.CONC_COPIES \$PROFILES\$.FILENAME Note that for some operating systems you will need to alter the Arguments. Using alternate Arguments may require you to change the values for Spool File and Standard Input.
Initialization	If you use a printer in PostScript mode, leave the Initialization field blank. If you use a printer in non-postscript mode and want to use the Formatted output style, enter a string with the following escape sequences: - printer coordinate origin in top left corner of physical page - all page margins (top, bottom, left, right) are 0 - page dimensions are 80 characters wide and 66 characters high
Reset	If you entered an Initialization string, enter a string that will reset the printer's instructions for the next print job.

4. Save your work.

To assign the printer style and printer driver to your printer:

1. Log in to Oracle Applications and choose the System Administrator responsibility.
2. Navigate to the Printer Types window. For more information, see: *Printer Types Window, Oracle Applications System Administrator's Guide*.
3. Query the printer you want to use to print the mailing labels.
4. Select PORTRAITMAILLABELS as the printer style and select the printer driver name you defined, e.g. PORTRAITPSMAILLABELS.
5. Save your work.

To assign the printer style to the Supplier Mailing Labels Report:

1. Log in to Oracle Applications and choose the System Administrator responsibility.
2. Navigate to the Concurrent Programs window. For more information, see: *Concurrent Programs Window, Oracle Applications System Administrator's Guide*.
3. Query the Supplier Mailing Labels Program (short name APXVDLBL).
4. In the Output region, overwrite the Style default value of 'Portrait' with 'Portrait - Mailing Labels'.
5. If you do not want to allow users to select other print styles when they submit the report, check the Style Required check box.
6. Save your work.

To issue a *Restart concurrent manager* command:

- See: *Controlling Concurrent Managers, Oracle Applications System Administrator's Guide*.

Setting the Query Driver Parameter for 1099 Reporting

Before you perform 1099 reporting, you need to ensure that the Query Driver hidden parameter is set properly and consistently for the 1099 reports that use this parameter. To help ensure that the parameter is consistent, the system administrator sets the parameter and the parameter does not appear during report submission.

The following 1099 reports use the Query Driver parameter :

- 1099 Forms

- 1099 Payments Report
- 1099 Electronic Media
- 1099 Supplier Exceptions
- 1099 Invoice Exceptions

These reports provide 1099 payment or exception information by balancing segment. Each report uses the setting of the Query Driver parameter to determine which account to use to determine the balancing segment associated with the invoice. The parameter options are:

- INV: charge account on the invoice distribution
- PAY: bank cash account used for the invoice payment

When you submit each of these 1099 reports, you run the report for a specific reporting entity. By choosing a reporting entity, you are choosing to run the report for the balancing segments assigned to the specified reporting entity. For example, you run a report for reporting entity "Headquarters", which represents balancing segments 1, 2, and 3. The report includes all transactions that were charged to accounts with balancing segments 1, 2, and 3.

You need to set the Query Driver parameter so you will report using the transaction type that has the most specific information, either the payment or the invoice. Continuing from the previous example, if you use the same cash account to pay for transactions for balancing segments 1, 2, 3, and 4, and balancing segment 4 is assigned to reporting entity "West", then you should use INV as your Query Driver parameter. You can run the reports for both the Headquarters and West reporting entities because the system can then separate transactions by balancing segment.

The default parameter for the 1099 reports is PAY. If you want to use the PAY parameter, then do nothing.

If you want to change the parameter to INV, then perform the following steps for each of the reports.

Important: To ensure consistent reporting, each of the reports must use the same value for the Query Driver parameter.

To change the Query Driver parameter from PAY to INV:

1. Log in as the System Administrator.
2. Navigate to the Concurrent Programs window.
3. Search for the report and click Parameters.

4. Select the Query Driver parameter and update the Default Value field.

Oracle Payables Command Center Setup

This chapter covers the following topics:

- Setting Up Payables Command Center
- Setup and Configuration Steps for Payables Command Center
- Profile Options for Payables Command Center
- Configuring Descriptive Flexfields for Search
- Loading Payables Command Center Data

Payables Command Center Configuration

Setting Up Payables Command Center

See Payables Command Center Overview, *Oracle Payables Use'sr Guide*.

The Payables Command Center configuration and setup must be completed after the installation and common configurations are completed as described in My Oracle Support Knowledge Document 2495053.1, *Installing Oracle Enterprise Command Center, Release 12.2*. See Setup and Configuration Steps Payables Command Center, page 2-2.

Setup and Configuration Steps for Payables Command Center

See Payables Command Center Overview, *Oracle Payables Use'sr Guide*.

To set up Payables Command Center:

1. Set profile options, page 2-2.
2. Configure descriptive flexfields for search, page 2-3.
3. Load the Payables data, page 2-4.
4. Review profile options.

The following profile options control access to data:

- MO: Operating Unit: For single-operating unit access
- MO: Security Profile: For multi-operating units access

5. Review segment value security for Open Liabilities dashboard users.

The Open Liabilities dashboard enforces Segment Value Security, which excludes a segment value or ranges of segment values for a specific user responsibility. Therefore, ensure that the Open Liabilities dashboard users are assigned the relevant responsibility to access the appropriate segment values.

Profile Options for Payables Command Center

See Setup and Configuration Steps Payables Command Center, page 2-2.

You must set the following profile option:

Profile Option Name	Description
AP: ECC Aging Template	This site-level profile option determines which aging template is used in the Aging of Past-Due Invoices chart on the Supplier Balance dashboard. The choices come from the active aging templates defined in Oracle Payables. You can select one template for this profile option. Important: ECC does not support overlapping buckets. To avoid data load failures, select an aging template without overlapping buckets.
AP: ECC Payment History Range	This site-level profile uses the Oracle Payables history range to display data in the Paid Invoices results table of the Supplier Balance dashboard. Enter the number of days that will be used to load the payment history. The default value is 7.

Configuring Descriptive Flexfields for Search

See Setup and Configuration Steps Payables Command Center, page 2-2.

Enterprise command centers support searching on descriptive flexfield (DFF) attributes. After you configure DFFs, you must run the data load process to make the DFF attributes available in the command center.

For additional information about configuring and customizing flexfields, see *Oracle E-Business Suite Flexfields Guide* and My Oracle Support Knowledge Document 2495053.1, *Installing Oracle Enterprise Command Center Framework, Release 12.2*.

The following table describes the DFFs that are available in the Payables Command Center:

Dashboard	Data Set	DFF Title	DFF Name	DFF Attribute Group Name	Displayed in
Supplier Balance	ap-trx	Invoice	AP_INVOICE S	Invoice	Available Refinements, Open Invoices results table
Holds	ap-trx	Invoice	AP_INVOICE S	Invoice	Available Refinements
Discounts	ap-trx	Invoice	AP_INVOICE S	Invoice	Available Refinements

Loading Payables Command Center Data

See Setup and Configuration Steps Payables Command Center, page 2-2.

To load data from Oracle E-Business Suite into Payables Command Center's data sets, use the concurrent program *Payables Command Center Data Load*, which is located under **Payables >Other >Reports**.

Important: To correctly display invoice validation statuses from Oracle Payables on the Supplier Balance dashboard, you must run the *Payables Command Center Data Load* concurrent program with the Full Load option. Otherwise, some components may show errors.

Run the concurrent program from the **Submit Request** window.

Payables Command Center Data Load Request

The screenshot displays the 'Navigator - Payables Manager' window. Overlaid on this are two dialog boxes. The top dialog, 'Submit Request', has a 'Run this Request' section with a 'Copy' button. Below this are fields for 'Name' (containing 'Payables Command Center Data Load'), 'Operating Unit', 'Parameters', and 'Language' (set to 'American English'). At the bottom of this dialog are 'Language Settings' and 'Debug Options' buttons. The bottom dialog, 'Parameters', contains fields for 'Load Type' (with a dropdown arrow), 'Languages', 'Log Level' (set to 'ERROR'), and 'SQL Trace'. To the right of the 'Log Level' field is an 'Error' label. At the bottom of the 'Parameters' dialog are 'OK', 'Cancel', 'Clear', and 'Help' buttons. Below the 'Submit Request' dialog, within the main window, are 'Help (C)', 'Submit', and 'Cancel' buttons. At the very bottom of the window is an 'Open' button.

To load Payables Command Center data:

1. In the **Name** field, select **Payables Command Center Data Load**.
2. Select the appropriate load type.
 - **Full Load:** Loads all payables data and is required to be run for the first data load. The full data load process also includes metadata load. If you run full load for subsequent requests, then this program clears all payables data from ECC and loads fresh data.
 - **Incremental Load:** Loads only the data that has been modified since the previous load for all dashboards. Schedule incremental loads to run as often as required to keep the ECC dashboards current.
 - **Metadata Load:** Loads Descriptive Flexfield (DFF) metadata. If there are any changes to the DFF definition, then you must run the program first with the Metadata Load option and then the Full Load option so that the DFF changes are shown in the command center.
3. In the **Languages** field, enter one or more language codes for the output. For multiple language codes, use the format AA,BB,NN. If the field is blank, then the

data will be loaded for the base language only (usually US).

4. Select the log level that you want the program to report. The default value is Error.
5. Select **True** to enable SQL trace. Otherwise, select False.
6. Submit the concurrent request.
7. Review your request using the **Requests** page.
8. Monitor data loading using the **Data Load Tracking** page of the ECC Developer responsibility.

Invoices

Setting Up Your System for Matching

You can set options and tolerances in Payables and Purchasing to control matching in your system.

You set these options in many windows including Financials Options, Payables Options, Suppliers, Supplier Sites, and the Purchasing Options window in Purchasing. In addition, you set the following:

- In the Invoice Tolerance window you can set tolerances for the variance you will allow between invoices and purchase orders or receipts.
- In the Payables Lookups and Purchasing Lookups windows you define lookup values that you use in both Payables and Purchasing. See: Integrated Supplier and Purchasing Information, *Oracle Payables User Guide*.
- In the Profile Options window you set the value for AP: Show Finally Closed POs. See: AP: Show Finally Closed POs, page A-4.

Matching Control Defaulting Hierarchies

The following options and windows control matching in your system. The windows or document in which you can set the option are listed in the same order as the defaulting hierarchy. If a value defaults to another window or document, you can always override the default value.

- **Hold Unmatched Invoices (enabled, disabled)**
 - Financials Options window (Supplier Entry) and Payables Options window (Expense Reports)
 - Suppliers window

- Supplier Sites window
- **Match Approval Level (2-way, 3-way, 4-way)**
 - Purchasing Options window
 - Suppliers window
 - purchase order shipment
- **Invoice Match Option (Receipt, Purchase Order)**
 - Financials Options window
 - Suppliers window
 - Supplier Sites window
 - purchase order shipment
- Create Debit Memo From RTS Transaction (enabled, disabled)
 - Purchasing Options window in Oracle Purchasing
 - Suppliers window
 - Supplier Sites window
 - return to supplier transaction

Related Topics

Entering Suppliers, *Oracle iSupplier Portal Implementation Guide*

Financials Options, page 1-35

Invoice Tolerances, page 1-80

Payables Options, page 1-49

XML Invoices

You can use Oracle XML Gateway to receive invoices from suppliers using XML messaging standards. Oracle supports the XML standard that was developed by the Open Applications Group (OAG). Oracle uses the OAG's Process Invoice DTD called 171_Process_Invoice_002.dtd (version 7.2.1). Suppliers need to generate XML invoices that comply with this standard to ensure that these invoices can be received through the Oracle XML Gateway and processed by Payables. Please refer to the OAG website

www.openapplications.org for more information on OAG standards.

This discussion includes the following topics:

- XML Invoice Transaction Limitations, page 3-3
- Setup for XML Invoices, page 3-4
- Message Map Detail, page 3-7
- Tax on XML Invoices, page 3-14
- Processing Oracle XML Gateway Invoice Records, page 3-14

XML Invoice Transaction Limitations

This XML invoice support has the following restrictions for how the invoices are processed:

1. All invoices in one message must be from the same supplier and supplier site.
2. Custom code conversions must be defined as part of trading partner setup.
3. Tax groups are not supported.
4. Invoices in one message are limited to one organization.
5. Oracle supports the following XML element structure:

<PROCESS_INVOICE>

INVHEADER (invoice header)

INVCHARGE (freight/miscellaneous charge line)

INVLINE (item line)

INVTAX within INVLINE (This tax line will have the same LINE_GROUP_NUMBER as the Item line)

INVTAX (tax line(s)) (This tax line will *not* have a LINE_GROUP_NUMBER because it will be prorated across all taxable Item lines in this invoice.)

</PROCESS_INVOICE>

The following are examples of document structures that are *not* supported:

- INVTAX and INVCHARGE within INVHEADER
- INVTAX within INVCHARGE
- INVCHARGE within INVLINE

6. The map does not support tax on tax. See Tax on XML Invoices, page 3-14.
7. The map does not support invoices matched to blanket purchase orders.

Related Topics

XML Invoices, page 3-2

Setup for XML Invoices

You perform setup for XML Invoices in the XML Gateway product. For additional information on the following steps, refer to *Oracle XML Gateway User Guide*.

To set up your system to receive XML Invoices:

1. **Define a hub for each supplier that will send you XML invoices.**

In XML Gateway, navigate to the Define Hubs window. For the following parameters, enter the following values:

Parameter	Value
Name	AP
Protocol Type	HTTP
Protocol Address	(enter the complete URL where the Transport Agent will post the XML document. The first part of this URL is the deploying enterprise's server and port)
Username, 1	(enter the name of the supplier)
Password, 1	(enter the password your supplier gives you)
Hub Entity Code, 1	(enter any code)

Save your work.

2. **Define the Inbound XML Invoices Transaction:**

In XML Gateway, navigate to the Define Transactions window. For the following parameters, enter the following values:

Parameter	Value
Party Type	Supplier
Transaction Type	AP
Transaction Subtype	INI
Transaction Description	Inbound XML Invoices
Standard Code	OAG
Direction	IN
External Transaction Type	INVOICE
External Transaction Subtype	PROCESS
Queue	APPS.ECX_IN_OAG_Q

Save your work.

3. Define each trading partner (supplier) that will send you XML invoices:

In XML Gateway, navigate to the Define Trading Partners window. For the following parameters, enter the following values:

Parameter	Value
Trading Partner Type	Supplier
Trading Partner Name	(enter the name of your supplier)
Trading Partner Site	(enter the supplier site address)
Company Admin Email	(enter the supplier e-mail address)
Transaction Type	AP
Transaction Subtype	INI

Parameter	Value
Standard Code	OAG
External Transaction Type	INVOICE
External Transaction Subtype	PROCESS
Direction	IN
Map	AP_INVOICE_INBOUND
Source Trading Partner Location Code	(enter the same code you entered for the hub entity code)
Document Confirmation	0
Routing	(leave null)

Save your work.

4. Submit the following information through a transport agent.

Parameter	Value
TRANSPORT_PROTOCOL	OXTA
TRANSPORT_PROTOCOL_VERSION	1.0
REQUEST_TYPE	SEND
MESSAGE_ID	(enter any unique ID)
MESSAGE_TYPE	XML
MESSAGE_STANDARD	OAG
TRANSACTION_TYPE	INVOICE
TRANSACTION_SUBTYPE	PROCESS

Parameter	Value
DOCUMENT_NUMBER	(enter any number)
PARTY_ID	(enter any number)
PARTY_SITE_ID	(enter the same code you entered for the hub entity code)
USERNAME	(enter the username)
PASSWORD	(enter the password)

Save your work.

Message Map Detail

Invoice DTD elements that Oracle supports are presented in this section. These tables also show how the data elements map to columns in the Payables Open Interface tables.

Map Summary

The AP_INVOICE_INBOUND message map is used to populate the Payables Open Interface tables with invoice records based on data in a PROCESS_INVOICE_002 XML message. The following sections present details associated with that message map.

Note: Most data values are seeded.

XML Gateway Details:

Parameter	Value
Message Map Name:	AP_INVOICE_INBOUND
Direction:	Inbound
(Internal) Transaction Type:	AP
(Internal) Transaction Subtype:	INI
External Transaction Type:	PROCESS

Parameter	Value
External Transaction Subtype:	INVOICE
DTD Directory:	ap/xml/oag721
Map Directory:	ap/patch/115/xml/US
Message Maps XGM File Name:	apxmlinb.xgm

Workflow Business Event System Details:

Parameter	Value
Event Name initiated by the Message Map after the transaction is processed:	oracle.apps.ap.inv.invoice.recv
Event Subscription Name initiated by the Application after the transaction is processed:	no subscription in this version

General Message Map Details:

Parameter	Value
The Open Interface or API is initiated for the transaction by the Message Map:	No
Name of the Application Open Interface associated with validation of the entire transaction:	Payables Open Interface
Are levels expanded and/or collapsed in the Message Map:	Yes

Target Detail Open Interface Tables:

Table
AP_INVOICES_INTERFACE

Table

AP_INVOICE_LINES_INTERFACE

The following tables show values that default when the Payables Open Interface is populated.

Defaulted Columns:

Defaulted Columns	Default Value, and Condition (if any)
AP_INVOICES_INTERFACE.INVOICE_ID	Assigned next sequence value
AP_INVOICES_INTERFACE.GROUP_ID	Assigned variable value from the XML Gateway Internal Control Number.
AP_INVOICES_INTERFACE.SOURCE	XML GATEWAY
AP_INVOICE_LINES_INTERFACE. INVOICE_ID	Assigned from corresponding header row
AP_INVOICE_LINES_INTERFACE. INVOICE_LINE_ID	Assigned next sequential value

The following tables show values that are derived when the Payables Open Interface is populated. Note that import later derives some invoice values such as the accounts for Freight and Miscellaneous distributions. For details on values that import derives or defaults, refer to the Payables Open Interface Table Descriptions, *Oracle Payables Reference Guide*.

Derived Columns:

Derived Columns	Default Value, and Condition (if any)
AP_INVOICES_INTERFACE. PAYMENT_METHOD	Derived from supplier site.
AP_INVOICES_INTERFACE. VENDOR_SITE_ID	The supplier (VENDOR_ID) and the operating unit (ORG_ID) are derived from the PARTY_SITE_ID in the XML envelope.

Derived Columns	Default Value, and Condition (if any)
AP_INVOICES_INTERFACE. INVOICE_TYPE_LOOKUP_CODE	If the invoice amount is zero or positive then the value is STANDARD. If the invoice amount is negative then the value is CREDIT.
AP_INVOICE_LINES_INTERFACE. LINE_TYPE_LOOKUP_CODE	For INVLIN elements, LINE_TYPE_LOOKUP_CODE is "ITEM". For INVTAX.AMOUNT.TAX.T elements, the line type value is TAX. If INVCHARGE. CHARGETYPE is "Freight" then the line type value is FREIGHT. If INVCHARGE. CHARGETYPE is anything other than "Freight" then the line type value is MISCELLANEOUS. Note that the CHARGETYPE is not case sensitive.
AP_INVOICE_LINES_INTERFACE. TAXABLE_FLAG	This value is set to Y in two scenarios: -If the taxable flag is set to Y at the header then this value is set to Y for all Item lines. -This value is derived for Item lines only, and is based whether INVTAX is within INVLIN. The value is set to Y when tax should be prorated to the item.
AP_INVOICE_LINES_INTERFACE. LINE_NUMBER	

Attached XSLT

XSLTs are not provided in the Oracle transactions. You may add them to your own or modified Message Maps by invoking the Execute Procedure to Perform XSLT Transaction in the Message Map.

XML Style sheets must be stored in the directory that is defined in the Profile Option, if they are used.

Collapsing or Expanding Data Levels

The AP_INVOICE_INBOUND message map collapses the dataarea and the PROCESS_INVOICE and INVHEADER elements into AP_INVOICES_INTERFACE.

USERAREAs

We do not use any data in the user areas.

INVHEADER

The following table contains information about Invoice Header (INVHEADER) DTD elements and how they map to open interface tables.

For a text description of the following table, see: Text Description of the Invoice Header Table, *Oracle Payables User's Guide*.

Field/Data Type	Description/Comment	Payables Open Interface Table column (inbound)
AMOUNT.DOCUMENT.T-VALUE	Qualifier needs to be "DOCUMENT" to be mapped.	AP_INVOICES_INTERFACE. INVOICE_AMOUNT
-CURRENCY		AP_INVOICES_INTERFACE. INVOICE_CURRENCY_CODE
DATETIME.DOCUMENT	Qualifier needs to be "DOCUMENT" to be mapped.	AP_INVOICES_INTERFACE. INVOICE_DATE
DOCUMENTID		AP_INVOICES_INTERFACE. INVOICE_NUM
DESCRIPTN		AP_INVOICES_INTERFACE. DESCRIPTION
PARTNER.CONTACT.EMAIL	PARTNERTYPE needs to be "Supplier" to be mapped. If null, the email address will be derived from the trading partner setup.	AP_INVOICES_INTERFACE. VENDOR_EMAIL_ADDRESS

INVCHARGE

The following table contains information about Invoice Charge (INVCHARGE) DTD elements and how they map to open interface tables.

For a text description of the following table, see: Text Description of the Invoice Charge Table, *Oracle Payables User's Guide*.

Field/Data Type	Description/Comment	Payables Open Interface Table (inbound)
AMOUNT.EXTENDED.T	Qualifier needs to be "EXTENDED" to be mapped.	AP_INVOICE_LINES_INTER FACE.AMOUNT
INVCHARGE.CHARGETYPE	If INVCHARGE. CHARGETYPE is "Freight" then the line type value is FREIGHT. If INVCHARGE. CHARGETYPE is anything other than "Freight" then the line type value is MISCELLANEOUS. Note that the CHARGETYPE is not case sensitive.	AP_INVOICE_LINES_INTER FACE. LINE_TYPE_LOOKUP_COD E
INVCHARGE.DESRIPTN		AP_INVOICE_LINES_INTER FACE.DESCRPTION

INVLINE

The following table contains information about Invoice Line (INVLINE) DTD elements and how they map to open interface tables.

For a text description of the following table, see: Text Description of the Invoice Line Table, *Oracle Payables User's Guide*.

Field/Data Type	Description/Comment	Payables Open Interface Table (inbound)
AMOUNT.EXTENDED.T	Qualifier needs to be "EXTENDED" to be mapped. This is price x quantity. It does not include tax, freight or miscellaneous charges.	AP_INVOICE_LINES_INTER FACE.AMOUNT
OPERAMT.UNIT.T	Qualifier needs to be "UNIT" to be mapped.	AP_INVOICE_LINES_INTER FACE.UNIT_PRICE
QUANTITY.ITEM	Qualifier needs to be "ITEM" to be mapped.	AP_INVOICE_LINES_INTER FACE. QUANTITY_INVOICED

Field/Data Type	Description/Comment	Payables Open Interface Table (inbound)
DESCRIPTN		AP_INVOICE_LINES_INTERFACE.ITEM_DESCRIPTION
ITEMX	Currently used to identify PO line.	AP_INVOICE_LINES_INTERFACE.VENDOR_ITEM_NUM
UNIT	Code conversion needs to be consistent with trading partner.	AP_INVOICE_LINES_INTERFACE. PO_UNIT_OF_MEASURE
DOCUMNTREF.DOCTYPE	Not mapped, but for a purchase order, the DOCTYPE must be "PurchaseOrder".	
DOCUMNTREF. DOCUMENTID	Currently used to identify PO number.	AP_INVOICE_LINES_INTERFACE.PO_NUMBER
DOCUMNTREF.LINENUM		AP_INVOICE_LINES_INTERFACE.PO_LINE_NUMBER
DOCUMNTREF. SCHLINENUM		AP_INVOICE_LINES_INTERFACE.PO_SHIPMENT_NUM

INVTAX

The following table contains information about Invoice Tax (INVTAX) DTD elements and how they map to open interface tables.

For a text description of the following table, see: Text Description of the Invoice Tax Table, *Oracle Payables User's Guide*.

Field/Data Type	Description/Comment	Payables Open Interface Table (inbound)
AMOUNT.TAX.T	Qualifier needs to be "TAX" to be mapped. Always use TAX.T to submit tax information. Do not use TAX.TAX.	AP_INVOICE_LINES_INTERFACE. AP_INVOICE_LINES_INTERFACE.AMOUNT

Related Topics

XML Invoices, page 3-2

Tax on XML Invoices

An XML message can send a tax amounts in the following ways. One XML message can include both ways:

- as its own tax line
- as part of an invoice line

If the message has a separate tax line, the map creates it as a Tax line in the interface. Payables Open Interface Import then allocates that Tax line to all taxable Item lines on the invoice. Note that tax allocation is to Item lines only.

If a tax amount is included as part of an invoice line, then the map breaks the line into two lines -- one Item line and one Tax line. The map also populates each line with the same value in `AP_INVOICE_LINES_INTERFACE.LINE_GROUP_NUMBER` to ensure that the allocation of the Tax line is to the single Item line.

Invoice Validation will validate tax amounts and will apply holds to the invoice if necessary.

Related Topics

XML Invoices, page 3-2

Processing Oracle XML Gateway Invoice Records

Once you install the Oracle XML Gateway, it automatically retrieves incoming XML messages that are placed in an XML Gateway Inbound Queue. XML Gateway maps the messages and loads them to the Payables Open Interface tables. XML Gateway passes the supplier e-mail address to the interface when it loads invoice records to Payables. Certain invoice import failures (for example, invalid purchase order) cause a workflow notification of the problem to be sent to the supplier at this designated e-mail address. After the notification is sent, the workflow automatically deletes the rejected invoice record from the interface. The supplier must correct the problem and retransmit the invoice.

The following import rejections cause a notification to be sent to the supplier.

- Can Match To Only 1 Line
- Duplicate Invoice Number
- Duplicate Line Number

- Inconsistent Curr
- Inconsistent PO Line Info
- Invalid Invoice Amount
- Invalid Item
- Invalid PO Info
- Invalid PO Num
- Invalid PO Shipment Num
- Invalid Price/Quantity
- Invalid Quantity
- Invalid Unit Price
- No PO Line Num

For detailed information about these rejections, see: Payables Open Interface Import Report, *Oracle Payables User Guide*.

To process your incoming invoices, you submit the XML Inbound Invoice Process. This is a request set that can be scheduled to run as often as you want to retrieve and process XML invoices. The set submits four concurrent programs: Payables Open Interface Import, Payables Invoice Validation, Payables Accounting Process, and Concurrent Request Notification.

The Concurrent Request Notification process automatically sends an e-mail to the e-mail address that is entered in the AP: Notification Recipient E-mail profile option. The e-mail notifies the recipient that the programs were submitted to the concurrent manager and provides the request ID of each program. For information on monitoring requests, see: Submitting Standard Reports, Programs, and Listings, *Oracle Payables User Guide*.

If an invoice does not import due to validation in the import program that is not the responsibility of the supplier (for example, accounting date is in a closed period), then the problem needs to be reviewed and corrected within Payables. See: Payables Open Interface Import Troubleshooting, *Oracle Payables User Guide* and Open Interface Invoices Window, *Oracle Payables User Guide*.

Submitting the XML Inbound Invoice Process

Prerequisites

- Install Oracle XML Gateway to automatically receive incoming messages. See: *Oracle XML Gateway User Guide*.

- In Oracle XML Gateway, define the trading partner. See: *Oracle XML Gateway User Guide*.
- (Optional) Provide a value for import to assign for the expense account for Miscellaneous distributions. See: Miscellaneous Account Financials Option, page 1-36.
- (Optional) Provide a value for import to assign for the expense account for Freight distributions. See: Freight Account Payables Option, page 1-63.
- Set up taxes. Setting Up Taxes in Oracle E-Business Tax, *Oracle E-Business Tax User Guide*

To submit the XML Inbound Invoice Process:

1. In the Submit a New Request window, choose Request Set. In the Request Set field, select XML Inbound Invoice Process.
2. Optionally modify any default program parameters.
3. Optionally schedule the request set to run as often as you want to process XML invoices.

Related Topics

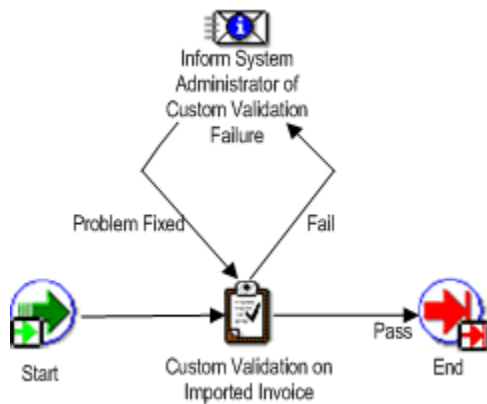
XML Invoices, page 3-2

Tax Handling for XML Invoices

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Payables Open Interface Workflow

The Payables Open Interface Workflow is a workflow template that must be customized before it processes any data. If the workflow is submitted before customization it will run but no validation or actions are performed. You cannot replace this workflow with a new process. You can customize the Payables Open Interface Workflow to help automate verification and validation of data in the Payables Open Interface tables before you submit Payables Open Interface Import. For example, you can modify this workflow to validate all accounting code combinations in the Payables Open Interface tables. Your workflow can send notifications of any invalid code combinations to a specified user for correction. You can also customize the workflow to override any invalid code combinations with a designated default value. Using Oracle Workflow, you can add workflow rules that meet the specific requirements of your business. If you implement this workflow, then once an invoice record has successfully completed workflow, it is ready to be imported into the Oracle Payables application tables.



When the workflow is submitted it looks at all data in the AP_INVOICES_INTERFACE table that meets the parameters specified and has a value of 'Y' in the WORKFLOW_FLAG column.

Records from Oracle sources are saved with no value for WORKFLOW_FLAG. If you want the workflow to select records with a null value for WORKFLOW_FLAG then you will need to write a customization to change the value for those records to 'Y'. For example, you could write a concurrent program to update the workflow flag to 'Y' for records with a null WORKFLOW_FLAG, the source of Quick Invoices, and a null status.

Workflow sets a temporary value of 'S' for 'Selected' when it processes the invoice. Once an invoice has successfully completed workflow the value is set to 'D' for 'Done'. Invoices that have the value of 'D' or null in this column are ready to be imported into the application tables using the Payables Open Interface Import.

When an invoice fails workflow, a notification is sent via e-mail to the individual set up in workflow as the performer. The responsible individual can act based on the e-mail. Alternatively, the individual can periodically use the Oracle Applications Notification window to query and review data that has failed the workflow. If you choose the References button in that window, the system navigates to the Open Interface Invoices window. You can use this window to correct data in the interface tables for any invoices that are not from the Quick Invoices window. If you need to correct invoice records that were entered in the Quick Invoices window, then use the Quick Invoices window. Once you correct the data, return to the Oracle Applications Notification window, and choose the Respond button. Enter Problem Fixed. Oracle Payables automatically resubmits the invoice to workflow.

Tip: To schedule the automatic import of data and initiation of workflow as a recurring process, use the Submit Request Set window. For example, if you integrate with Oracle e-Commerce Gateway for inbound invoices, you may want to create a request set containing the three programs, e-Commerce Invoice Inbound, Payables Open Interface Workflow, and Payables Open Interface Import. You can schedule this

request set to run regularly, for example, every six hours.

Submitting the Payables Open Interface Workflow

The program can be added to a request set along with the Payables Open Interface Import routine to handle a complete loading of data into the application tables. This task describes how to submit the process individually.

Prerequisites

- Customize the workflow validation. Edit the procedure Do_Custom_Validation. This procedure is stored in \$AP_TOP/admin/sql/apiiwkfb.pls. Edit the file and compile it against the server. The name of the workflow is AP Open Interface Import Workflow. If you want to process invoice records from the Quick Invoices window, customize the workflow to select invoice records with a null WORKFLOW_FLAG.
- Assign Performer: Set up the individual who should receive notification of the workflow event.
- Populate the WORKFLOW_FLAG column in the AP_INVOICES_INTERFACE table with a value of 'Y' in order for Workflow to perform action on an invoice. If you have customized Workflow to additionally select records with the WORKFLOW_FLAG set to null, then if you do not want a record selected for import, set the flag to D

Workflow Submission

You submit this program from the Submit Request window. It will process all records that have not yet been processed. See: Submitting Standard Reports, Programs, and Listings, *Oracle Payables User Guide*.

Selected Workflow Parameters

Source. If you want to limit Workflow to records with a particular source, enter the source exactly as it appears in the Oracle Payables Lookups window. Leave blank if you want Workflow to process records regardless of source.

Group. If you want to limit Workflow to records with a particular group, enter the group. If you entered the invoices in the Quick Invoices window, then enter the Quick Invoices Batch name. Leave blank if you want Workflow to process records regardless of group.

Related Topics

[Oracle Workflow User Guide](#)

[Payables Open Interface Import](#), *Oracle Payables User Guide*

Expense Reports and Credit Cards

Setting Up Credit Card Programs

Set up credit card programs for your enterprise's credit card and procurement card requirements. Set up credit card programs with a card type of Travel for employees to enter credit card transactions on expense reports. Set up credit card programs with a card type of Procurement for employees to use procurement cards to purchase items directly from suppliers.

This section explains how to set up credit card programs for both expense report credit cards and procurement cards. The setup for credit cards makes use of the Card Programs window and the Credit Cards window only. If you are using Oracle Internet Expenses, there are additional setup steps for Internet Expenses. See: Establishing Corporate Credit Cards, *Oracle Internet Expenses Implementation and Administration Guide*.

The setup for procurement cards makes use of all windows and processes described in this section. For more information about using procurement cards, see: Procurement Card Management, *Oracle Payables User Guide*.

Prerequisites

- You have the requisite agreements in place with your card issuer.
- Enter your card issuer as a supplier. Include all information including payment terms and supplier site. If you pay with Electronic payments, enter supplier bank information. See: Entering Suppliers, *Oracle iSupplier Portal Implementation Guide*.
- Set up your employees who will be card holders. Enter complete employee information, including employee name, home and/or office address, supervisor, default expense account, and cost center. See: Enter Person, *Managing People Using Oracle HRMS*.

Setting up credit card programs:

1. In the Code Sets window, create credit card code sets for procurement cards. Enter card codes, such as Standard Industry Classification (SIC) codes, or Merchant Category Codes (MCC). Assign a default GL account to a card code. See: Code Sets Window, page 4-4.
2. In the Card Programs window, define your credit card program, including the card issuer, card type, and credit card code set. In this window you can also specify transaction statuses for which you will not create invoices. For example, statuses of Unapproved, Disputed, or Hold. See: Card Programs Window, page 4-6.
3. In the GL Account Sets window, define GL account sets for procurement cards. A GL account set is a list of values that procurement card holders can use to change accounts during transaction verification.
4. In the Profiles window, define credit card profiles that you assign to procurement cards. Attributes of a credit card profile include credit card program, GL account set, default GL account, exception clearing account, employee verification options, and manager approval options. In addition you can record restrictions for credit card codes. See: Profiles Window, page 4-10.
5. In the Credit Cards window, assign a card to a card holder and assign a credit card profile to the card. See: Credit Cards Window, page 4-13.
6. Set up the AP Procurement Card Employee Verification Workflow. See: AP Procurement Card Employee Verification Workflow, page 4-15.
7. Set up the AP Procurement Card Manager Approval Transaction workflow. See: AP Procurement Card Manager Approval Transaction Workflow, page 4-23.
8. Configure Self-Service Web Applications credit card functions using Web Applications Dictionary. See: Configuring Procurement Card Web Pages Using Web Applications Dictionary, page 4-31.
9. Provide detailed cardholder information and card profile information to your card issuer. You can write a custom program to send this information to your card issuer electronically. The card issuer sends cards for your employees. Your card issuer can provide an acknowledgement of the card numbers for all new credit cards. Distribute cards to your employees. Your employees can use the cards to purchase goods.
10. In the System Administration application, navigate to the Users window. Assign Procurement Cards responsibility and the Workflow responsibility to employees.

There are four levels of the Procurement Cards responsibility that you can define for employees:
 - **Procurement Cards** - Assign this responsibility for employees that should have

access to records for one or more employees.

The securing attribute for the seeded Procurement Cards responsibility is ICX_HR_PERSON_ID. To allow a Web user the ability to verify open procurement card transactions and to review a procurement card transaction history for more than one employee, define an additional securing attribute value (ICX_HR_PERSON_ID) for each employee to which you will allow access to procurement card transactions for this employee.

Enter the Web user in the Person field.

- **Procurement Cards (Card Profile Administrator)** - Assign this responsibility for the employee that is the Administrator in the Profiles window. This responsibility has access to all records for a Procurement Card Profile. See: Profiles Window, page 4-10.

Important: To assign this responsibility, you must first define the employee name for Administrator in the Profiles window.

Important: To assign this responsibility, you must also define the Securing Attribute in the Users window to AP_CARD_PROFILE_ADMIN_ID. You then assign the EMPLOYEE_ID for the profile administrator as the Securing Attribute Value.

- **Procurement Cards (Program Administrator)** - Assign this responsibility for the employee that is the Administrator in the Card Programs window. This responsibility has access to all records for a Procurement Card Program. See: Card Programs Window, page 4-6.

Important: To assign this responsibility, you must first define the employee name for Administrator in the Card Programs window.

Important: To assign this responsibility, you must also define the Securing Attribute in the Users window to AP_CARD_PROGRAM_ADMIN_ID. You then assign the EMPLOYEE_ID for the program administrator as the Securing Attribute Value.

- **Procurement Cards (Full Access)** Assign this responsibility to employees that should have access to all records for all card programs, all card profiles, and all employees.

Employees can use any of the Procurement Card responsibilities to verify open procurement card transactions, and to view a transaction history using Self-Service Web Applications. Each of these responsibilities includes the following functions:

- **Verify Open Transaction.** Use to update the status, cost center, account, and description of a transaction. You can also split a transaction.
- **View Transaction History.** Use to review a transaction history.

The seeded Workflow responsibility includes the following functions:

- **View Notifications** View notifications sent by Workflow.
- **View Progress** View the progress of the workflow process for a selected document.

The securing attribute for the seeded Workflow responsibility is ICX_HR_PERSON_ID.

Code Sets Window

Use this window to define sets of credit card codes for your procurement cards. Payables uses these codes to create default accounting distributions for transactions that you import from your credit card issuer. Your card issuer maintains card codes, for example, Standard Industry Classification (SIC) codes or Merchant Category Codes (MCC), to identify suppliers and supplier types for the transactions that your employees incur when using a procurement card.

You can assign a default account to a card code so that when you import a transaction for that card code, you can create a default accounting distribution for the transaction based on the card code for the transaction.

You define sets of credit card codes in this window. You assign credit card code sets to credit card profiles. You then assign credit card profiles to credit cards.

Note: The Code Sets window uses the AP_CARD_CODE_SETS and the AP_CARD_CODES table to store information on credit card code sets and the credit card codes that are assigned to them. If your credit card issuer provides you with its card codes you can load this information directly into the table to save you data entry time. For detailed information on the table, see: *Oracle Payables Applications Electronic Technical Reference Manual*. You can then use the Code Sets window to edit and update credit card code sets.

Prerequisites

- Your procurement card provider sends you the list of card codes it uses. For

example, Standard Industry Codes (SIC) or Merchant Category Codes.

- Define your chart of accounts. See: *Defining Your Chart of Accounts, Oracle General Ledger User's Guide*.

To define a credit card code set:

1. In the Code Sets window, enter the Code Set Name and Description.
2. In the Card Codes region, enter the card code value, for example, the SIC. Enter a description for the card code.

If the card code value is a group card code, enable the Blocking Group check box and leave the account field empty.

If you want to assign a default account to the card code value, enter the account. If you enable the Build Account From Code option for a Credit Card Profile, this value will overlay the employee's default expense account and the default account template for the profile when Payables builds the account for transactions that use the card code.

3. Enter an Inactive On date if you want to limit the time during which the card code will appear on a list of values.
4. Save your work.

Code Sets Window Reference

Code Set Name. Name of the credit card code set. You assign card code sets to credit card programs. Card code sets contain card codes.

Description. Credit card code set description. This will appear on a list of values when you select a credit card code set.

Blocking Group. Enable this check box if the card code value is a blocking group value. This field will be used by future version of Payables.

Value. Card code value. For example, Standard Industry Code or Merchant Category Code. This code is defined and used by your credit card issuer to identify suppliers and groups of suppliers. This code is also used to indicate the supplier type for an imported credit card transaction.

Description. Card code description. This value will appear on a list of values when you select a card code.

Account. If you want to associate an account with a card code, enter the account here. When Payables creates the default GL account for the transaction, it will use the account for a credit card code to overlay any values from the default employee expense GL account or default account template for the profile.

Important: To use the account associated with a credit card code to build a default accounting distribution for an imported transaction, you must enable the Build Acct From Code option in the Profiles window. See: Profiles Window, page 4-10.

Inactive on. If you want to limit the amount of time a card code value is listed on a list of values for the credit card set, enter the date it will become inactive.

Card Programs Window

Use this window to define your credit card programs for each card issuer. You define the supplier and supplier site for your card program. You also specify which transaction statuses to exclude when you automatically create an invoice for your card issuer.

Prerequisites

- Define credit card code sets in the Code Sets window. See: Code Sets Window, page 4-4.
- Enter your card issuer as a supplier. Include all information including payment terms and supplier site. If you make EFT payments, enter supplier bank information.
- If necessary, define additional Card Brands and Employee Matching Rules in the Lookups window.
- If necessary, define mapping rules in the Card Expense Type Mapping Rule page of Internet Expenses Setup and Administration. See: Setting Up Mapping Rules, *Oracle Internet Expenses Implementation and Administration Guide*.

To define a credit card program:

1. In the Card Programs window, enter a Card Program Name and complete the definition of the card program.
2. Save your work.

Card Programs Window Reference

Card Program Name. Name of the credit card program.

Card Brand. The card brand (for example, American Express, Visa, or MasterCard) of the credit card. You can define additional Card Brand values in the Lookups window.

Description. Description of the Credit Card program.

Card Type. Enter the card type for your reference:

- **Procurement** (for procurement cards)
- **Payment Card** Supports Comchecks and comcards as the payment type. Comchecks and comcards are used as electronic checks for the transportation industry.
- **Supplier** (for Oracle iProcurement only)
- **Travel** (for Oracle Internet Expenses only)

Card Issuer. Supplier name of card issuer.

Card Issuer Site. Card issuer's payment supplier site.

Card Code Set. Enter a card code set that includes card codes your card issuer uses to record restrictions on cards. You define credit card code sets in the Code Sets window. See: Code Sets Window, page 4-4.

Administrator. The employee or workflow role that will act as administrator for the credit card program.

Card Program Currency. Currency in which the card issuer invoice is created. This value defaults from the supplier site.

Exposure Limit. This field will be used by a future version of Payables. You can use this field for your reference to record the program's credit limit.

Inactive On. Date on which you can no longer create a credit card profile with this credit card program. On this date, this credit card program will no longer appear on a list of values for credit card programs.

Payment Due From. For use with the card type *Travel* only. Indicates whether payment for corporate credit card transactions is due from the employee, the company, or from both the employee and the company. Enter one of these values:

- **Both.** The employee is billed and pays the credit card issuer only for personal transactions. The employee then creates an expense report for the remaining business-related expenses. When the expense report is created in Payables as an invoice, the company pays the credit card issuer for the employee's business expenses.
- **Company.** The company is billed and pays the credit card issuer for all transactions. The employee then creates an expense report and marks each item as either Business or Personal. If the total amount of personal transactions processed on an expense report exceeds the total amount of cash and other business expenses for that expense report, the employee will owe the company for these personal transactions. Therefore, the employee may be required to reimburse the company for the difference (depending upon the company corporate card policy).
- **Individual.** The employee is billed and pays the credit card issuer for all transactions. The employee then creates an expense report to request

reimbursement for the business-related transactions.

Expenses Clearing Account. The temporary account used to record credit card transaction activity. Payables debits this account when an invoice is created to pay the credit card issuer for credit card transactions. Payables credits this account with offsets to the original debit entries when the expense report is created in Payables. If you enter an expenses clearing account in this field and in the Expenses Clearing field of the GL Accounts region of the Payables Financials Options window, the account entered in this field takes precedence. If you enter *Both* in the Payment Due From field, you must provide an expenses clearing account. If you enter *Company* in the Payment Due From field, you can update the account number.

Exception Account. Account to which Payables will charge exceptions if the Procurement Card Transaction Validation Report tries to create a transaction distribution for an invalid GL account.

Employee Matching Rule. The matching rule to use to match new accounts for this credit card program to employees. Payables provides the matching rules American Express and Default; the matching rule Default works with MasterCard and Visa card programs. You can define additional Employee Matching Rule values in the Lookups window. See: *Defining Credit Card Programs, Oracle Internet Expenses Implementation and Administration Guide*.

Card Expense Type Mapping Region

Source Column. The column in the AP_CREDIT_CARD_TRXNS_ALL table to use to map to card expense types.

Mapping Rule. The name of the mapping rule defined in Internet Expenses. You define mapping rules in the Card Expense Type Mapping Rule page of Internet Expenses Setup and Administration.

Automatic Itemization Region

Enable Automatic Itemization. Check this box to enable level 2 and level 3 itemizations, if they are provided by the credit card provider. To default expense types during expenses entry based on itemization information, assign card expense types to expense items. If you do not assign card expense types to expense items, automatic itemization works only if there is a default expense item defined for the selected expense template.

For level 2 itemizations, the data is stored in the HOTEL_XXX_AMOUNT columns of the AP_CREDIT_CARD_TRXNS_ALL table, where XXX represents the nature of the expense, for example, room service. For level 3 itemizations, transaction details are captured in the AP_CC_TRX_DETAILS table.

Note: If the folio_type is null for the transaction, that is, there is no card expense type value, then automatic itemization does not occur.

Transaction Detail Wait Days. The default wait period for this card program. The wait period assigned to a merchant is equal to the difference in the number of days between receiving the main transaction and receiving level 3 transaction data. If you define a wait period at the card program level, Payables uses the smaller value between the card program wait period and the merchant wait period as the hold period for the particular transaction.

You can enter zero (0) in this field to enable the following functionality:

- Level 3 itemizations only occur if they are provided at the time the transaction is imported and validated; and
- If level 3 itemizations are not available at the same time as the transaction, level 2 itemizations are used if they exist.

If you enable automatic itemization, then Transaction Detail Wait Days is not a required field. However, since it is possible to have long merchant wait periods, it is recommended that you assign a default wait period to each card program. See: Appendix C, Processing Corporate Credit Cards, *Oracle Internet Expenses Implementation and Administration Guide*.

Do Not Pay If Status Is Region

Do Not Pay If Status Is (procurement card only). If you want the Create Procurement Card Issuer Invoice program to exclude any transaction accounting distributions with the following statuses, check each check box status you want to exclude from invoice creation. For example, if you do not want to import transactions with a status of Unverified or Hold, check those check boxes. If you check the Unapproved check box, the Create Procurement Card Issuer Invoice program will not select those transactions for which manager approval is required and manager approval has not yet been obtained, or for those transactions that managers have rejected.

- Unverified
- Unapproved
- Account Exception
- Personal
- Disputed
- Hold

Related Topics

Establishing Corporate Credit Cards, *Oracle Internet Expenses Implementation and Administration Guide*

Setting Up Credit Card Expense Mapping, *Oracle Internet Expenses Implementation and*

GL Account Sets Window

Use the GL Account Sets window to create a list of values of GL accounts that your employees can use to correct account information for their procurement card transactions, if you allow your procurement card holders to update transaction accounts. Each card holder's procurement card is assigned a credit card profile. Each credit card profile can be assigned one credit card GL set.

Prerequisite

- Define your chart of accounts. See: *Defining Your Chart of Accounts, Oracle General Ledger Implementation Guide*.

To define GL account sets:

1. In the GL Account Sets window, enter a GL Account Set Name and Description.
List the GL accounts that are included in the set. In the Description field, enter the account name that credit card holders will see when they use Self-Service Web Applications to change the account for a transaction, for example, Office Supplies.
2. Save your work.

Profiles Window

Use this window to define profiles for the various types and levels of spending you allow for procurement card holders. You assign a credit card profile to each card that you assign to a card holder. You specify the level of employee verification and manager approval required for employee cards to which a profile is assigned. Additionally, you can define the GL accounts that are displayed when a card holder uses Self-Service Web Applications to update the status or GL account of a transaction. You can also define a template GL account for a profile that helps build the default accounting distributions for imported credit card transactions.

Prerequisite

- Define credit card programs in the Card Programs window. See: *Card Programs Window*, page 4-6.

To define a credit card profile:

1. In the Profiles window, enter a Profile Name and complete the fields to create a profile. For detailed information on each field, see: *Profiles Window Reference*,

page 4-11.

2. If you want to record restrictions to the credit card based on card codes, enter values in the Card Code region. Values in this region will be used in a future release of Payables. You can record this information for your reference.

The card codes you enter must be in the card code set assigned to the card program you choose. These card code restrictions should be based on card code restrictions that your card issuer supports. Examples include:

3. If you want to exclude the card holder from transactions that use a card code or a particular range of codes, then check the Exclusion check box and enter a card code or range of card codes.
4. If you want to restrict the total amount an employee can spend during a time unit, then enter the time unit (Transaction, Daily, Monthly, or Period), and the amount.
5. For a range of codes, if you want to restrict the total number of transactions an employee can execute during a time unit, then enter the number of allowed transactions, and select the time unit (Transaction, Daily, Monthly, or Period).
6. Save your work.

Profiles Window Reference

Profile Name. The name of the credit card profile.

Inactive On. The date that you cannot use this profile because it is inactive and the profile no longer appears on a list of values.

Description. Description of the credit card profile. This value will appear on a list of values when you select a profile in the Credit Cards window.

Card Program Name. Credit card program that you want to associate with this profile. See: Card Programs Window, page 4-6.

Program Currency. Payables displays the currency of the credit card program.

Administrator. Employee name of the administrator for the credit card profile.

Acct Set Name. GL account set you are assigning to the credit card profile.

Default Acct Template. If you want to default account segments to the transactions that you import for this card program, enter the account segments. If you want to skip an account segment, leave the field blank.

To create default accounting distributions for an imported transaction, Payables overlays the employee's default expense account with any segment values contained in the default account template.

If you also enable the Build Account From Code option in this window, and you have associated accounts with card codes in the Card Code Sets window, the account value

for a card code overlays the employee expense account and default account template values. If you allow employee verification using Self-Service Web Applications, the employee can override the default GL account.

For example, a card holder's default employee expense account is 01-450-5800. The default account template is --5900, which creates a default transaction account of 01-450-5900. If you have enabled the Build Account From Code option, and the account assigned to the card code is 6000, then during the Procurement Card Transactions Validation program, Payables assigns 01-450-6000 as the transaction account. During verification, the employee can select any natural account value based on the list of values that you define in the GL Account Sets window.

Exception Clearing Account. Account that exceptions are charged against when the Procurement Card Transactions Validation program executes. See: Procurement Card Transactions Validation, *Oracle Payables User Guide*. An example of an exception is a transaction with an invalid cost center ID. This value defaults from the credit card program. See: Card Programs Window, page 4-6.

Allow Status "Personal". Enable this option if you want to allow employees to change the status of their transactions to "Personal" during verification. If you do not enable this option, then "Personal" will not appear as a status option.

Allow Direct Account Entry. Enable this option if you want to allow Self-Service Web Applications users to enter account numbers directly in the Account field during transaction verification. This option allows users to enter numeric accounts in Self-Service Web Applications rather than selecting the GL account description that you defined in the GL Account Sets window.

Build Acct From Code. Enable this option, if you want Payables to use the account associated with the card code to overlay the account values from the default employee expense GL account and the profile Default Account Template. When Payables builds the account for the transaction, you associate accounts with card codes in the Code Sets window.

Manager Notifications. When Workflow processes a transaction for a manager's direct reports, you can select the level of notification or approval that you want Workflow to enforce for transactions to which this profile has been assigned.

- **No Notifications.** Workflow does not notify the card holder's manager.
- **Notifications Only.** Workflow notifies the card holder's manager, but does not require approval.
- **Approval Required.** Workflow requires approval from the card holder's manager.

Employee Notifications. When Workflow processes a transaction for the card holder, you can select the level of card holder notification or verification that you want Workflow to enforce for transactions to which this profile has been assigned.

- **No Notifications.** Workflow does not notify the card holder

- **Notifications Only.** Workflow notifies the card holder but does not require verification from the card holder.
- **Verification Required.** Workflow requires verification from the card holder.

Card Code Region

Use the Card Code region to set limits and restrictions on card codes that are used by the credit card. This region is currently not used by Payables. You can enter values for your own reference to record restrictions that your card issuer supports.

Exclusion. Enable this option for a card code or card code range to indicate that transactions with the card code or card code range would be rejected by the card issuer.

Card Code From/To. Enter the range of card codes for which you are recording a restriction. To record a restriction for a single card code, enter the card code value in both fields.

Time Unit. Record the transaction number or amount restriction that indicates one of the following time units which the restriction applies to.

- **Transaction.** You cannot select this time unit for transaction number restrictions.
- **Day.** Enter the appropriate day.
- **Month.** Enter the appropriate month.
- **Period.** Period between statements from the card issuer.

Maximum Transactions. Number of allowed transactions for a code range during a time unit. If you want to restrict the number of credit card transactions during a time unit, enter the card codes that you are restricting, and enter the time unit and the transaction number.

Maximum Amount. Total amount allowed to be charged for a card code range during a time unit. If you want to restrict the amount a card holder can charge for a card code range during a time unit, enter the card code range, the time unit, and the allowed amount.

Credit Cards Window

Use the Credit Cards window to define the credit cards distributed to your employees. Enter an employee name and credit card number, and assign a card profile.

Prerequisite

- Enter Card Profiles. See: Profiles Window, page 4-10.

To define a credit card:

1. In the Credit Cards window complete the information for each credit card holder. The following fields are required:

- Card Program
- Card Member Name
- Card Number
- Employee Name
- Profile Name

The remaining fields are for your reference only. For detailed information on any field, see: Credit Cards Window Reference, page 4-14.

2. Save your work.

Credit Cards Window Reference

Card Program. The card program you are assigning to the credit card. If the card type of the card program is Supplier, then these fields are protected against update: Card Member Name, Employee Name, Employee Number, Department Name, Date of Birth, Mother's Maiden Name, National Identifier, and the Physical Card Issued check box.

Card Member Name. The card holder's name, as it appears on the credit card.

Card Number. The number on the credit card.

Employee Name. Card holder's name as it appears in the Enter Person window.

Expiration Date. Expiration date of the credit card.

Department Name. Name of employee's department or enterprise as it appears on the card.

Date of Birth. Payables displays the employee's date of birth. This value defaults from the Enter Person window.

Mother's Maiden Name. Maiden name of card holder's mother. For identification purposes.

National Identifier. Tax Identification Number (TIN) for an employee.

Card Description. Description of the credit card.

Inactive On. Date on which this credit card will no longer be available for use during expenses entry. If transactions are already available for expenses entry, the credit card account will continue to appear till the transactions are submitted on expense reports.

- Once the credit card is no longer available during expenses entry, it

will continue to be available on the credit card transactions history pages.

- For travel cards programs, the card profile will continue to appear even when no transactions are available for selection on expense reports. Moreover, the credit card validation program will not mark travel card transactions as invalid, even if the transaction date is after the Inactive On date of the card profile.

Maximum Amount Per Transaction. If you want to override the card holder's authorized amount per transaction, enter the maximum authorized amount. In a future release, this value will override any amount per transaction restrictions you may have set in the Profiles window.

Maximum Amount Per Period. If you want to override the card holder's authorized credit limit per billing period, enter the authorized maximum amount. In a future release, this value will override any amount per period restrictions you may have set in the Profiles window.

Physical Card Issued. Check this option if a physical card has been issued to the employee.

Paper Statement Wanted. Check this option if the card holder wants to receive a paper statement from the card issuer.

Supplier Information. This region is for use with Oracle iProcurement only.

AP Procurement Card Employee Verification Workflow

The AP Procurement Card Employee Verification Workflow is a predefined workflow that you can initiate to notify employees of transactions that have been posted to their credit card accounts. The AP Procurement Card Employee Verification Workflow determines if workflow will notify an employee of transactions created by the employee's credit card, and it determines if the employee is required to verify the transaction information.

This section describes the AP Procurement Card Employee Verification Workflow in detail to give you an understanding of what each activity in this workflow does. You cannot replace this workflow with a new workflow process. You can customize this process as necessary to meet your business requirements.

You initiate the AP Procurement Card Employee Verification Workflow from the Submit Request window by submitting the Procurement Card Transactions Verification Process. See: Procurement Card Transactions Verification Process, *Oracle Payables User Guide*.

The status of a transaction after the successful completion of the AP Procurement Card Employee Verification Workflow is contingent upon the Employee Notification Method (ENM) and Manager Notification Method (MNM) settings in the Profiles window. If

ENM is set to None or if both notification settings are set to None, then the transaction will not be selected because it was already set to Approved or Verified by the successful completion of the Procurement Card Transactions Validation program. If Employee Verification is required, then the status must be set by the employee to one of the following: Hold, Personal, Disputed, Verified. If ENM is set to Notification Only and MNM is set to Approval or Notification, then the transaction status is set (once the AP Procurement Card Employee Verification Workflow completes successfully) to Verified.

The following table summarizes how the ENM and MNM settings affect the transaction status after the AP Procurement Card Employee Verification Workflow completes successfully:

MNM	ENM = Verification	ENM = Notification
MNM = None	Set by employee	Approved
MNM = Approval or Notification	Set by employee	Verified

Setting Up the AP Procurement Card Employee Verification Workflow

A predefined sample AP Procurement Card Employee Verification Workflow is included with Oracle Applications.

Prerequisites

- Select your employee notification method in the Profiles window. See: Profiles Window, page 4-10.
- Install Oracle Workflow. See: *Installing Oracle Applications*.

To set up the AP Procurement Card Employee Verification Workflow:

1. Install and set up Self-Service Web Applications to allow verification of transactions via Self-Service Web Applications.
2. Install the Oracle Workflow Builder client component program. See: *Oracle Workflow Client Installation Notes for Oracle Applications*.
3. The AP Procurement Card Employee Verification Workflow definition (.wft) file is automatically loaded into the database under the APPS account when you install Self-Service Web Applications. Using the Oracle Workflow Builder program, you can open the AP Procurement Card Employee Verification Workflow definition file by providing the APPS username, password, and database. Show the AP Procurement Card Employee Verification Workflow item type and choose OK.

4. Define the Timeout value for the following activity:
 - Request Emp To Review Incurred PCard Transactions
5. Use the Workflow Builder program to Customize the following Procurement Card Transaction Employee Verification Workflow messages:
 - Notify Employee of Incurred Procurement Card Transactions
 - Request Emp To Review Incurred PCard Transactions

Procurement Card Transactions Verification Main Process Activities

The Procurement Card Transactions Verification Process consists of four unique process-type activities.

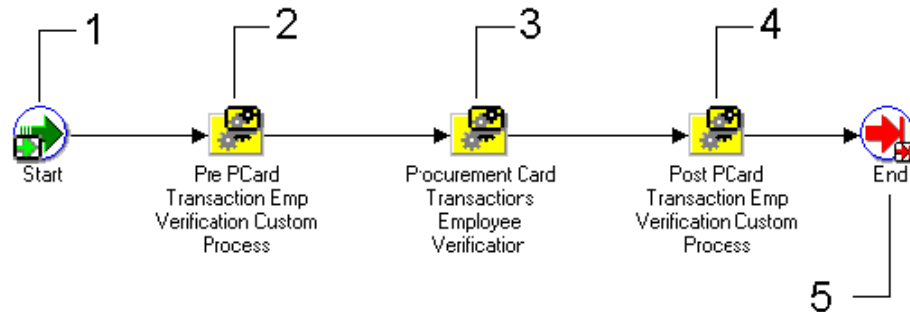
The following is a description of each activity listed by the activity's display name. You can create all the components for an activity in the graphical Oracle Workflow Builder except for the functions associated with function activities. All function activities execute PL/SQL stored procedures, which are created and stored in Oracle 9i by your workflow designer/developer. The naming convention for the PL/SQL stored procedures used in the Procurement Card Transactions Verification Process is:

`AP_WEB_PCARD_WORKFLOW_PKG.<PROCEDURE>`

`AP_WEB_PCARD_WORKFLOW_PKG` is the name of the package that groups all of the procedures used by the Procurement Card Transactions Verification Process.

`<PROCEDURE>` represents the name of the procedure. You can view the script that creates the `AP_WEB_PCARD_WORKFLOW_PKG` package and other Oracle Payables-specific stored procedure packages used by the Procurement Card Transactions Verification Process in the *admin/sql* subdirectory of the Self-Service Applications for the Web directory structure on your server.

Procurement Card Transactions Verification Parent Process



Start (Node 1)

This is a Standard function activity that simply marks the start of the process.

Function *WF_STANDARD.NOOP*

Result Type None

Prerequisite Activities None

Pre PCard Transactions Verification Custom Process (Node 2)



You can customize this activity to meet your business needs. If you do not customize this activity, the activity will not affect the Workflow process.

Required No

Prerequisite Activities None

Procurement Card Transactions Verification (Node 3)

This process selects employee transactions from the AP_EXPENSE_FEED_DISTS table, if the status of the transaction is Validated and the EMPLOYEE_VERIFICATION_ID column is NULL. The process then checks the Employee Notification method (Notification Only, None, or Verification Required) that you selected in the Profiles window. The process groups transactions on the notification by employee and credit card profile. See: Credit Card Profiles, page 4-10.

Note: This process does not select records in AP_EXPENSE_FEED_DISTS that have a status of Hold, Disputed, or Personal. You can modify the Pre or Post Procurement Card Transactions Verification Process if you want to select these statuses for employee notification.

The activities in this process are described below. See: Procurement Card Transactions Verification, page 4-20.

Result Type	Transactions are categorized.
Required	If you do not use this process you must manually change the transaction status from validated to verified. Use either the Verify Open Transactions function in Self-Service Web Applications, or the Procurement Card Transactions window in Payables to change the status of transactions from validated to verified.
Prerequisite Activities	None

Post Card Transaction Emp Verification Custom Process (Node 4)



You can customize this activity to meet your business needs. If you do not customize this activity, the activity will not affect the Workflow process.

Required	No
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Prerequisite Activities None

End (Node 5)

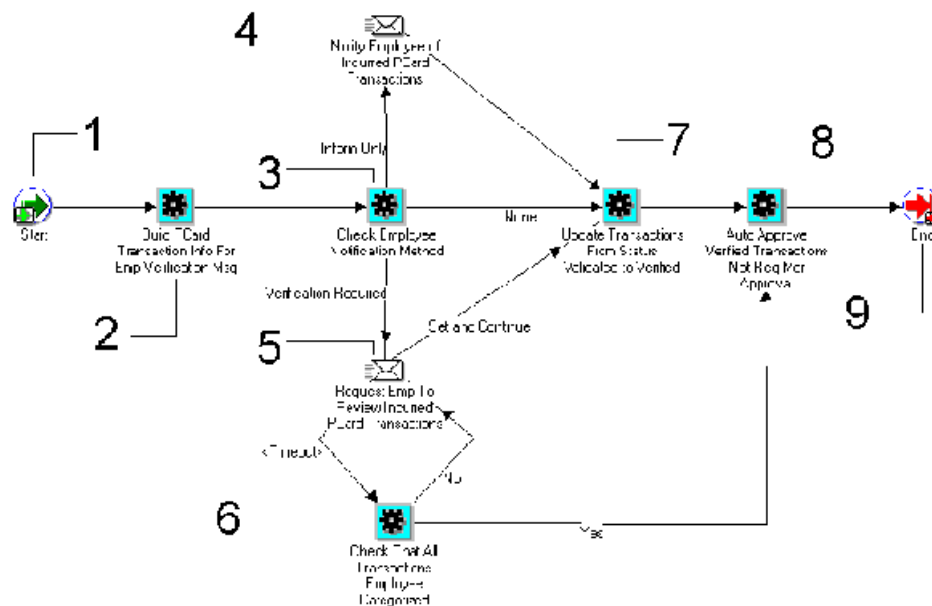
This function activity marks the end of the process.

Function *WF_STANDARD.NOOP*

Result Type None

Prerequisite Activities Start

Procurement Card Transactions Verification



Start (Node 1)

This is a Standard function activity that simply marks the start of the process.

Function *WF_STANDARD.NOOP*

Result Type None

Prerequisite Activities None

Build PCard Transaction Info For Emp Verification Msg (Node 2)

This function activity selects and builds transaction notification information for the employee. This information is sent to the employee if the verification method you

selected in the Profiles window was Notification Only or Verification Required.

Function	<i>AP_WEB_PCARD_WORKFLOW_PKG. BUILDEMPVERIFICATIONMESSAGE</i>
Result Type	
Required	This is required if the verification method you selected in the Profiles window was Notifications Only or Verification Required.
Prerequisite Activities	Start

Check Employee Notification Method (Node 3)

This function activity checks which verification method you selected in the Profiles window. The options are: Notification Only, None, and Verification Required.

Function	<i>AP_WEB_PCARD_WORKFLOW_PKG. CHECKEMPNOTIFICATIONMETHOD</i>
Result Type	Returns the Employee Notification Method
Required	Yes
Prerequisite Activities	None

Notify Employee of Incurred PCard Transactions (Node 4)

This notification activity sends a message to the employee that incurred the credit card charges. The message itemizes the credit card transactions.

Required	This is required if the verification method you selected in the Profiles window was Notifications Only.
Prerequisite Activities	Build PCard Transaction Info For Employee Verification Message, and Check Employee Notification Method

Request Emp To Review Incurred PCard Transactions (Node 5)

This notification activity sends a message to the employee requesting verification of the credit card transactions. The employee can either update the transaction status by responding to the message, or the employee can assign a status to each transaction using the Verify Open Transactions function in Self-Service Web Applications.

Required	Yes (if Employee Notification method is Verification Required)
Prerequisite Activities	Build PCard Transaction Info For Employee Verification Message, and Check Employee Notification Method

Check That All Transactions Employee Categorized (Node 6)

At the end of the Timeout period, this function activity checks the status of each employee transaction. If all transactions have been categorized, this activity function initiates the Update Transactions From Status Validated to Verified activity function. If any transactions remain uncategorized by the employee at the end of the Timeout, this activity function initiates the Request Emp To Review Incurred PCard Transactions function activity.

Function	<i>AP_WEB_PCARD_WORKFLOW_PKG. CHECKEMPVERIFICATIONCOMPLETE</i>
Result Type	Yes/No
Required	Yes
Prerequisite Activities	None

Update Transactions From Status Validated to Verified (Node 7)

This function activity updates the status of uncategorized employee transactions from Validated to Verified. If an employee responds to a request to verify incurred procurement card transactions by choosing the Automatically Verify Remaining and Continue button in the message, this process updates all uncategorized transaction distribution status from Validated to Verified.

Function	<i>AP_WEB_PCARD_WORKFLOW_PKG. MARKREMAININGTRANSVERIFIED</i>
Result Type	Transaction status updated from Validated to Verified.
Required	Yes
Prerequisite Activities	None

Auto Approve Verified Transactions Not Req Mgr Approval (Node 8)

This function activity is used only if you selected Notifications Only or None as the manager verification method in the Profiles window. See: Profiles Window, page 4-10. For any verified transactions not requiring manager approval, the system changes the status from Verified to Approved.

Function	<i>AP_WEB_PCARD_WORKFLOW_PKG. AUTOAPPROVERTRANSNOTREQAPRVL</i>
Result Type	Transaction status updated from Verified to Approved.
Required	No

Prerequisite Activities Transaction status must be Verified.

End (Node 9)

This function activity marks the end of the process.

Function *WF_STANDARD.NOOP*

Result Type None

Prerequisite Activities Start

AP Procurement Card Manager Approval Transaction Workflow

The AP Procurement Card Manager Approval Transaction workflow is a predefined workflow that you can initiate to notify managers of transactions incurred by their direct reports. The AP Procurement Card Manager Approval Transaction workflow determines if workflow will notify a manager of transactions created by the manager's employee's credit card, and it determines if the manager must approve the transactions.

You initiate submit the AP Procurement Card Manager Approval Transaction workflow from the Submit Request window by submitting the Procurement Card Transactions Approval Process. See: Procurement Card Transactions Approval Process, *Oracle Payables User Guide*.

The status of a transaction after the successful completion of the AP Procurement Card Manager Approval Transaction workflow is contingent upon the Employee Notification Method (ENM) and Manager Notification Method (MNM) settings in the Profiles window. If MNM is set to None or Notification Only, then the status of a Verified transaction is automatically set to Approved. If Manager Approval is required, then the manager sets the transaction status to either Approved or Rejected.

The following table summarizes how the ENM and MNM settings affect the transaction status after the AP Procurement Card Manager Approval Transaction workflow completes:

MNM	ENM = None	ENM = Verification or Notification
MNM = None or Notification	Approved	Approved
MNM = Approval	Set by the manager	Set by the manager

Setting up the AP Procurement Card Manager Approval Transaction Workflow

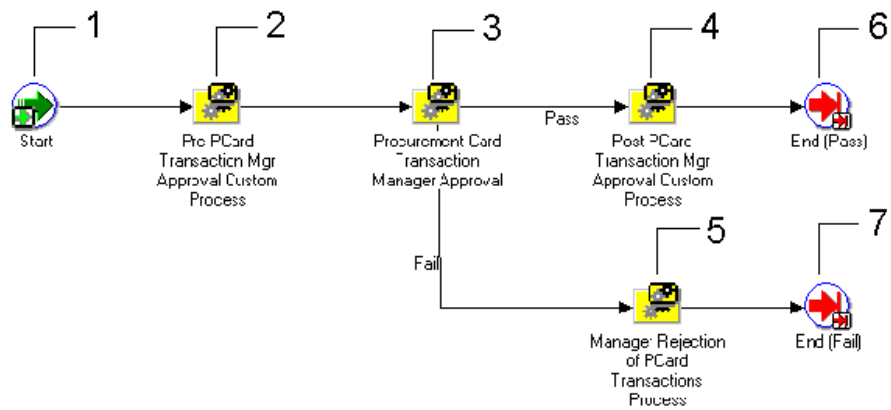
Prerequisites

- Select the manager notification method in the Profiles window. See: Profiles Window, page 4-10.
- Install and configure Oracle Workflow. See: *Installing Oracle Applications*.
- Employees verify credit card transactions. If at the Credit Card Profile level, the Employee Notification Method is Notification Only or Verification Required, Verification can occur during the AP Procurement Card Employee Verification Workflow. If at the Credit Card Profile level the Employee Notification Method is None, the Procurement Card Transactions Validation program automatically sets the status to Verified.

To set up the AP Procurement Card Manager Approval Transaction Workflow:

1. Install the Oracle Workflow Builder client component program. See: *Oracle Workflow Client Installation Notes for Oracle Applications*.
2. The AP Procurement Card Manager Approval Transaction workflow definition (.wft) file is automatically loaded into the database under the APPS account when you install Self-Service Web Applications. Using the Oracle Workflow Builder program, you can open the AP Procurement Card Manager Approval Transaction workflow definition file by providing the APPS username, password, and database. Show the AP Procurement Card Manager Approval Transaction workflow item type and choose OK.
3. Set Workflow Timeout Activities:
4. Request Mgr Approval of Emp Incurred PCard Transactions
5. (Optional but recommended) Customize Workflow Messages:
6. Notify Mgr of PCard Trxns Incurred By Direct Reports
7. Request Mgr Approval Of Emp Incurred PCard Transactions
8. Inform Emp That Manager Has Rejected PCard Transaction

Procurement Card Transactions Approval Parent Process



Start (Node 1)

This is a Standard function activity that simply marks the start of the process.

Function *WF_STANDARD.NOOP*

Result Type None

Prerequisite Activities None

Pre PCard Transaction Mgr Approval Custom Process (Node 2)

This activity is provided for you to customize to meet your business needs. If you do not customize this activity, the activity will not affect the Workflow process.



Function N/A

Result Type	None if not customized.
Required	No
Prerequisite Activities	None

Procurement Card Transactions Approval Process (Node 3)

This process selects and builds manager transaction information in accordance with the verification method you selected: Notification Only, None, or Approval Required.

This process selects transactions for a direct manager's employees from AP_EXPENSE_FEED_DISTS where the status is Verified and the MANAGER_APPROVAL_ID column is NULL. The process then checks the Manager Notification Method you selected in the Profiles Window (None, Notification Only, Approval Required). See: Profiles Window, page 4-10. If the Notification Method is Notification Only, transactions are grouped in notifications based on the direct reports of a manager and the credit card profile. If the Notification Method is Approval Required, transactions are grouped in notifications based on a single direct report for a manager and the credit card profile. See: Manager Rejection of Procurement Card Transaction Process, page 4-30.

Note: This process does not select records in AP_EXPENSE_FEED_DISTS that have a status of Hold, Disputed, or Personal. You can modify the Pre or Post Procurement Card Transaction Manager Approval Process if you want to select these statuses for manager notification.

The activities in this process are described below. See: Procurement Card Transactions Approval Process, page 4-28.

Required	Yes
Prerequisite Activities	None

Post PCard Transaction Mgr Approval Custom Process (Node 4)



This activity is provided for you to customize to meet your business needs. If you do not customize this activity, the activity will not affect the Workflow process.

Function	N/A
Result Type	None if not customized.
Required	No
Prerequisite Activities	Procurement Card Transactions Approval Process

Manager Rejection of PCard Transactions Process (Node 5)

This process sets transaction statuses to Rejected and notifies the employee card holder that their manager has rejected their transactions. See: Manager Rejection of Procurement Card Transactions Process, page 4-30.

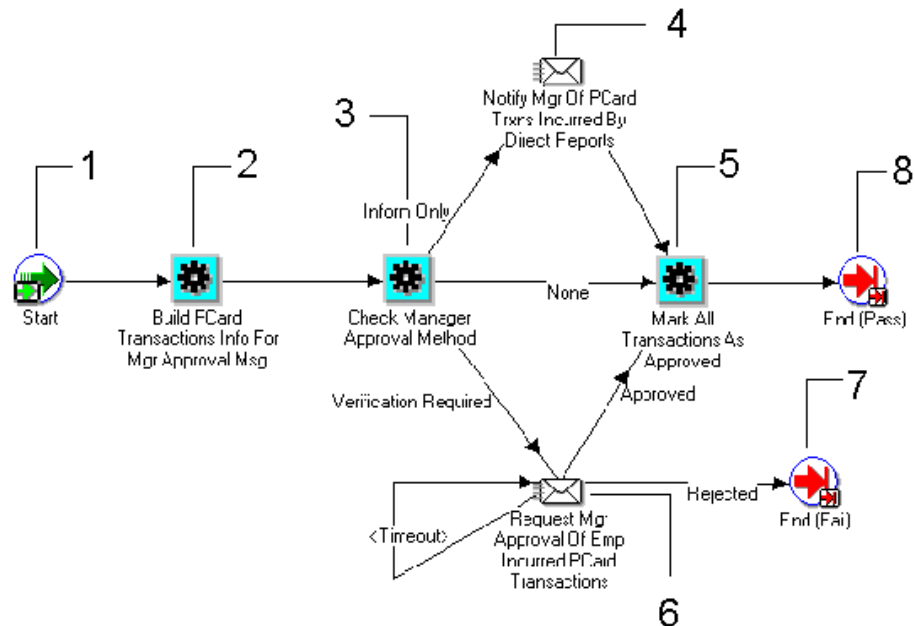
Required	No
Prerequisite Activities	None

End (Nodes 6 and 7)

This function activity marks the end of the process.

Function	<i>WF_STANDARD.NOOP</i>
Result Type	None
Prerequisite Activities	Start

Procurement Card Transactions Approval Process



Start (Node 1)

This is a Standard function activity that simply marks the start of the process.

Function *WF_STANDARD.NOOP*

Result Type None

Prerequisite Activities None

Build PCard Transactions Info For Mgr Approval Msg (Node 2)

This activity prepares credit card transactions that have a status of Verified for use in the manager approval or manager notification message.

Function *AP_WEB_PCARD_WORKFLOW_PKG.
BUILDMANAGERAPPROVALMESSAGE*

Result Type N/A

Required Required if the verification method you selected was Notifications Only or Approval Required.

Prerequisite Activities None

Check Manager Approval Method (Node 3)

This activity checks the manager verification method you selected in the Profiles window. See: Profiles Window, page 4-10. The verification method you selected determines whether to notify the manager, or if approval is required.

Function	<i>AP_WEB_PCARD_WORKFLOW_PKG. CHECKMANAGER APPROVALMETHOD</i>
Result Type	Returns Manager Notification method
Required	Yes
Prerequisite Activities	None

Notify Mgr of PCard Trxns Incurred By Direct Reports (Node 4)

For transactions for which the Manager Notification Method is Notification Only, this activity sends a message to managers informing them of credit card transactions for which their direct reports are responsible. The managers do not respond to this message.

Required	Yes (if Manager Notification method is Notification Only)
Prerequisite Activities	Build PCard Transaction Info For Manager Approval Message, and Check Manager Approval Method

Mark All Transactions As Approved (Node 5)

If a manager responds to a request for transactions approval by indicating that transactions are approved, this activity changes the status of transactions on the notification to Approved.

Function	<i>AP_WEB_PCARD_WORKFLOW_PKG. MARKTRANSACTIONSASAPPROVED</i>
Result Type	Changes transaction status from Verified to Approved.
Required	If you do not perform this activity, you must change the status of transactions to Approved, or another acceptable status before they can be transferred to the Payables Open Interface tables.
Prerequisite Activities	None

Request Mgr Approval Of Emp Incurred PCard Transactions (Node 6)

For transactions for which the Manager Notification Method is Approval Required, this activity sends a message to managers informing them of credit card transactions for

which their direct reports are responsible, and it requests approval for the transactions. Managers can approve or reject transactions.

Required Yes (if Manager Notification method is Approval Required)

Prerequisite Activities Build PCard Transaction Info For Mgr Approval Msg, and Check Manager Approval Method

End (Nodes 7 and 8)

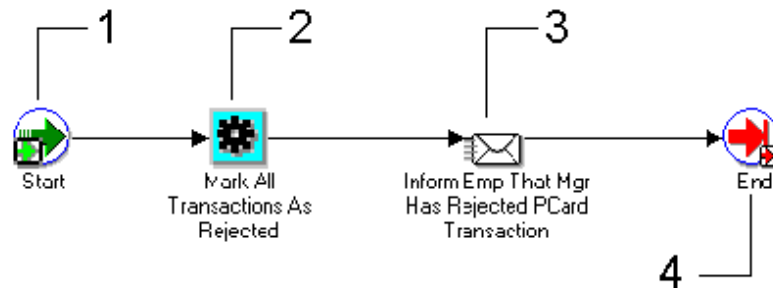
This function activity marks the end of the process.

Function *WF_STANDARD.NOOP*

Result Type None

Prerequisite Activities Start

Manager Rejection of Procurement Card Transactions Process



Start (Node 1)

This is a Standard function activity that simply marks the start of the process.

Function *WF_STANDARD.NOOP*

Result Type None

Prerequisite Activities None

Mark All Transactions As Rejected (Node 2)

If a manager responds to a request for transaction approval by indicating that transactions are rejected, this activity marks all transactions from the notification as Rejected.

Function	<i>AP_WEB_PCARD_WORKFLOW_PKG. MARKTRANSACTIONSASREJECTED</i>
Result Type	Changes transaction status from Verified to Rejected.
Required	If you do not perform this activity, you must change the status of transactions to Rejected.
Prerequisite Activities	None

Inform Emp That Mgr Has Rejected PCard Transaction (Node 3)

This notification activity sends a message to an employee card holder that the card holder's manager has rejected the card holder's transactions.

Required	No
Prerequisite Activities	None

End (Node 4)

This function activity marks the end of the process.

Function	<i>WF_STANDARD.NOOP</i>
Result Type	None
Prerequisite Activities	Start

Configuring Procurement Card Web Pages Using Web Application Dictionary

If your employees use the Credit Cards responsibility of Self-Service Web Applications to verify open procurement card transactions and to view a procurement card transaction history, you can configure the content of the Web pages for these card functions using the Web Applications Dictionary tool. Web Applications Dictionary is a module of Oracle Applications.

Prerequisites

- Install Oracle Self-Service Applications for the Web.
- Install Web Applications Dictionary.

Web Page Prompts

The following table describes Regions in Web Application Dictionary that you can use to modify the field prompt names for Web pages that are displayed using functions of the Credit Cards responsibility. To modify prompt names, modify the region item Long

Label in the Region Items window.

Web Application Dictionary Region ID	Description
AP_WEB_CARD_EMP_VERIFY	The Employee Credit Card Transaction Verification page of the Verify Open Credit Card Transactions function.

View Transaction History

The following table describes Regions in Web Application Dictionary that you can update to customize how search results are displayed for the View Transaction History function of the Credit Cards responsibility. Update the region items for the region to control what columns to display, what column labels to display, the order in which columns are displayed, and whether a column should be a search attribute.

Web Application Dictionary Region ID	Description
AP_EXP_FEED_DISTS_OPEN	Results page 1 of the Verify Open Transactions function.
AP_EXP_FEED_DISTS_HIST	Results page 1 of the View Credit Card Transaction History function.

Related Topics

Procurement Card Management, *Oracle Payables User Guide*

Web Applications Dictionary, Product Configurator, and Object Navigator, *Oracle Configurator, and Object Navigator*

Payables Procurement Card Transactions Interface Table

Use the Procurement Card Transactions Interface Table to load transaction data from your procurement card issuers into your Payables system. When you submit the Procurement Card Transactions Validation program for records where the CREATE_DISTRIBUTION_FLAG is Y, Payables uses the data in the AP_EXPENSE_FEED_LINES_ALL table to create distributions with proper accounts in the AP_EXPENSE_FEED_DISTS table. Payables uses data in this table to confirm transactions with your employees and managers. After employees and managers have verified and approved the transactions, you submit the Create Procurement Card Issuer Invoice program to import the data into the Payables Open Interface tables and optionally summarize the data by GL Account (CCID). You can then submit the Payables Open Interface Import Program to create invoices from the data.

If your procurement card supplier provides multiple records for a single transaction (detailed item level information), then load all records associated with a single procurement card transaction as one record in the AP_EXPENSE_FEED_LINES_ALL table. This table provides many columns for detailed item-level information as well as 30 descriptive flexfield attribute columns. Do this to avoid generating an exception (DUPLICATE REFERENCE) when running Procurement Card Transactions Validation.

Understanding the Payables Procurement Card Transactions Interface Table

Use SQL*Loader to load procurement card transaction information into the AP_EXPENSE_FEED_LINES interface table. When you initiate the Procurement Card Transactions Validation program, the import program validates all required transaction data in these tables.

The interface table is organized by columns that Payables uses to categorize and store specific transaction information.

NOT NULL Columns

You must enter values for all NOT NULL columns in the interface table to successfully save your credit card transaction data in the interface table.

NULL Columns

Such columns in the interface table need not have a value.

Required Columns

In addition to the NOT NULL columns, there are columns in the interface table that require a value for import. If you do not enter a valid value in a Required field, the record will be rejected during validation.

Conditionally Required Columns

Payables requires you to enter values in a conditionally required column only if you have entered a value in another column on which the column is dependent.

Optional Columns

You can use some columns in the interface table to import additional procurement card transaction data.

Important: If you are running Payables in a multi-org environment, you may want to populate ORG_ID when you load the Payables Procurement Card Transactions Interface table.

Using SQL*Loader to Populate the Payables Open Interface Tables

You can create a SQL*Loader program that produces a flat file containing the invoice or

supplier details you want to bring into Payables. For detailed information on the tables, refer to Payables Open Interface Tables, *Oracle Payables Reference Guide*.

To use SQL*Loader to populate the Payables Open Interface tables:

1. For each invoice, the program should identify the supplier by providing a value for at least one of the following columns: `VENDOR_ID`, `VENDOR_NUM`, `VENDOR_SITE_ID`, or `PO_NUMBER`. In addition, for each record, you must populate the following required columns in `AP_INVOICES_INTERFACE`:

- `INVOICE_ID`
- `INVOICE_NUM`
- `INVOICE_AMOUNT`
- `SOURCE`. Make certain that you specify a Source type lookup exactly as you entered it in the Oracle Payables Lookups window.

For each invoice line, include the following values to populate the columns in the `AP_INVOICE_LINES_INTERFACE`:

- `INVOICE_ID`
- `LINE_TYPE_LOOKUP_CODE`
- `AMOUNT`

In addition, if you are importing foreign currency invoices, include information to populate the following columns in `AP_INVOICES_INTERFACE`:

- `EXCHANGE_RATE_TYPE`
- `EXCHANGE_RATE` (if you use User-defined rate type)

If this exchange rate information is the same for all invoices and invoice distributions you import, you can include this information in your SQL*Loader control file, instead of entering it separately for each invoice.

Finally, ensure that your invoice flat file has the appropriate information to populate `AP_INVOICES_INTERFACE` and `AP_INVOICE_LINES_INTERFACE` as indicated in the preceding table descriptions. If a value is not required for a column, you may leave the column empty.

For each supplier record, you must populate the following required columns in `AP_SUPPLIERS_INT`:

- `VENDOR_INTERFACE_ID`
- `VENDOR_NAME`

For each supplier site record, you must populate the following required columns in AP_SUPPLIER_SITES_INT:

- VENDOR_INTERFACE_ID or VENDOR_ID
- VENDOR_SITE_CODE
- ORG_ID and/or OPERATING_UNIT_NAME

For each supplier site contact record, you must populate the following required columns in AP_SUP_SITE_CONTACT_INT:

- VENDOR_SITE_ID or VENDOR_SITE_CODE and ORG_ID and/or OPERATING_UNIT_NAME.
- LAST_NAME

2. Create a SQL*Loader control file.

Read the SQL*Loader documentation to learn how to write a SQL*Loader control file. The file you write will vary greatly depending on the nature and format of the invoice or supplier flat file you use. Your control file must populate the open interface tables as indicated in the previous table descriptions. See also: SQL*Loader in your Oracle Server documentation.

Code your control file to populate the SOURCE column in AP_INVOICES_INTERFACE with the Source code exactly as you defined it in the Oracle Payables Lookups window.

If all your invoices are in the same currency, you can hard code the value for DEFAULT_CURRENCY_CODE in AP_INVOICES_INTERFACE and CURRENCY_CODE in AP_INVOICE_LINES_INTERFACE in your control file.

3. Use the SQL*Loader program you created to load your invoice or supplier information from your flat file into the interface tables. Indicate your control file as the SQL*Loader control file, your invoice or supplier flat file as the SQL*Loader input file, and your Payables SQL*Plus username and password as the database sign on. For more information see your Oracle server documentation.
4. For invoice information, use the Open Interface Invoices window to review and edit the data in the Payables Open Interface tables.

Credit Card Management

Credit Card Transaction Loader Programs

Use the credit card transaction loader programs to import credit card transaction data into the AP_CREDIT_CARD_TRXNS_ALL table. Oracle provides loader programs for

these credit card transaction data file formats:

- American Express KR-1025 format
- Diner's Club Standard Data File format
- MasterCard Common Data Format, versions 2.0 and 3.0
- US Bank Visa format
- Bank of America Visa TS2 format

For other credit card data file formats, you must define a method to load the transactions into the database, for example, by using SQL*Loader.

After loading credit card transaction data into the AP_CREDIT_CARD_TRXNS_ALL table, you run the Credit Card Transaction Validation program to validate your data. Once validated, employees can enter these credit card transactions on expense reports. See: Credit Card Transaction Validation Program, *Oracle Payables User's Guide*.

Important: Other steps are required to successfully load and validate credit card transactions data for use in expense reports. For more information about using credit card transaction data, see: Establishing Corporate Credit Cards, *Oracle Internet Expenses Implementation and Administration Guide*.

Credit Card Transactions Loader Preformat

Due to SQL*Loader constraints, Visa and MasterCard data files may require preformatting before you can load them into the AP_CREDIT_CARD_TRXNS_ALL table. This is necessary if a credit card transaction is represented by more than one record, with each record having a specific meaning. In this case, you must run the preformat program to create a single record for each transaction.

Use the Credit Card Transactions Loader Preformat program to convert Visa and MasterCard transaction data into the correct format. After you successfully run this program, you can run the applicable loader program or your customized loader program for your credit card data.

If you are using one of the combined load and validate programs, then you do not need to run the Credit Card Transactions Loader Preformat program because these programs do not use SQL*Loader. If you customize the loader process for Visa or MasterCard, review the data files you receive from your card provider to determine if preformatting is necessary.

You submit the Credit Card Transactions Loader Preformat program from the Submit Request window. See: Submitting Standard Reports, Programs, and Listings, *Oracle Payables User Guide*.

Selected Program Parameters

Input Data File. Storage location for the credit card transaction files received from the card issuer.

Output Data File. Storage location for the output from the Credit Card Transaction Loader Preformat program.

Card Brand. Name of the credit card data that you are preformatting.

US Bank Visa Transaction Loader

Use the US Bank Visa Transaction Loader program to import US Bank Visa credit card transaction data into the AP_CREDIT_CARD_TRXNS_ALL table. You must run the Credit Card Transaction Loader Preformat program on this data before you can run the US Bank Visa Transaction Loader.

After loading US Bank Visa credit card transaction data into the AP_CREDIT_CARD_TRXNS_ALL table, run the Credit Card Transaction Validation program to validate your data. See: Credit Card Transaction Validation Program, *Oracle Payables User Guide*.

You submit the US Bank Visa Card Transaction Loader program from the Submit Request window. See: Submitting Standard Reports, Programs, and Listings, *Oracle Payables User Guide*.

Prerequisite

- Submit the Credit Card Transaction Loader Preformat program for your US Bank Visa data. See: Credit Card Transaction Loader Preformat, page 4-36.

Selected Program Parameters

Data File. Storage location for the output from the Credit Card Transaction Loader Preformat program for your US Bank Visa data.

Bank of America Visa Transaction Loader

Use the Bank of America Visa Transaction Loader program to import Bank of America Visa credit card transaction data into the AP_CREDIT_CARD_TRXNS_ALL table. You must run the Credit Card Transaction Loader Preformat program on this data before you can run the Bank of America Visa Transaction Loader.

After loading Bank of America Visa credit card transaction data into the AP_CREDIT_CARD_TRXNS_ALL table, run the Credit Card Transaction Validation program to validate your data. See: Credit Card Transaction Validation Program, *Oracle Payables User Guide*.

You submit the Bank of America Visa Card Transaction Loader program from the

Submit Request window. See: Submitting Standard Reports, Programs, and Listings, *Oracle Payables User Guide*.

Prerequisite

- Submit the Credit Card Transaction Loader Preformat program for your Bank of America Visa data. See: Credit Card Transaction Loader Preformat, page 4-36.

Selected Program Parameters

Data File. Storage location for the output from the Credit Card Transaction Loader Preformat program for your Bank of America Visa data.

Diner's Club Transaction Loader

Use the Diner's Club Transaction Loader program to import Diner's Club credit card transaction data acquired from your card issuer into the AP_CREDIT_CARD_TRXNS_ALL table. After loading Diner's Club credit card transaction data into the AP_CREDIT_CARD_TRXNS_ALL table, run the Credit Card Transaction Validation program to validate your data. See: Credit Card Transaction Validation Program, *Oracle Payables User Guide*.

You submit the Diner's Club Transaction Loader program from the Submit Request window. See: Submitting Standard Reports, Programs, and Listings, *Oracle Payables User Guide*.

Selected Program Parameters

Data File. Storage location for the Diner's Club credit card transaction file received from your card issuer.

American Express Transaction Loader

Use the American Express Transaction Loader program to import American Express credit card transaction data acquired from your card issuer into the AP_CREDIT_CARD_TRXNS_ALL table. After loading American Express credit card transaction data into the AP_CREDIT_CARD_TRXNS_ALL table, run the Credit Card Transaction Validation program to validate your data. See: Credit Card Transaction Validation Program, *Oracle Payables User Guide*.

You submit the American Express Transaction Loader program from the Submit Request window. See: Submitting Standard Reports, Programs, and Listings, *Oracle Payables User Guide*.

Selected Program Parameters

Data File. Storage location for the American Express credit card transaction file received from your card issuer.

Credit Card Transaction Loader and Validation Programs

Use the credit card transaction loader and validation programs to both import credit card transaction data into the AP_CREDIT_CARD_TRXNS_ALL table and validate this transaction data in a single step. Oracle provides transaction loader and validation programs for these credit card providers:

- American Express KR-1025 format
- Diner's Club Standard Data File format
- MasterCard Common Data Format, versions 2.0 and 3.0
- Visa VCF4 format
- US Bank Visa format

Because the loader and validation occur within the same request, validation is limited to the transactions uploaded in the request. Once validated, employees can enter these credit card transactions on expense reports.

Important: To use the credit card transaction loader and validation programs, you must have installed the appropriate version of Oracle Internet Expenses.

If you have written your own SQL*Loader program to upload credit card transactions, you can validate these transactions using the Credit Card Transaction Validation program. See: Credit Card Transaction Validation Program, *Oracle Payables User Guide*.

MasterCard CDF and MasterCard CDF3 Transaction Loader and Validation Programs

Use the MasterCard CDF Transaction Loader and Validation program to import MasterCard Common Data Format, version 2.0 transaction data into the AP_CREDIT_CARD_TRXNS_ALL table and validate this transaction data. Use the MasterCard CDF3 Transaction Loader and Validation program to import MasterCard Common Data Format, version 3.0 transaction data into the AP_CREDIT_CARD_TRXNS_ALL table and validate this transaction data.

Once validated, employees can enter these MasterCard transactions on expense reports.

You submit either the MasterCard CDF Transaction Loader and Validation program or the MasterCard CDF3 Transaction Loader and Validation program from the Submit Request window. See: Submitting Standard Reports, Programs, and Listings, *Oracle Payables User Guide*

Selected Program Parameters

Card Program Name. The name of the MasterCard card program for which you want to

validate credit card transaction data.

Data File. Name of the data file received from your card issuer that contains the MasterCard credit card transaction data.

Visa VCF 3/4 Transaction Loader and Validation Program

Use the Visa VCF 3/4 Transaction Loader and Validation program to import Visa transaction data in VCF3 and VCF4 format into the AP_CREDIT_CARD_TRXNS_ALL table and validate this transaction data.

Once validated, employees can enter these Visa VCF3 and VCF4 transactions on expense reports.

You submit the Visa VCF 3/4 Transaction Loader and Validation program from the Submit Request window. See: Submitting Standard Reports, Programs, and Listings, *Oracle Payables User Guide*

Selected Program Parameters

Card Program Name. The name of the Visa VCF3 or VCF4 card program for which you want to validate credit card transaction data.

Data File. Name of the data file received from your card issuer that contains the Visa VCF3 or VCF4 credit card transaction data.

US Bank Visa Transaction Loader and Validation Program

Use the US Bank Visa Transaction Loader and Validation program to import US Bank Visa transaction data into the AP_CREDIT_CARD_TRXNS_ALL table and validate this transaction data.

Once validated, employees can enter these US Bank Visa transactions on expense reports.

You submit the US Bank Visa Transaction Loader and Validation program from the Submit Request window. See: Submitting Standard Reports, Programs, and Listings, *Oracle Payables User Guide*

Selected Program Parameters

Card Program Name. The name of the US Bank Visa card program for which you want to validate credit card transaction data.

Data File. Name of the data file received from your card issuer that contains the US Bank Visa credit card transaction data.

Diner's Club Transaction Loader and Validation Program

Use the Diner's Club Transaction Loader and Validation program to import Diner's

Club transaction data into the AP_CREDIT_CARD_TRXNS_ALL table and validate this transaction data.

Once validated, employees can enter these Diner's Club transactions on expense reports.

You submit the Diner's Club Transaction Loader and Validation program from the Submit Request window. See: Submitting Standard Reports, Programs, and Listings, *Oracle Payables User Guide*

Selected Program Parameters

Card Program Name. The name of the Diner's Club card program for which you want to validate credit card transaction data.

Data File. Name of the data file received from your card issuer that contains the Diner's Club credit card transaction data.

American Express Transaction Loader and Validation Program

Use the American Express Transaction Loader and Validation program to import American Express transaction data into the AP_CREDIT_CARD_TRXNS_ALL table and validate this transaction data.

Once validated, employees can enter these American Express transactions on expense reports.

If you have set up American Express card programs for credit card data download, you can also use the American Express Transaction Loader and Validation program to download credit card transaction data files from the American Express server. See: Setting Up Credit Card Data File Download, *Oracle Internet Expenses Implementation and Administration Guide* for more information.

You submit the American Express Transaction Loader and Validation program from the Submit Request window. See: Submitting Standard Reports, Programs, and Listings, *Oracle Payables User Guide*

Selected Program Parameters

Card Program Name. The name of the American Express card program for which you want to validate credit card transaction data or download transaction data.

Data File. Name of the data file received from your card issuer that contains the American Express credit card transaction data.

If you have completed the setup in Internet Expenses to download transaction data from the American Express server, then leave this field blank to initiate the download. See: Setting Up Credit Card Data File Download, *Oracle Internet Expenses Implementation and Administration Guide* for more information.

Payments

Setting Up Your System for Bills Payable

When you use bills payable, you need to select some additional options in Oracle Payables.

The following table lists the steps required to set up Oracle Payables for bills payable:

Setup Steps for Bills Payable

Step Number	Window Name	Option or Field Name	Description
Step 1	Oracle General Ledger (multiple windows)	N/A	In Oracle General Ledger, define one or more bills payable accounts. Attention: If you will relieve liability for bills payable at payment issue, then define the bills payable accounts as asset accounts. If you will relieve liability at payment maturity, then define the accounts as liability accounts. This way the trial balance accurately reflects your liabilities.

Step Number	Window Name	Option or Field Name	Description
Step 2	Financials Options, Accounting tab	Future Dated Payment field	This bills payable account value defaults to any new suppliers or bank accounts you enter.
Step 3	Payables Options, Accounting Option tab	Future Dated Payment Account Source region, From Payment Document radio button or From Supplier Site radio button	Set the following Oracle Payables option if you use accrual basis accounting. This option determines which bills payable account Oracle Payables uses to record the bills payable: Supplier Site or Payment Document. See: Payment Payables Options, page 1-67.
Step 4	Supplier Sites, Bills Payable subtab	Bills Payable field	(Optional) For each supplier that uses bills payable, change the bills payable account value for the supplier. This value defaults to all new supplier sites, but does not affect any existing supplier sites. See: Accounting Region of the Suppliers and Supplier Sites windows . (Optional) In the Accounting region of the Supplier Sites window, you can change the account value for bill payable.

Step Number	Window Name	Option or Field Name	Description
Step 5	Create Payment Method: General	Use Payment Method to Issue Bills Payable check box. Maturity Date Calculation field.	In Oracle Payments, define a payment method for bills payable as follows: Select the Use Payment Method to Issue Bills Payable check box to indicate that the payment method is to be used to issue bills payable. In the Maturity Date Calculation field, specify the number of days to add to the payment date to determine the maturity date. See: Step 7. Setting Up Funds Disbursement Payment Methods, <i>Oracle Payments Implementation Guide</i> .
Step 6	Create Payment Process Profile	Bills Payable check box	In Oracle Payments, select the Bills Payable check box in the Group Payments By region to ensure that a payment instruction contains only bills payable. See: Step 12. Setting Up Payment Process Profiles, <i>Oracle Payments Implementation Guide</i> .

Foreign Currency

Foreign Currency Transactions

System Setup for Multiple Currency

- In the Currencies window, enable the foreign currencies you want to use. See: *Currencies Window, Oracle General Ledger User's Guide*.
- Choose your ledger currency in the ledger window. See: *Defining Ledgers, Oracle General Ledger Implementation Guide*.
- Define your Payables options in the Payables Options window. See: *Payables Options, page 1-49*.
 - Enable the Use Multiple Currency Payables option.
 - Enable the Require Exchange Rate Entry Payables option for foreign currency invoice entry. (optional)
 - Enable the Calculate User Exchange Rate Payables option for foreign currency invoice entry. (optional)
 - Define a default Exchange Rate Type which defaults to all foreign currency invoices. (optional)
- Define the Realized Gain/Loss Accounts and Rounding Accounts when you define Financials Options or during bank setup.
- Define Conversion Rate Types. See: *Defining Conversion Rate Types, Oracle General Ledger User's Guide*.
- Enter Daily Exchange Rates. See: *Entering Daily Rates, Oracle General Ledger User's*

Guide (optional)

- Define foreign currency bank accounts and payment documents. See Defining Banks, *Oracle Cash Management User Guide*.

Accounting

This chapter covers the following topics:

- How Feature Setup Affects What Details Are Recorded for Accounting Events
- How Payables Setup Controls Accounting Entries
- Subledger Accounting Setup in Payables

How Feature Setup Affects What Details Are Recorded for Accounting Events

The setup of different features that you use affects what kind of details are recorded for accounting events in Payables. These features include: Multiple Ledgers, Discounts, Interest Invoices, Automatic Withholding Tax, Taxes, Encumbrance Accounting, Matching to purchase orders or receipts, and Oracle Projects integration.

How Payables Setup Controls Accounting Entries

The types of accounting entries that are created for Payables accounting events are based on the Payables Options listed in the following table:

Option or Field Name	Values
Automatic Offset Method, Accounting, Payables Option, <i>Oracle Payables User's Guide</i>	- None
	- Balancing
	- Account
Use Multiple Currencies, Currency, Payables Option, page 1-58	- Enabled
	- Disabled

Option or Field Name	Values
Account for Payment, Accounting, Payables Option, page 1-67	• When Payment is Issued • Enabled • Disabled • When Payment Clears • Enabled • Disabled
Account for Gain/Loss, Accounting, Payables Options, page 1-67	• When Payment is Issued • Enabled • Disabled • When Payment Clears • Enabled • Disabled
Calculate Gain/Loss, Accounting, Payables Option, page 1-67	- For Each Invoice - For Total Payment
Discount Method, Accounting, Payables Option, page 1-57	- Prorate Expense - Prorate Tax - System Account

The following Oracle Purchasing option also affects accounting:

- Receipt Accrual (On Receipt, Period End) See: Receipt Accrual, *Oracle Payables User Guide*.

The following are examples of how these system options control the accounting entries that are created for accounting events:

- You can account for reconciliation accounting events only if you reconcile payments in Oracle Cash Management and the Account for Payment, When Payment Clears

Accounting Payables Option is enabled.

- The combination of the accounting method, which is specified in Oracle Subledger Accounting, and the Account for Payment and Account for Gain/Loss Accounting Payables Options control which accounting entries are created for gains and losses: See: Account for Gain/Loss, page 1-67.

Refer to documentation on each option to see how it affects the way Payables creates accounting entries.

Related Topics

Accounting Methods, page 1-42

Defining Financials Options, page 1-35

Payables Options, page 1-49

Reconciling Payments with Oracle Cash Management, *Oracle Payables User Guide*

Budgetary Control In Payables, *Oracle Payables User Guide*

Encumbrance Entries in Payables, *Oracle Payables User Guide*

Accounting for Interest Invoices, *Oracle Payables User Guide*

Subledger Accounting Setup in Payables

You can optionally define your own accounting rules in Subledger Accounting to create accounting that meets your business requirements. In Subledger Accounting, you use the Accounting Methods Builder (AMB) to define the way subledger transactions are accounted. To do this, you create and modify subledger journal line setups and application accounting definitions. These definitions define the journal entries that enable an organization to meet specific fiscal, regulatory, and analytical requirements. These definitions are then grouped into subledger accounting methods and assigned collectively to a ledger. See: Accounting Methods Builder (AMB) Overview, *Oracle Subledger Accounting Implementation Guide*.

1. Define custom sources.

Sources are pieces of information that Subledger Accounting uses to determine how to create accounting for an accounting event. You use sources to provide information from transactions to Subledger Accounting. Payables predefines a comprehensive set of sources, but you can optionally define custom sources to extend the list of sources available to application accounting definitions.

See: Custom Sources, *Oracle Subledger Accounting Implementation Guide*

2. Define journal line types.

Journal line types determine the characteristics of subledger journal entry lines.

these characteristics include whether the line is used to create actual, budget, or encumbrance entries, whether the line is a debit or a credit, whether matching lines are merged, and whether data is transferred to the general ledger in summary or detail form.

See: Defining Journal Line Types, *Oracle Subledger Accounting Implementation Guide*

3. Define journal entry descriptions.

Journal entry descriptions determine both the content and sequence in which the elements of a description appear on a subledger journal header and line.

Payables does not provide any predefined journal entry descriptions. You can optionally define your own journal entry descriptions. You can build descriptions using any of the sources for Payables.

Assign journal entry description headers and lines in the Applications Accounting Definition window.

See: Defining Journal Entry Descriptions, *Oracle Subledger Accounting Implementation Guide*

4. Define mapping sets.

Mapping sets associate a specific output value for an account or account segment. Based on the input value, a specific value can be assigned to a single segment or to the entire account. You use mapping sets when you set up account derivation rules.

See: Mapping Sets, *Oracle Subledger Accounting Implementation Guide*

5. Define account derivation rules.

Account derivation rules determine the accounting for subledger journal entries.

See: Account Derivation Rules, *Oracle Subledger Accounting Implementation Guide*

6. Define journal lines definitions.

Journal lines definitions let you create sets of line assignments (journal line types, journal entry descriptions, and account derivation rules) for an event class or event type. These sets can be shared across application accounting definitions. You can multiple journal lines definitions to an event class or event type.

See: Journal Lines Definitions, *Oracle Subledger Accounting Implementation Guide*

An event class represents a category of business events for a particular transaction type or document. An event type represents a business operation that you can perform for an event class. See: Payables Accounting Events, *Oracle Payables User's Guide*.

7. Define application accounting definitions.

An application accounting definition is a collection of components or rules that determine how Subledger Accounting processes accounting events to create

subledger and general ledger journal entries. You can also indicate whether to create accounting for a particular event class or event type.

Each event class and event type assignment consists of a header assignment and one or more journal lines definition assignments. A header assignment includes a journal entry descriptions and journal lines definition.

See: Application Accounting Definitions, *Oracle Subledger Accounting Implementation Guide*

8. Define subledger accounting method.

A subledger accounting method is a grouping of application accounting definitions that comply with a common set of accounting requirements.

Assign newly defined application accounting definitions to a subledger accounting method in the Subledger Accounting Methods window.

See: Subledger Accounting Methods, *Oracle Subledger Accounting Implementation Guide*

9. Assign each subledger method to a ledger using the Accounting Setup Manager.

See: Using Accounting Setup Manager in the Oracle Financials Implementation Guide.

Related Topics

Oracle Subledger Accounting Implementation Guide

Other Topics

Positive Pay Setup

Setting Up Positive Pay

A positive pay file is a security measure in the form of a document that the deploying company sends to its payment system or bank to inform it of payments made by check.

To set up positive pay, perform the following steps:

1. Navigate to the Update Payment Process Profile page in Oracle Payments.
2. In the Positive Pay region, specify data for four parameters and select the Automatically Transmit File check box.

For more information on setting up positive pay, see the Specifying Positive Pay Information section within Step 12. Setting Up Payment Process Profiles, *Oracle Payments Implementation Guide*.

Automatic Interest Prompt Payment Support

To set up Payables to automatically create interest invoices for a supplier site:

1. In the Interest region of the Payables Options window, enable the Allow Interest Invoices check box, enter the Expense account, the Liability account, and enter the Minimum Interest Amount.

(Optional) Enable the Prorate Across Overdue Invoice check box. See: Invoice Payables Options, page 1-61.
2. In the Payables Options window enable the Recalculate Scheduled Payment option if you want Payables to automatically recalculate scheduled payment due dates,

discount dates, and discount amounts during Invoice Validation. See: Matching Payables Options, page 1-65.

3. Ensure that appropriate suppliers have the Allow Interest Invoices check box enabled. See: Payment Region of the Suppliers and Supplier Sites windows, *Oracle Payables User Guide*.
4. Set up the interest rates that Payables will use to calculate interest on overdue invoices. See: Interest Rates, page 1-96.
5. Optionally create a remittance advice format you want to use when you pay interest invoices, and assign it to a payment program. See: *Oracle Cash Management User Guide*.

Enabling Automatic Offsets

If you enable Automatic Offsets, Payables automatically balances invoice and payment lines that cross balancing segments by creating offsetting entries for each balancing segment.

Automatic Offsets is a powerful feature that greatly affects processing throughout Payables. For a full account of its impact, see: Automatic Offsets, *Oracle Payables User Guide*.

To enable Automatic Offsets:

1. In the Accounting region of the Payables Options window, choose Account or Balancing as your Automatic Offset Method. See: Accounting Payables Options, page 1-52.

Important: Carefully consider this option before setting it.

Changing your automatic offset setting after the system records accounting information can result in slow performance of the Payables Accounting Process. Further, changing this option can result in serious accounting irregularities in the following circumstance: If you make a partial payment and then adjust the invoice (for example, add a distribution), and if you change the setting of this option between the time the original invoice is accounted and the final payment.

- **Account.** Payables retains all segments but the distribution's account segment when it builds an offsetting account. Use this option if you want all of your accounts to preserve the same level of distribution detail.
- **Balancing.** Payables retains only the distribution's balancing segment when it

builds an offsetting account. Companies typically find this level of detail sufficient.

2. Also in the Accounting region, set your value for the Prevent Prepayment Application Across Balancing Segments Payables option, page 1-52.
3. In the Payment region of the Payables Options window, choose System Account as your Discount Distribution Method if you want Payables to prorate discounts across your invoice distributions when you pay an invoice that crosses multiple balancing segments. The balancing segment from the offsetting invoice distribution replaces the balancing segment of your system Discount Taken account when Payables builds the accounts for these entries. See: Payment Payables Options, page 1-67; Accounting Financials Options, page 1-36.
4. When you set up your bank accounts, check the Pooled Account box in the Payables Options region of the Bank Accounts window if you want to create a pooled account. See: Defining Banks, *Oracle Cash Management User Guide*.

The cash in a pooled bank account is shared by multiple balancing segments; the cash in a non-pooled bank account is associated with a single balancing segment.

When you create a payment from a pooled bank account using Automatic Offsets, Payables automatically builds the cash account for each payment line on the basis of the bank account's associated cash account using your chosen Automatic Offset method.

Important: When you make a payment using a non-pooled bank account, Payables generates only a single cash offset even if Automatic Offsets is enabled. For payment lines that cross balancing segments, you can either enter balancing entries manually, or set General Ledger up to create them automatically on posting. For details, see: Intercompany Accounting, *Oracle Payables User Guide*.

Related Topics

Automatic Offsets, *Oracle Payables User Guide*

Intercompany Accounting, *Oracle Payables User Guide*

Payables Options, page 1-49

Setting Up Payables for Budgetary Control

Prerequisite

- Install Oracle General Ledger.

To set up Payables for Budgetary Control:

- Set up budgetary control in Oracle General Ledger. Payables has no additional steps. See: Setting Up Budgetary Control, *Oracle General Ledger User's Guide*.

Related Topics

Checking Funds for Invoices, *Oracle Payables User Guide*

Invoice Validation When You Use Budgetary Control, *Oracle Payables User Guide*

About Budgetary Control and Online Funds Checking, *Oracle General Ledger User's Guide*

About Funds Checking, *Oracle General Ledger User's Guide*

Reviewing Encumbrances, *Oracle General Ledger User's Guide*

Reviewing Budgetary Control Transactions, *Oracle General Ledger User's Guide*

Encumbrances in Payables, *Oracle Payables User Guide*

Setting Up Intercompany Accounting

Your general ledger department usually sets up intercompany accounting for you. For your information, the following are the setup steps for intercompany accounting:

To define Intercompany Accounts:

1. Define your accounts so that one of the segments is a company segment. Specify that the company segment is a balancing segment. See: Defining Intercompany Accounts, *Oracle General Ledger User's Guide*
2. Define multiple companies by defining values for your company segment.
3. Define your ledgers, and specify one intercompany account for the ledger. See: Defining Ledgers, *Oracle General Ledger Implementation Guide*.
4. In the Intercompany Accounts window in Oracle General Ledger, specify the journal entry source (Payables), a journal entry category (invoice or payment), whether the balancing entry is a debit or credit, and the account to which Oracle General Ledger should post the balancing amount. You do not need to define accounts for every company because Oracle General Ledger substitutes the appropriate company when it creates balancing entries.

Related Topics

Intercompany Accounting When You Use Oracle General Ledger, *Oracle Payables User Guide*

Automatic Offsets, *Oracle Payables User Guide*

Petty Cash Funds

Setting Up a Petty Cash Fund

Prerequisites

- Set up a general ledger account for petty cash.
- Set up an accounts receivable clearing account.

To set up a petty cash fund:

1. Set up administrative and control procedures:

Create a petty cash agreement that specifies all the policies regarding petty cash reimbursements. Your petty cash administrator should sign the agreement, or agree online if you use an electronic template.

Create a standard petty cash reimbursement form or electronic template for employees to complete and submit to the administrator with their receipts.

Create a standard petty cash reimbursement log to be submitted by the administrator when requesting cash to replenish the fund. The reimbursement log breaks down expenses by account, lists total disbursements for each account, and shows the balance of the fund.

2. Set up supplier records:

Decide how you want to establish supplier records for your petty cash administrators. Consider the following two approaches and set up supplier records with the approach that best meets your business needs:

Enter a supplier record for the employee acting as a petty cash administrator. See: *Entering employees as suppliers*.

Advantages:

- Simple to process initial payment and reimbursements for the fund under the employee's supplier record.

Disadvantages:

- Reconciliation of your GL account may be difficult. For example, if an employee expense report is erroneously charged to the GL petty cash account, the error will not be noticed easily because all entries into the account are done under employee supplier records.
- If the employee who serves as the petty cash administrator has a supplier record with payment method of Electronic (for direct deposit of expense reimbursements), more manual work may have to be done processing a petty cash request. Typically, the petty cash administrator prefers petty cash payment by check to keep petty cash funds separate from personal funds. In this case you need to change the payment method on each petty cash reimbursement request, or set up a separate supplier site with a payment method of Check to use for petty cash reimbursements.

Enter one supplier record named "PETTY CASH" and create a site under this supplier in the name of the employee acting as a petty cash administrator. For example:

- Supplier Name: PETTY CASH
- Site Name: c/o CLINT EASTWOOD

You may want to create this supplier record with a unique Pay Group or Payment Priority. This can facilitate any special handling you may need to do with petty cash payments.

Advantages:

- Reconciliation of your GL account may be easier. For example, if an employee expense report or supplier invoice is coded in error to the GL petty cash account the error will be noticed easily because all entries into the account are done under one supplier record, PETTY CASH.
 - There is no need to change any information in an employee supplier record to accommodate petty cash reimbursements.
 - Online query of activity for a petty cash account is simple because all activity for an account is contained under one supplier site name.
3. The petty cash administrator submits a petty cash request to the accounts payable department for the amount of the new fund. The request includes all necessary approvals. The petty cash administrator signs the petty cash agreement or agrees online if you use an electronic template. The accounts payable department provides the administrator with the petty cash reimbursement form and the petty cash reimbursement log.
 4. Enter the petty cash request as a standard invoice. Charge the amount to the petty cash GL account. You may want to use a standard invoice naming convention for

the initiation of a new petty cash fund. The use of a standard invoice name can assist in research and reconciliation. For example, you may want to use "IPC" for "Initiate Petty Cash" and the date of the request.

5. Pay the petty cash administrator for the fund amount.

Profile Options

Profile Options in Payables

During your implementation, you set values for profile options in Oracle Financials to specify how Payables controls access to and processes data. In addition to the Payables profile options, Payables uses profile options from other Oracle Financials applications to control features, such as Budgetary Control and Sequential Numbering, which affect more than one application.

In addition to profile options, Payables provides you with Financials and Payables options that you use to enable the invoice, payment, currency, and accounting controls in Payables.

Generally, your System Administrator sets and updates profile values. However, you can use the Personal Profile Options window to view or set your profile options at the user level. You can consult your *Oracle E-Business Suite System Administrator's Guide* for a list of profile options common to all Oracle Applications.

Profile Options Summary

This table shows whether users can view or update profile options, and at which levels the system administrator can update profile options: the user, responsibility, application, or site levels.

The key for this table for user and system administrator access is as follows:

- Update - The profile option value can be updated
- View Only - The profile option value can be viewed but cannot be changed
- No Access - The profile option value cannot be viewed or changed

A *Required* profile option requires a value. An *Optional* profile option provides a default value that you can change.

Profile Option	Value	Default	User Access	SysAdm: User	SysAdm: Resp	SysAdm: App	SysAdm: Site
AP: Notification Recipient E-mail	Optional	No default	Update	Update	Update	Update	Update
AP: Use Invoice Batch Controls	Optional	No	No Access	Update	Update	Update	Update
AP: Show Finally Closed POs	Optional	No (for new installations); Yes (for upgrades)	No Access	Update	Update	Update	Update
AuditTrail: Activate	Optional	No default	No Access	No Access	No Access	Update	Update
Budgetary Control Group	Optional	No default	View Only	Update	Update	Update	Update
Default Country	Optional	No default	Update	Update	Update	Update	Update
Enable Transaction Codes	Optional	No default	No Access	No Access	Update	Update	Update
Folders: Allow Customization	Optional	No default	View Only	Update	View Only	View Only	View Only
GL: Create Interfund Entries	Optional	No default	No Access	No Access	Update	Update	Update

Profile Option	Value	Default	User Access	SysAdm: User	SysAdm: Resp	SysAdm: App	SysAdm: Site
Journals: Display Inverse Rate	Optional	No default	Update	Update	Update	Update	Update
MO: Default Operating Unit	Optional	No default	View Only	View Only	Update	View Only	Update
MO: Operating Unit	Optional	No default	View Only	View Only	Update	View Only	Update
MO: Security Profile	Optional	No default	View Only	View Only	Update	View Only	Update
PA:Allow Override of PA Distributions in AP/PO	Optional	Yes	No Access	Update	Update	Update	Update
Printer	Optional	No default	Update	Update	Update	Update	Update
Sequential Numbering	Optional	No default	View Only	No Access	Update	Update	Update
Chargeable Subcontracting Enabled	Required	Enabled	NA	NA	NA	NA	Update

Profile Option	Value	Default	User Access	SysAdm: User	SysAdm: Resp	SysAdm: App	SysAdm: Site
JMF: Enable Chargeable Subcontracting	Required	Enabled	NA	NA	NA	NA	Update

Related Topics

Financials Options, page 1-35

Payables Options, page 1-49

Personal Profile Values Window, *Oracle Applications User's Guide*

Overview of Setting User Profiles, *Oracle Applications System Administrator's Guide*

Profile Options in Oracle Application Object Library, *Oracle Applications System Administrator's Guide*

Common User Profile Options, *Oracle Applications User's Guide*

Profile Options in Payables

AP: Notification Recipient E-mail

Specify the full e-mail address of the person who will receive notifications from the Concurrent Request Notification program when all the requests in the request set are submitted. See: Concurrent Request Notification Program, *Oracle Payables User Guide*.

AP: Use Invoice Batch Controls

Enable this option to enable use of the Invoice Batches window, which you can use to specify batch defaults that help speed and control invoice entry in the Invoice Workbench.

Enabling this option also allows you to specify an invoice batch name to a group of invoice records when you submit Payables Open Interface Import.

When this option is enabled, you cannot enter invoices directly in the Invoices window.

AP: Show Finally Closed POs

- **Yes:** When you are matching, you can view the purchase order numbers of finally closed purchase orders in fields and lists of values in the following windows:

Invoice Workbench, Match to Purchase Orders windows, Match to Receipts windows, and the Recurring Invoices window.

- **No:** Finally closed purchase orders are not displayed during matching and are invalid entries in the windows listed above.

Note that regardless of the setting of this profile option, further actions cannot be performed against finally closed purchase orders, and if you attempt to match to a finally closed purchase order shipment then you will receive an error message.

This profile option applies only to showing purchase order numbers of purchase orders that are finally closed at the purchase order header level. For example, if a purchase order has some open shipments and some finally closed shipments, then the purchase order number is displayed and valid during matching.

This profile option does not apply to Quick Invoices or Open Interface Invoices windows. If an invoice record references a finally closed purchase order then Payables Open Interface Import rejects it during import.

This profile option does not apply to reports or queries on existing transactions.

For more information on finally closed purchase orders, see: Matching and Final Closing Purchase Orders, *Oracle Purchasing User's Guide*.

a) AP: Purge without Review - This will be effective when the Purge category is 'Simple Invoices'. If this profile is set to Yes then on Confirming the Purge, it will directly proceed to the Delete stage without re-checking the purge data, creating report listings and summary records. b) AP: Purge Worker Count - User can provide the number of concurrent workers to be used for purging invoice and accounting data. If nothing is specified then 8 workers will be used. c) AP: Purge Batch Size - User can provide the batch size to be used for AD parallel processing. If nothing is specified, then the total no. of records will be divided by (8 x No. of workers) to determine the batch size. d) The Submit Purge window will have an additional field 'Approx. No. of Transactions'. If user enters a value for this field, then it will be assumed that purge process should purge approximately those number of pay alone invoices

Profile Options for Internet Expenses

If you have installed Oracle Internet Expenses and your organization uses it to enter expense reports, you can use Internet Expenses profile options to control expense report entry by your organization's employees. If your organization does not use Internet Expenses to enter expense reports, ignore these profile options.

For detailed information about Internet Expenses profile options, see Specifying Values for Internet Expenses Profile Options (*Oracle Internet Expenses Implementation and Administration Guide*).

Profile Options in Projects

PA: Allow Override of PA Distributions in AP/PO

This profile option controls whether a user can update the account that the Account Generator generates for project-related distributions.

For additional information, see: Profile Options, *Oracle Projects Implementation Guide*.

PA: Default Expenditure Item Date for Supplier Cost

This profile option enables you to specify the source for the expenditure item date. Oracle Projects uses this profile option when you run the process PRC: Interface Supplier Costs to determine the expenditure item date for Oracle Purchasing receipts, invoice payments, and discounts. In addition, Oracle Payables uses this profile option during the invoice match process, and when you enter unmatched invoices, to determine the default expenditure item date for supplier invoice distribution lines. The possible values for this profile option are:

- Source Document Exp Item Date
- Transaction Date
- Transaction GL Date
- Transaction System Date

For additional information, see: Profile Options, *Oracle Projects Implementation Guide*.

Profile Options in General Ledger

Because some Oracle Applications products have overlapping functions, the following General Ledger profile option also affects the operation of Payables, even if you have not installed General Ledger. See: Setting General Ledger Profile Options, *Oracle General Ledger Reference Guide*.

- Budgetary Control Group
- Journals: Display Inverse Rate
- **Currency: Allow Direct EMU/Non-EMU User Rates.** This profile option determines what information you provide in the Invoices window when you enter a User exchange rate between an NCU and non-EMU currency.

The exchange rate between an NCU (National Currency Unit) and a non-EMU currency contains two parts:

- a fixed component: the rate between the NCU and the euro

- a variable component: the rate between the euro and the non-EMU currency.
Choose whether you will enter the direct rate (fixed plus variable rate) or just the variable rate:
- **Yes.** You enter the direct exchange rate between an NCU and a non-EMU currency. The system calculates and enters the exchange rate between the euro and the non-EMU currency. Note that if this option is enabled you cannot use the Payables option Calculate User Exchange Rate to calculate effective exchange rates.
- **No.** You enter the exchange rate between the euro and Non-EMU currency. The system uses the fixed rate between the euro and NCU to calculate the direct rate between the NCU and Non-EMU currency. For more details, see: *Entering Invoice Exchange Rates for EMU Currencies, Oracle Payables User Guide.*

Profile Options in Application Object Library

You set up Application Object Library profile options when you install Oracle Financials, and these profile options affect all applications. See also: Common User Profile Options, *Oracle Applications User's Guide.*

The following Application Object Library profile options have a particularly significant impact on the operation of Payables. For detailed information on all profile options, see: Profile Options in Oracle Application Object Library, *Oracle Applications System Administrator's Guide.*

- AuditTrail: Activate
- Default Country
- Folders: Allow Customization
- Sequential Numbering
- Printer. Payables uses this printer as the default unless in the Concurrent Programs window you have assigned a printer to the payment program you are using. See also: Overview of Printers and Printing, *Oracle Applications System Administrator's Guide.*

Profile Options for Multiple Organization Support

If you use the Multiple Organization Support feature, you can assign operating units to responsibilities by using the following profile option. For more information, see: *Oracle E-Business Suite Multiple Organizations Implementation Guide.*

- MO: Operating Unit

- MO: Security Profile
- MO: Default Operating Unit

Function Security

Function Security in Payables

Use function security to control access to Payables functionality.

Each Payables form performs one or more business functions. A function is a part of an application's functionality that is registered under a unique name for the purpose of assigning it to, or excluding it from an Payables responsibility.

Payables comes predefined with three responsibilities, each with its own set of preregistered functions assigned to it: Payables Manager, Payables Inquiry, Payables Purge. Your system administrator can register additional functions and can customize your responsibilities by assigning or not assigning new functions to existing responsibilities, or by creating new responsibilities.

There are two types of functions: form and subfunction.

- **Form.** A form invokes an Oracle Forms form, for example, the Invoice Workbench. You can navigate to a form using the Navigator.
- **Subfunction.** A subfunction is a subset of a form's functionality. In other words, a subfunction is a function executed from within a form.

Subfunctions are often associated with buttons or other graphical elements on forms. For example, in the Invoices window form, you may want to restrict access to the Invoice Actions window. In this case, for all users that do not have the associated subfunction name assigned to their responsibility, the Actions button would not appear.

You cannot navigate to a subfunction from the Navigator.

Your System Administrator can submit the Function Security Menu Reports request set. This request set includes the Function Security Functions report, which shows a complete list of Payables functions assigned to the preseeded responsibilities.

Related Topics

Overview of Function Security, *Oracle Applications System Administrator's Guide*

How Function Security Works, *Oracle Applications System Administrator's Guide*

Implementing Function Security, *Oracle Applications System Administrator's Guide*

Defining a New Menu Structure, *Oracle Applications System Administrator's Guide*

Attachments

Attachments in Payables

To illustrate or clarify your application data, you can attach supplemental files (such as images, word processing documents, spreadsheets, or video) to a record in Oracle Payables. For example, you can attach to an invoice a photograph of items you ordered. This feature is enabled in the Payables windows listed in the table below.

The toolbar Attachments icon, which looks like a paper clip, indicates whether the Attachments feature is enabled in a window. When the icon is dimmed, the Attachments feature is not available. When the Attachments feature is enabled in a window, the icon becomes a solid paper clip. The icon then becomes a paper clip holding a paper when the current record has at least one attachment. In windows where the feature is enabled, you can choose the Attachments icon to open the Attachments window to either add an attachment to the current record or view an existing attachment for the record.

When you add attachments in the Attachments window, you specify a document category for the document. This document category determines in which Oracle Applications windows the document is visible. For example, Purchasing users can attach to a purchase order a document that uses the To Payables category. Then, when you match to that purchase order in Payables you can view the attachment in the matching windows.

The following table shows which document categories are used by which Payables windows. If the document category is used in a window, the table shows Yes. Note that the attachment is made to the record only. For example, a supplier attachment of the type Misc is not visible in the Invoices window, although both windows support this document category, because you are viewing an invoice record, not the supplier record to which the attachment was made.

Payables window	Invoice Internal	Misc	To Buyer	To Payables	To Receiver	To Supplier	From Supplier
Suppliers	N/A	Yes	Yes	N/A	Yes	Yes	N/A
Supplier Sites	N/A	Yes	Yes	N/A	Yes	Yes	N/A
Invoice	Yes	Yes	N/A	Yes	N/A	Yes	Yes
Invoice Overview	N/A	Yes	N/A	N/A	N/A	N/A	Yes
Match to Purchase Orders	N/A	N/A	N/A	Yes	N/A	N/A	N/A
Match to Receipts	N/A	N/A	N/A	Yes	N/A	N/A	N/A
Payment Overview	N/A	Yes	N/A	N/A	N/A	N/A	N/A
Payments	N/A	Yes	N/A	N/A	N/A	N/A	N/A

For detailed information on the Attachments feature and using the Attachments window, see: *About Attachments, Oracle Applications User Guide*.

Oracle Payables Alerts

Using Oracle Alert for Exception Reporting

Several Oracle Applications products, including Payables, use Oracle Alert functionality to provide online exception reporting capability. You can integrate Oracle Alert with your electronic mail system.

Oracle Alert is a completely customizable exception control application that can:

- Notify you automatically when a user performs a specific transaction
- Monitor critical activity in your Payables database
- Take action automatically according to your specifications
- Provide key information to you on a periodic basis

Payables supplies you with several pre-coded alerts that you can use with or without customizing. These alerts help you:

- Identify and resolve invoice price holds
- Identify and resolve invoice receipt holds

If you install Oracle Alert, you can also create your own alerts to notify the appropriate people when a user takes a specific action, or when specific exceptions arise in your Payables database. You can also create alerts that send messages about key indicators, according to a delivery schedule you define.

Related Topics

Overview of Oracle Alert, *Oracle Alert User's Guide*

Using Predefined Alerts, *Oracle Alert User's Guide*

Invoices on Price Hold

This alert queries your database for invoices currently on Price hold and notifies the originating purchase agent for each held invoice. When a single purchasing agent has two or more invoices with Price holds, Oracle Alert sends only one message describing each held invoice.

- **Alert Type:** Periodic
- **Periodicity:** Weekly
- **Inputs:** None
- **Distribution:** Purchasing Agent for this invoice

This graphic shows the text contained in a sample notice. The notice contains the following information: To: Kesavan Subramanian; From: Oracle Alert; Subject: Invoices on Price Hold; Notice Information: The following invoices are on Price hold. You are the purchasing agent responsible for these items. Please examine the purchase orders, invoices, and receipts to resolve these issues. If the supplier has overbilled us, please contact the supplier and the accounts payable department.

To: Kesavan Subramanian
From: Oracle Alert
Subject: Invoices on Price Hold

The following invoices are on Price hold. You are the purchasing agent responsible for these items. Please examine the purchase orders, invoices, and receipts to resolve these holds. If the supplier has overbilled us, please contact the supplier and the accounts payable department.

Supplier Name	Invoice Number	P.O. Num/Ln/Shipment	Item Description	Price TP0/Invoice
Schaeff	F8994	9011/1/Rome	Table	74.00/96.00
Schaeff	F9002	9024/1/Paris	Bookcase	86.00/99.50

Oracle Alert

Additional notice information is shown in the following table:

Supplier Name	Invoice Number	Purchase Order Number/Line/Shipment	Item Description	Price TPO/Invoice
Schaeff	F8994	9011/1/Rome	Table	74.00/96.00
Schaeff	F9002	9024/1/Paris	Bookcase	86.00/99.50

Invoices on Quantity Received Hold

This alert looks for invoices on Quantity Received hold and notifies the originating Purchasing Agent for each held invoice. Oracle Alert sends to each responsible purchasing agent a summary message that describes each held invoice and asks the agent to resolve the hold.

- **Alert Type:** Periodic
- **Periodicity:** Weekly
- **Inputs:** None
- **Distribution:** Purchasing Agent for this invoice
- **Implementation Suggestion:** To send an alert message to a specific purchasing agent, you must define a descriptive flexfield on the HR_EMPLOYEES table to store an electronic mail name for each employee. Then, revise the alert's Select statement to refer to the appropriate descriptive flexfield segment.

This graphic shows the text contained in a sample notice. The notice contains the following information: To: Kesavan Subramanian; From: Oracle Alert; Subject: Invoices on Quantity Received Hold; Notice Information: The following invoices are on Quantity Received hold. You are the purchasing agent responsible for these items. Please examine the purchase orders, invoices, and receipts to resolve these holds. If we have not received an item, please contact the supplier for prompt delivery.

To: Kesavan Subramanian
From: Oracle Alert
Subject: Invoices on Quantity Received Hold

The following invoices are on Quantity Received hold. You are the purchasing agent responsible for these items. Please examine the purchase orders, invoices, and receipts to resolve these holds. If we have not received an item, please contact the supplier for prompt delivery.

Supplier Name	Invoice Number	P.O. Num/Ln/Shipment	Item Description	Quantity Ord/Rcv/Bill
Schaeff	F8994	9011/1/Rome	Table	2/1/3
Schaeff	F9002	9024/1/Paris	Bookcase	1/0/2

Oracle Alert

Additional notice information is shown in the following table:

Supplier Name	Invoice Number	Purchase Order Number/Line/Ship ment	Item Description	Quantity Ordered/ Received/Billed
Schaeff	F8994	9011/1/Rome	Table	2/1/3
Schaeff	F9002	9024/1/Paris	Bookcase	1/0/2

Invoices on Quantity Ordered Hold

This alert looks for invoices on Quantity Ordered hold. If any exceptions occur, Oracle Alert sends a summary message to each responsible purchasing agent to resolve invoice holds caused by a difference between quantity billed and quantity ordered.

- **Alert Type:** Periodic
- **Periodicity:** Weekly
- **Input Variables:** None
- **Distribution List:** Purchasing Agent

This graphic shows the text contained in a sample notice. The notice contains the following information: To: Kesavan Subramanian; From: Oracle Alert; Subject:

Invoices on Quantity Ordered Hold; Notice Information: The following invoices are on Quantity Ordered hold. You are the purchasing agent responsible for these items. Please examine the purchase orders, invoices, and receipts to resolve these holds. If the supplier has overbilled us, please contact the supplier and the accounts payable department.

To: Kesavan Subramanian
From: Oracle Alert
Subject: Invoices on Quantity Ordered Hold

The following invoices are on Quantity Ordered hold. You are the purchasing agent responsible for these items. Please examine the purchase orders, invoices, and receipts to resolve these holds. If the supplier has overbilled us, please contact the supplier and the accounts payable department.

Supplier Name	Invoice Number	P.O. Num/Ln/Shipment	Item Description	Quantity Ord/Rcv/Bill
Schaeff	F8994	9011/1/Rome	Table	2/1/3
Schaeff	F9002	9024/1/Paris	Bookcase	1/0/2

Oracle Alert

Additional notice information is shown in the following table:

Supplier Name	Invoice Number	Purchase Order Number/Line/Shipment	Item Description	Quantity Ordered/Received/Billed
Schaeff	F8994	9011/1/Rome	Table	2/1/3
Schaeff	F9002	9024/1/Paris	Bookcase	1/0/2

Receipt Holds

This alert looks for overdue items that you have not received. If any exceptions occur, Oracle Alert sends a detail message to the original requestor asking for verification of receipt. If the requestor has received the item, the requestor can ask a designated receiver to enter receipt of the item into Purchasing. You may want to adjust the suppress duplicates option of the distribution list to limit repeat messages.

- **Alert Type:** Periodic

- **Periodicity:** Weekly
- **Input Variables:** None
- **Implementation Suggestion:** To send an alert message to a specific purchasing agent, you must define a descriptive flexfield on the HR_EMPLOYEES table to store an electronic mail name for each employee. Then adjust the alert SQL statement to reference the appropriate descriptive flexfield segment (attribute column) for &AGENT_ID.
- **Distribution List:** Item Requestor

This graphic shows the text contained in a sample notice. The notice contains the following information: To: Lynne Snider; From: Oracle Alert; Subject: Receipt Verification; Notice Information: You recently ordered goods or services detailed below. The supplier has invoiced us, but we cannot pay the invoice until you acknowledge receipt of the item. Please forward this message to ACLARK, and either specify the quantity of goods or services you have received but not yet acknowledged, or state that you have not received the goods or services.

The following information is also provided: Purchasing Agent: Alan Clark; Supplier Name: Megabyte Memory Corporation; PO Number/Line: 3056/2; Requisition Number: 9421; Invoice Number: 7-988; Invoice Description: Inventory Order; Invoice Line Amount: \$6,425.30; Unit of Measure: Each; Quantity Ordered: 3; Quantity Billed: 3; Quantity Received-to-Date: 1; Quantity NOT Acknowledged: 2.

To: Lynne Snider
From: Oracle Alert
Subject: Receipt Verification

You recently ordered goods or services detailed below.
 The supplier has invoiced us, but we cannot pay the invoice until you acknowledge receipt of the item. Please forward this message to ACLARK, and either specify the quantity of goods or services you have received but not yet acknowledged, or state that you have not received the goods or services.

Purchasing Agent:	Alan Clark
Supplier Name:	Megabyte Memory Corporation
PO Number / Line:	3056 / 2
Requisition Number:	9421
Invoice Number:	7-988
Invoice Description:	Inventory Order
Invoice Line Amount:	\$6,425.30
Unit of Measure:	Each
Quantity Ordered:	3
Quantity Billed:	3
Quantity Received-to-Date:	1
Quantity NOT Acknowledged:	2

Implementing the Java Bank Class

Implementing the Java Bank Class for Bank Transmissions

Before you use the Automatic Bank Transmission feature, you need to implement a Java class so the bank transmission programs listed in the following table can successfully transmit files.

Transmission Program	Application	Short Name
Transmit Payment File Program	Payables	APXTRSND
Retrieve Payment File Confirmations Program	Payables	APXTRRCV
Retrieve Bank Statement Program	Cash Management	CEXP2PSM
Retrieve Intra-Day Bank Statement Program	Cash Management	CEP2PINT
Retrieve Payment Exceptions Program	Cash Management	CEXP2PER

These programs require a Java class to provide logic for transmitting data to and from your specific bank. You need to implement one Java class per bank transmission setup.

This document refers to the Java class you need to implement as the *Bank class*.

Note: Oracle Payables and Oracle Cash Management provide a limited number of predefined Java Bank classes. Check Oracle Support's

website, MetaLink, to see if a predefined Java class exists for your bank. Even if we don't provide a Bank class that meets your specific needs, you might find a predefined bank transmission setup helpful as a reference during your implementation.

This document describes what the transmission programs do and the logic that they require your Bank class to provide. This document provides a list of the predefined hashtable parameters that your Bank class can use, and it provides some guidance on how to implement your Bank class.

Document Assumptions

This document assumes you have a working knowledge of writing Java code.

This document also assumes you have already read the following documentation:

- Defining Bank Transmission Details, *Oracle Cash Management User Guide*
- Automatic Bank Transmission Feature, *Oracle Cash Management User Guide*
- Retrieving Bank Statements and Payment Exceptions, *Oracle Cash Management User Guide*

Relationship of the Transmission Programs, Transmission Code Setup, and the Bank Class

Transmission programs require the following to successfully transmit a file:

- **Transmission Code Setup:** These are transmission details, provided by your bank, that you enter in the Bank Transmission Details window. Transmission programs and the Bank class use these details to communicate with the specific bank. Details include information such as your bank's host address, password, transmission protocol, and file naming conventions. In the Bank Transmission Details window, you also specify in the Program field the Bank class that you have implemented for this particular bank setup. For more information on transmission codes, see: Bank Transmission Details Window Reference, *Oracle Cash Management User Guide*.
- **Bank class.** This class that you implement contains five methods. Each method contains code to perform specific tasks for one transmission program. For example, one method contains all the detailed logic to transmit the payment file to your bank. The Bank class uses the transmission code information to complete its tasks. For example, when a Java method accesses the bank's system it uses the username and password that are specified in the transmission code.

When a transmission program submits, it is assigned a specific transmission code as a parameter. When a transmission program requires custom logic, it instantiates the Bank class specified in the Program field of the specified transmission code. The transmission

program then calls the method that it requires. The method performs the required tasks and provides a parameter back to the program that says if the method completed successfully or not.

The Bank Class Template

We provide the following template of a Java class that you can copy and use as a starting point to define the transmission logic for your bank.

\$AP_TOP/java/transmission/BankClassTemplate.txt

It includes comments that provide additional guidance on how to implement your Bank class.

What You Need to Include in Your Bank Class

Each Bank class you implement must contain the following components:

- **Package Statement.** Use the following package statement. Do not edit it:

```
package oracle.apps.ap.transmission;
```

- **Import Statement:** Use the following import statement. Do not edit it:

```
import java.io.;
import java.sql.;
import java.util.Hashtable;
import java.util.StringTokenizer;
import java.util.Vector;
import oracle.apps.fnd.common.VersionInfo;
```

- **Definition of Class Name:** Name the Bank Java class. You will enter this name in the Program field in the Bank Transmission Details window. We suggest you use the name of your bank. Or, if you are defining multiple classes for the same bank we suggest you use your bank name with a unique suffix. Use the following syntax and replace "<classname>" with the name of your class:

```
public class <classname> extends Bank
```

- **Constructor:** Define a bodiless constructor.
- **Methods:** You need to implement the methods that are used by the transmission programs that you use. Each method must perform its required tasks for your particular bank.
 - **public void ModifyPayment File (Hashtable):** This method should contain the logic that the Transmit Payment File Program needs to modify the payment file that Payables creates, according to your bank's specifications. Payment file modifications might include adding text, formatting, and encryption. If you do

not need to modify the payment file, then leave this method in the template unedited.

- **public void SendPayment File (Hashtable):** This method should contain all the transmission logic that the Transmit Payment File Program uses to send the payment file from your local directory to your bank according to your bank's communication protocol.
- **public void ReceiveConfirmation (Hashtable):** This method should contain all the transmission logic that the Retrieve Payment File Confirmations Program uses to retrieve payment file receipt confirmation files from your bank, and then store them in a local directory.
- **public void ReceiveStatement(Hashtable):** This method should contain all the transmission logic that the Retrieve (Intra-Day) Bank Statement Program uses to retrieve (intra-day) bank statements from your bank, and then store them in a local directory.
- **public void ReceiveException(Hashtable):** This method should contain all the transmission logic that the Retrieve Payment Exceptions Program uses to retrieve payment exception reports from your bank, and then store them in a local directory.

Communication Between the Bank Class and the Bank Transmission Programs

The Bank class should not directly read or update data in the application database tables. The Bank class should use the hashtable predefined parameters to access all necessary information from your Oracle application. The tables below show the read-only and writable hashtable parameters that your methods can use.

Read-only Parameters

Methods should use read-only parameters to retrieve all necessary information from your Oracle application.

For example, to access the directory that contains the payment file you are sending to your bank, you can use the PaymentLocalDirectory parameter in the following syntax:

```
mPaymentFileDir = table.get ( "PaymentLocalDirectory" ) .toString ( ) ;
```

The following table shows the read-only parameters that are available to your methods. The methods must never overwrite any of these parameter values. Many of these values are from the transmission code definition. The column names of the AP_TRANSMISSIONS_SETUP table correspond to fields in the Bank Transmission Details window with similar names. For more information on those fields, see: Bank Transmission Details Window Reference, *Oracle Cash Management User Guide*.

Read-only Parameter Name in Hashtable	Comments
TransmissionId	AP_TRANSMISSIONS_SETUP. TRANSMISSION_ID
TransmissionCode	AP_TRANSMISSIONS_SETUP. TRANSMISSION_CODE
BankBranchId	AP_TRANSMISSIONS_SETUP. BANK_BRANCH_ID
TransmissionProgram	AP_TRANSMISSIONS_SETUP. TRANSMISSION_PROGRAM
UserName	AP_TRANSMISSIONS_SETUP.USERNAME
Password	AP_TRANSMISSIONS_SETUP.PASSWORD
Protocol	AP_TRANSMISSIONS_SETUP.PROTOCOL
ProtocolAddress	AP_TRANSMISSIONS_SETUP. PROTOCOL_ADDRESS
ExternalIdentifier	AP_TRANSMISSIONS_SETUP. EXTERNAL_IDENTIFIER
TransmissionEmail	AP_TRANSMISSIONS_SETUP. TRANSMISSION_EMAIL
ConfirmationEmail	AP_TRANSMISSIONS_SETUP. CONFIRMATION_EMAIL
PaymentLocalDirectory	AP_TRANSMISSIONS_SETUP. LOCAL_PAY_DIRECTORY
ConfirmationLocalDirectory	AP_TRANSMISSIONS_SETUP. LOCAL_CONF_DIRECTORY
BankPayDirectory	AP_TRANSMISSIONS_SETUP. BANK_PAY_DIRECTORY
ConfirmationBankDirectory	AP_TRANSMISSIONS_SETUP. BANK_CONF_DIRECTORY

Read-only Parameter Name in Hashtable	Comments
PayFileExt	AP_TRANSMISSIONS_SETUP. PAY_FILE_EXT
PayFilePrefix	AP_TRANSMISSIONS_SETUP. PAY_FILE_PREFIX
PayFileSuffix	AP_TRANSMISSIONS_SETUP. BANK_FILE_SUFFIX
ConfirmationFileExt	AP_TRANSMISSIONS_SETUP. CONF_FILE_EXT
ConfirmationFilePrefix	AP_TRANSMISSIONS_SETUP. CONF_FILE_PREFIX
ConfirmationFileSuffix	AP_TRANSMISSIONS_SETUP. CONF_FILE_SUFFIX
StatementEmail	AP_TRANSMISSIONS_SETUP. STATEMENT_EMAIL
ExceptionEmail	AP_TRANSMISSIONS_SETUP. EXCEPTION_EMAIL
IntraEmail	AP_TRANSMISSIONS_SETUP. INTRA_STATEMENT_EMAIL
StatementLocalDirectory	AP_TRANSMISSIONS_SETUP. LOCAL_STMT_DIRECTORY
ExceptionLocalDirectory	AP_TRANSMISSIONS_SETUP. LOCAL_EXCEPTION_DIRECTORY
IntraLocalDirectory	AP_TRANSMISSIONS_SETUP. LOCAL_INTRA_DIRECTORY
StatementBankDirectory	AP_TRANSMISSIONS_SETUP. BANK_STMT_DIRECTORY
ExceptionBankDirectory	AP_TRANSMISSIONS_SETUP. BANK_EXCEPTION_DIRECTORY

Read-only Parameter Name in Hashtable	Comments
IntraBankDirectory	AP_TRANSMISSIONS_SETUP. BANK_INTRA_DIRECTORY
StatementFilePrefix	AP_TRANSMISSIONS_SETUP. STMT_FILE_PREFIX
ExceptionFilePrefix	AP_TRANSMISSIONS_SETUP. EXCEPTION_FILE_PREFIX
IntraFilePrefix	AP_TRANSMISSIONS_SETUP. INTRA_FILE_PREFIX
StatementFileSuffix	AP_TRANSMISSIONS_SETUP. STMT_FILE_SUFFIX
ExceptionFileSuffix	AP_TRANSMISSIONS_SETUP. EXCEPTION_FILE_SUFFIX
IntraFileSuffix	AP_TRANSMISSIONS_SETUP. INTRA_FILE_SUFFIX
StatementFileExt	AP_TRANSMISSIONS_SETUP. STMT_FILE_EXT
ExceptionFileExt	AP_TRANSMISSIONS_SETUP. EXCEPTION_FILE_EXT
IntraFileExt	AP_TRANSMISSIONS_SETUP. INTRA_FILE_EXT
CONNECTION	Stores database connection information
FileName	Stores payment file name in progress. Used only by the Transmit Payment File Program
RequestId	Stores the request ID of the concurrent program

Required, Writable Parameters

The Bank class must use hashtable predefined writable parameters to return the status of each method to the transmission program that called the method. For example, to tell the Send Payment File transmission program that the method that modifies the payment file successfully completed, you could use the following syntax:

```
table.put ( "ModifyPaymentFileStatus", Boolean.TRUE ) ;
```

The following table shows the parameters that each method is expected to write to.

Writable Parameter Name in Hashtable	Method Expected to Write to This Parameter	Comments
ModifyPaymentFile Status	public void ModifyPayment File (Hashtable)	Boolean value of TRUE or FALSE depending on whether the method was successful
SendPaymentFileResult	public void SendPayment File (Hashtable)	Boolean value of TRUE or FALSE depending on whether the method was successful
ReceiveFileResult	public void ReceiveConfirmation (Hashtable)	Boolean value of TRUE or FALSE depending on whether the method was successful
DownloadedFilesVector	public void ReceiveConfirmation (Hashtable)	This vector holds the names of all the confirmation files that the program retrieves
ReceiveFileResult	public void ReceiveStatement (Hashtable)	Boolean value of TRUE or FALSE depending on whether the method was successful
ReceiveFileResult	public void ReceiveException (Hashtable)	Boolean value of TRUE or FALSE depending on whether the method was successful
DownloadedFilesVector	public void ReceiveStatement (Hashtable)	This vector holds the names of all the statementfiles that the program retrieves
DownloadedFilesVector	public void ReceiveException (Hashtable)	This vector holds the names of all the exceptionfiles that the program retrieves

Error Handling

Each bank class method must handle all exceptions that might occur during execution of the method. The following are examples of exceptions that your methods might encounter:

- The method is trying to connect to the bank's directory and the bank does not accept the password.
- The method cannot connect to a specified directory at the bank.

If the method fails, the method must write to the method's status parameter with a value of FALSE. The list of these status parameters is in the previous section, Required, Writable Parameters, page E-8.

You can use the Utilities.WriteLogFile function if you want to log error messages in the log file of the transmission program that called the method. You can do this either for your own debugging or to provide guidance to users who submit the transmission program.

The following is an example of syntax you could use in the method that sends the payment file to the bank:

```
if(communicationProtocol.send())
    table.put("SendPaymentFileResult", Boolean.TRUE);
else
{
    Utilities.WriteLogFile( "Unable to send payment file." );
    table.put("SendPaymentFileResult", Boolean.FALSE);
}
```

Bank Class Method Descriptions

This section describes the Java methods you need to implement and describes when they are called by the transmission programs. These methods need to perform exactly the tasks described.

Each method has access to all the parameter values in the hashtable. See: Communication Between the Bank class and the Bank Transmission Programs, page E-4 . Methods should not overwrite the values of the read-only parameters.

Transmit Payment File Program

This program calls two bank class methods, one method optionally modifies the payment file and the other method transmits the payment file to your bank.

The system performs the following in the following order when a user formats a payment batch or Quick payment that uses a payment document that is set up for Automatic Bank Transmission:

- The format payment program creates a record in the AP_BANK_TRANSMISSIONS table with a status of NEW. The record contains payment file information and bank

details from the transmission code.

- A Payment Formatted event is raised to the Workflow Business Events System. This initiates the Transmit Payment File Program.
- The Transmit Payment File Program then copies the payment file to the local directory, and calls the public void `ModifyPayment File (Hashtable)` method.

public void `ModifyPayment File (Hashtable)`:

The Transmit Payment File Program, which sends a payment file to your bank, calls this method to modify the payment file that Payables creates. Modifications might include adding text, formatting, or encryption. If your bank does not need the payment file to be modified, then copy this method from the template and do not edit it.

This method should do the following, in the following order:

- Modify the payment file in the local directory according to your bank's specifications, if your bank requires it.
- Return a value in the `ModifyPaymentFileStatus` parameter indicating if the modification succeeded or failed

If the method succeeds then the Transmit Payment File Program updates the record status to `MODIFIED`. If the method fails, then the program updates the record status to `MODIFY ERROR`.

`ModifyPaymentFileStatus` parameter

The Transmit Payment File Program expects this method to provide a Boolean value for the `ModifyPaymentFileStatus` parameter. The value should be `TRUE` if the method succeeds, and `FALSE` if the method fails.

If you do not edit this method in the template, then the method simply returns a value to this parameter of `TRUE` so that the Transmit Payment File Program can continue without modifying the payment file.

public void `SendPayment File (Hashtable)`:

This method should contain all the transmission logic that the Transmit Payment File Program uses to send a payment file to your bank.

After the Transmit Payment File Program updates the payment file record to `MODIFIED`, it calls the public void `SendPayment File (Hashtable)` method.

This method should do the following in the following order:

- Send the modified payment file from the local directory to your bank.
- Return a value in the `SendPaymentFileResult` parameter indicating whether the

transmission succeeded or failed.

If this method completes successfully, the Transmit Payment File Program updates the status of the payment file record in the AP_BANK_TRANSMISSION table to SENT. The Transmit Payment File Program then uploads the modified payment file to the CLOB column in AP_BANK_TRANSMISSIONS.

If this method fails, the Transmit Payment File Program updates the record status to TRANSMISSION ERROR.

The workflow then automatically sends an e-mail notification to the workflow role specified in the payment document's transmission code stating whether the transmission succeeded or failed.

If this method fails then the user must cancel the payment batch or Quick payment and start over, because this feature does not include resend functionality.

SendPaymentFileResult parameter

The Transmit Payment File Program expects this method to provide a Boolean value for the SendPaymentFileResult parameter. The value should be TRUE if the method successfully sends the payment file to your bank, and FALSE if the method fails.

public void ReceiveConfirmation (Hashtable):

This method should contain all the transmission logic that the Retrieve Payment File Confirmations Program uses to retrieve payment receipt confirmation files from your bank and store them in a local directory.

When a user initiates the Retrieve Payment File Confirmations Program in the Submit Request window, the user specifies the bank's transmission code as a program parameter. The Retrieve Payment File Confirmations Program then calls this method.

This method should do the following in the following order:

- Retrieve all confirmations that are in the bank's remote directory exactly once. This method must guarantee that once a file is copied that it is never copied again.
- Store all the confirmation files in the local directory specified by the ConfirmationLocalDirectory parameter.
- Store the names of all the retrieved confirmation files in the DownloadFilesVector.
- Return a value in the ReceiveFileResult parameter indicating if the retrieval of the confirmation files succeeded or failed.

The Retrieve Payment File Confirmations Program then sends an e-mail to the workflow role specified in the Confirmation Recipient E-mail field for the transmission code. This e-mail tells the user whether the payment confirmation retrieval succeeded or failed. If retrieval is successful then the e-mail also includes a list of the confirmation files.

ReceiveFileResult parameter

The Receive Payment Confirmations Program expects this method to provide a Boolean value for the ReceiveFileResult parameter. The value should be TRUE if the method is successful, and FALSE if the method fails.

DownloadedFilesVector parameter

The Receive Payment Confirmations Program expects this method to store the names of the files that were retrieved from the bank in this vector parameter.

Sample code structure for this method

The following is a sample of the code structure you can use for this method. However, you can code this using your own coding standards:

```
Vector fileNameVector = new Vector();  
while (xxxxxx)  
{  
    <<<<<<Receive logic>>>>>>>>//add downloaded file to the vector  
    fileNameVector.addElement(fileName);  
}  
tables.put("DownloadedFilesVector", fileNameVector);  
table.put("ReceiveFileResult", Boolean.TRUE);
```

In the code sample above, the "while" logic example is used to store the name of the downloaded files in the required vector, "fileNamesVector". You can use your own logic to store the downloaded file names in DownloadedFilesVector, or see: Example Coding for fileNamesVector, page E-14 for an example.

```
public void ReceiveStatement (Hashtable):
```

This method should contain all the transmission logic that the Retrieve (Intra-Day) Bank Statement Program uses to retrieve (intra-day) bank statements from your bank and store them in a local directory. When a user initiates the Retrieve (Intra-Day) Bank Statement Program in the Submit Request window, the user specifies the bank's transmission code as a program parameter.

The Retrieve (Intra-Day) Bank Statement Program then calls this method. This method should do the following in the following order:

- Retrieve all (intra-day) bank statements that are in the bank's remote directory exactly once. This method must guarantee that once the file is copied that it is never copied again.
- Store all the (intra-day) bank statements in the local directory specified by the `StatementLocalDirectory/IntraLocalDirectory` parameter.
- Store the names of all the retrieved (intra-day) bank statements in the `DownloadedFilesVector`.
- Return a value in the `ReceiveFileResult` parameter indicating if the retrieval of the

The Retrieve (Intra-Day) Bank Statement Program then sends an e-mail to the user represented by the workflow role specified in the Statement e-mail address for the transmission code. This e-mail tells the user whether the (intra-day) bank statement retrieval succeeded or failed. If retrieval is successful then the e-mail also includes the file names of the (intra-day) bank statements.

The Retrieve (Intra-Day) Bank Statement Program expects this method to provide a Boolean value for the ReceiveFileResult parameter. The value should be TRUE if the method is successful, and FALSE if the method fails.

The Retrieve (Intra-Day) Bank Statement Program expects this method to store the names of the files that were retrieved from the bank in this vector parameter.

The following is a sample of the code structure you can use for this method. However, you can code this using your own coding standards:

In the code sample above, the "while" logic example is used to store the name of the downloaded files in the required vector, "fileNamesVector". You can have your own logic to store the downloaded file names in DownloadedFilesVector, or see: Example Coding for fileNamesVector, page E-14 for an example.

This method should contain all the transmission logic that the Retrieve Payment Exceptions Program uses to retrieve payment exception reports from your bank and store them in a local directory.

This method should do the following in the following order:

- Implementing the Java Bank Class
- E-13**

- Store all the bank statements in the local directory specified by the ExceptionLocalDirectory parameter.
- Store the names of all the retrieved payment exception reports in the DownloadedFilesVector.
- Return a value in the ReceiveFileResult parameter indicating if the retrieval of the payment exception reports succeeded or failed.

The Retrieve Payment Exceptions Program then sends an e-mail to the user represented by the workflow role specified in the Exception e-mail address for the transmission code. This e-mail tells the user whether the payment exception report retrieval succeeded or failed. If retrieval is successful then the e mail also includes a list of payment exception reports.

ReceiveFileResult parameter

The Retrieve Payment Exceptions Program expects this method to provide a Boolean value for the ReceiveFileResult parameter. The value should be TRUE if the method is successful, and FALSE if the method fails.

DownloadedFilesVector parameter

The Retrieve Payment Exceptions Program expects this method to store the names of the files that were retrieved from the bank in this vector parameter.

Sample code structure for this method

The following is a sample of the code structure you can use for this method. However, you can code this using your own coding standards:

```
Vector fileNameVector = new Vector();
while (xxxxxx)
{
    <<<<<<<Receive logic>>>>>>>
    //add downloaded file to the vector
    fileNameVector.add(element(fileName));
}
tables.put("DownloadedFilesVector", fileNameVector);
table.put("ReceiveFileResult", Boolean.TRUE);
```

In the code sample above, the "while" logic example is used to store the name of the downloaded files in the required vector, "fileNameVector". You can use your own logic to store the downloaded file names in DownloadedFilesVector, or see: Example Coding for fileNameVector, page E-14 for an example.

Example Coding for fileNameVector

DownloadedFilesVector is a vector of vector. The first element of the internal vector is the string file name. The second level vector is implemented to associate extra attributes about the file in the second element forward, such as isFileMeaningful. Below is a sample of how the file ABCDBank.java implements the code:

```

StringTokenizer st =
new StringTokenizer( (String)table.get( "ResultStatement" ) );
while(st.hasMoreTokens())
{
    String fileName = st.nextToken();
    Utilities.WriteLogFile( "token = " + fileName );

    if( fileName.startsWith( beginsWith )
    &&
    fileName.endsWith( endsWith ) )
    {
        table.put( type + "FileName", fileName );
        Utilities.WriteLogFile( "receveing fileName = " + fileName );
    }
    .....
    //***** RELEVANT CODE BEGIN *****

    //a vector of file name and other attributes if required
    Vector fileName = new Vector();
    fileName.addElement( downloadedFileName );//java.lang.String,
    attribute required
    fileName.addElement( isFileMeaningful );//java.lang.Boolean,
    attribute not required
    fileName.addElement( <other attributes> );

    //add fileName Vector to Vector that gets inserted in hashtable
    fileNamesVector.addElement( fileName );

    //***** RELEVANT CODE END *****
    .....
} //while

//add fileName Vector to the hashtable key as a Vector
table.put( "DownloadedFilesVector", fileNamesVector );

```

Bank Class Setup

Prerequisites

- Get all the information you need from your bank to complete the fields in the Bank Transmission Details window.
- Review this document and then get all the information you need to write the Java methods.
- Define the local directories that you use for the local payment file and the local confirmation file (which you specify in the Bank Transmission Details window) as database directories for PL/SQL file I/O. See My Oracle Support Knowledge Document 2525754.1, Using UTL_FILE_DIR or Database Directories for PL/SQL File I/O in Oracle E-Business Suite Releases 12.1 and 12.2.

To implement a Bank class:

1. Copy the Bank class template: \$AP_TOP/patch/115/readme/BankClassTemplate.txt.

2. Give the Bank class a unique name.

Tip: Use your bank name as the name of the Bank class. If you have more than one transmission setup for the same bank, and you define more than one Bank class for a bank, then name each class after the bank and add a distinguishing suffix to the file name.

3. Implement the Java methods that are called by programs you use. Include any exception handling.
4. Compile your code.
5. Make sure that the .class file you generate is in a directory specified by the \$CLASSPATH variable of the operating system.
6. Complete the fields in the Bank Transmission Details window.

In the Program field of the Bank Transmission Details window enter the name of your Bank class. This field is case-sensitive.

7. Test your code.

Index

Symbols

1099 form
 defining reporting entities, 1-108

A

Account for Gain/Loss Payables option, 1-53, 1-56

Account for Payment Payables option, 1-67

accounting
 setup
 how feature setup affects accounting, 7-1
 how system setup affects accounting, 7-1

Accounting Calendar window, 1-4

accounting entries
 Account for Payment
 Payables options, 1-67

accounting method
 accrual, cash, or combined, 1-46
 overview, 1-42
 setting up, 1-46

accounts
 defining in Financials Options window, 1-36

accrual basis accounting, 1-42

addresses
 flexible address formats, 1-8

Aging Periods window, 1-115

alerts, D-1
 Invoices on price hold, D-2
 Invoices on quantity ordered hold, D-4
 Invoices on quantity received hold, D-3
 Receipt holds, D-5

Allow Address Change Payables option, 1-67

Allow Adjustments to Paid Invoices Payables option, 1-63

Allow Distribution Level Matching Payables option, 1-66

Allow Document Category Override Payables option, 1-63

Allow Final Matching Payables option, 1-65

Allow Force Approval Payables option, 1-58

Allow Interest Invoices Payables option, 1-62

Allow Manual Withholding Payables option, 1-69

Allow Matching Account Override Payables option, 1-66

Allow Online Validation Payables option, 1-63

Allow Pre-Date Payables option, 1-67

Allow Reconciliation Accounting option, 1-52

Allow Remit-to Account Override Payables option, 1-64

Allow Void and Reissue Payables option, 1-67

alternate fields

 banks, A-4

 supplier, A-4

American Express Transaction Loader, 4-38

American Express Transaction Loader and

Validation, 4-41

AP_INVOICE_INBOUND message map, 3-7

Application Object Library

 profile options, A-7

Apply Advances Payables option, 1-60

Apply Withholding Tax Payables option, 1-70

AP Procurement Card Employee Verification Workflow, 4-15

AP Procurement Card Manager Approval

- Transaction Workflow
 - setting up, 4-23
- AP Procurement Card Manager Transaction workflow, 4-23
- approval
 - signing limits, 1-79
- Approval Processing Sequence Payables option, 1-58
- assignment
 - inactive, 1-34
- attachments, C-1
- Attachments window, C-1
- AuditTrail
 - profile option, A-7
- Automatically Create Employee as Supplier Payables option, 1-60
- Automatic Bank Transmission feature
 - Java Bank class, E-1
- automatic interest
 - payment support, 8-1
- Automatic Offset Method Payables option, 1-56
- Automatic Offsets
 - changing the setting, 8-2
 - enabling, 1-56, 8-2
- Award Number
 - defining distribution sets, 1-27

B

- Bank class, E-1
 - communication with transmission programs, E-4
 - components, E-3
 - error handling, E-9
 - method descriptions, E-9
 - read-only hashtable parameters, E-4
 - setup, E-15
 - template, E-3
 - writable hashtable parameters, E-8
- BankClassTemplate.txt, E-15
- Bank of America Visa Transaction Loader, 4-37
- banks
 - bank charges, 1-105
 - setting up, 1-102
- batch control
 - enabling invoice batch control, A-4
- bills payable
 - setting up, 5-1

- Bill-To Location Financial options, 1-41
- budgetary control
 - setting up, 8-3
- Budgetary Control Group profile option, A-6
- Business Group Financials option, 1-39
- buttons
 - disabling, B-1

C

- Calculate User Exchange Rate Payables option, 1-59
- calendars
 - accounting calendar, 1-4
 - Accounting Calendar window, 1-4
- Card Programs window, 4-6
 - setting up credit card programs, 4-6
 - window reference, 4-6
- cash basis accounting
 - setting up, 1-42
- charges
 - bank charges, 1-105
- chart of accounts, 1-3
- charts
 - profile options, A-1
 - Setting Up Oracle Payables Chart, 1-1
- closing accounting periods, 1-112
- Code Sets window, 4-4
 - defining credit card code sets, 4-4
 - window reference, 4-5
- combined basis accounting, 1-42
- Combined Filing Program Payables option, 1-68
- Confirm Date as Invoice Number Payables option, 1-63
- controlling period statuses, 1-111
- Control Payables Periods window, 1-111
- controls
 - function security, B-1
- conversion rate types, 1-4, 1-4
- countries
 - Default Country profile option, A-7
- Countries and Territories window, 1-97
- Create Debit Memo From RTS Transaction, 3-2
- Create Withholding Invoice Payables option, 1-70, 1-99
- Credit Card Management, 4-35

credit cards

- American Express Transaction Loader, 4-38
- American Express Transaction Loader and Validation, 4-41
- Bank of America Visa Transaction Loader, 4-37
- credit card code sets, 4-4
- credit card programs, 4-6
- Credit Cards window, 4-13
- credit card transaction loader and validation, 4-39
- credit card transaction loaders, 4-35
- Credit Card Transactions Loader Preformat, 4-36
- Diner's Club Transaction Loader, 4-38
- Diner's Club Transaction Loader and Validation, 4-40
- MasterCard CDF Transaction Loader and Validation, 4-39
- setting up (overview), 4-1
- US Bank Visa Transaction Loader, 4-37
- US Bank Visa Transaction Loader and Validation, 4-40
- Visa VCF 3/4 Transaction Loader and Validation, 4-40
- Credit Cards window, 4-13
 - defining credit cards, 4-13
 - window reference, 4-14
- Credit Card Transactions Loader Preformat, 4-36
- Currencies window, 1-3
- currency
 - defining, 1-3
 - Payables options, 1-58
- customizing supplier notices, 1-115

D

- daily rates, 1-4, 1-4
- debit memos
 - creating from return to supplier transactions, 3-2
- Default Country profile option, A-7
- Default Template Payables option, 1-60
- Define Trading Partners window, 3-5
- Define Transactions window, 3-4
- descriptive flexfields, 1-3, 1-3
- Diner's Club Transaction Loader, 4-38

- Diner's Club Transaction Loader and Validation, 4-40
- Disbursement Type
 - lookup, 1-24
- Discount Taken GL Account Financials option, 1-37
- Distribution Sets window
 - creating a Full Distribution Set, 1-25
 - creating a project-related Distribution Set, 1-26
 - creating a Skeleton Distribution Set, 1-26
- Distributions window
 - attachments, C-1
- document categories, 1-29
- Document Category Override Payables option, 1-30
- document sequences , 1-28
- document sequencing
 - setup
 - example, 1-32

E

- effective exchange rates, 1-59
- Employee Numbering Method Financials option, 1-40
- employees
 - entering employees as suppliers, 1-60
- Encumbrance Financials option, 1-37
- Enter Person window, 1-8
- EU (European Union)
 - VAT Member State Code for EU country, 1-97
- exchange rates
 - Calculate User Exchange Rate Payables option, 1-59
 - effective exchange rates, 1-59
 - Journals: Display Inverse Rate profile option, A-6
- Exchange Rate Type Payables option, 1-59
- Exclude Tax From Discount Calculation Payables option, 1-67
- Expense Check Address Financials option, 1-39
- Expense Interest Invoice Account Payables option, 1-62
- expense reports
 - Payables options, 1-60
 - sequential numbering, 1-29
- Expenses Clearing GL Account Financials option,

1-37

F

final matching

Allow Final Matching Payables option, 1-65

financials options overview

overview, 1-35

Financials Options window

Accounting region, 1-36

Encumbrance region, 1-37

Human Resources region, 1-39

Supplier-Purchasing region, 1-40

window reference, 1-36

flexfields

defining, 1-3, 1-3

invoice payments

setting up, 1-118

scheduled payments

setting up, 1-118

flexible address formats, 1-8

FOB (Free on Board), 1-23

Financials option, 1-41

folders

Folders:Allow Customization profile option,
A-7

foreign currency

setting up, 6-1

Freight Account Payables option, 1-65

Freight Carriers window, 1-41

freight terms

defining, 1-23

Freight Terms Financials option, 1-41

Full Distribution Set

creating, 1-25

function security, B-1

Function Security Functions report, B-1

Function Security Menu Reports request set,
B-1

funds disbursement

setting up, 1-103

Future Dated Payment Financials option, 1-36

Future Periods Financials option, 1-36

G

gain/loss

Account for Gain/Loss Payables option, 1-53,

1-56

Realized Gain Loss Account Payables option,
1-59

GL accounts

building for procurement card transactions, 4-
11

GL Account Sets window, 4-10

defining procurement card GL account sets, 4-
10

GL Date Basis Payables option, 1-64

H

holds

code types, 1-81

defining, 1-81, 1-84

Oracle Alert notices, D-1

tolerance holds, 1-80

Hold Unmatched Expense Reports Payables
option, 1-61

I

implementation

information, 1-115

Include Income Tax Type on Withholding
Distributions Payables option, 1-70

income taxes

defining income tax regions, 1-109

Income Tax Region Payables option, 1-69

Income Tax Regions window, 1-110

integration

multiple organization support, 1-119

Oracle Alert, D-1

intercompany accounting

setting up, 8-4

interest

defining interest rates, 1-96

Payables options, 1-61

interest invoices, 1-62

sequential numbering, 1-29

interface tables

Payables Procurement Card Transactions
Interface, 4-32

Invalid PO Supplier Notice

modifying, 1-116

modifying in multiple languages, 1-116

Inventory Organization Financials option, 1-41

- Invoice Approval Workflow
 - Invoice Approval process activities, 1-90
 - Invoice Lines Approval process activities, 1-90
 - Invoice Main process activities, 1-90
 - Negotiation subprocess activities, 1-94
 - setting up, 1-86
- invoice batch control
 - enabling, A-4
- Invoice Hold and Release Names window
 - window reference, 1-84
- Invoice Match option, 3-2
- invoices
 - Payables options, 1-63
 - XML invoices, 3-2
- Invoices Overview window
 - attachments, C-1
- Invoices window
 - attachments, C-1
- Invoice Tolerances window
 - deactivating a tolerance, 1-81
 - setting tolerance levels for your invoices, 1-80
- Invoice Validation
 - defining invoice hold and release names, 1-81

J

- Java Bank class
 - implementing, E-1
- journal entries
 - Journals: Display Inverse Rate profile option, A-6
- Journals: Display Inverse Rate profile option, A-6

K

- key indicators
 - special calendar, 1-72

L

- languages
 - defining lookups in multiple languages, 1-22
 - defining payment terms in multiple languages, 1-75
- laser labels
 - for Supplier Mailing Labels report
 - setting up, 1-120
- ledger

- choosing, 1-34
- ledgers
 - accounting methods, 1-46
 - defining, 1-4
 - multiple, 1-119
- Ledger window
 - choosing your primary ledger, 1-35
 - defining a ledger, 1-4
- Liability GL Account Financials option, 1-36
- Liability Payables option, 1-62
- Location window, 1-7
- lookups
 - setting up, 1-22

M

- mailing labels, 1-120
- MasterCard CDF Transaction Loader and Validation, 4-39
- Match Approval Level, 3-2
- Matching Hold Agent Notice
 - modifying, 1-116
- Match to Purchase Orders window
 - attachments, C-1
- Match to Receipts window
 - attachments, C-1
- Maximum Shipment Amount hold, 1-81
- message map
 - for XML invoices, 3-7
- messages
 - customizing credit card workflow messages, 4-17
 - customizing Invoice Approval Workflow messages, 1-89
- Method Payables option, 1-57
- methods
 - Java methods in Bank class, E-9
- Minimum Interest Amount Payables option, 1-62
- minority group
 - defining, 1-23
- MISC4
 - Include Income Tax Type on Withholding Distributions Payables option, 1-70
- Miscellaneous account
 - Financials option, 1-37
- MO: Default Operating Unit option, A-8
- MO: Operating Unit profile option, A-7

- MO: Security Profile option, A-8
- multiple language support
 - Oracle Payables Lookups window, 1-22
 - Payment Terms window, 1-75
- multiple organizations
 - MO: Default Operating Unit option, A-8
 - MO: Operating Unit profile option, A-7
 - MO: Security Profile option, A-8
 - overview, 1-119
- Multiple Organizations Reporting, 1-120
- Multiple Organization Support
 - profile options, A-7

N

- NACHA
 - electronic payment format, 1-108
- Next Automatic Employee Number Financials option, 1-40
- Notification Recipient E-mail profile option, A-4

O

- operating unit
 - MO: Default Operating Unit option, A-8
 - MO: Operating Unit profile option, A-7
 - MO: Security Profile option, A-8
- Oracle Alert, D-1
 - integration, D-1
- Oracle Applications Notifications window, 3-17
- Oracle Approvals Management
 - defining invoice approval routing rules, 1-86
- Oracle General Ledger
 - profile options, A-6
- Oracle Grants Accounting
 - defining distribution sets, 1-27
- Oracle Internet Expenses
 - applying advances to expense reports, 1-60
 - profile options, A-5
- Oracle iSupplier Portal
 - miscellaneous account, 1-37
- Oracle Payables
 - Setup and Configuration Steps, 2-2
- Oracle Payables Lookups window, 1-22
- Oracle Payables Lookups window
 - multiple language support, 1-22
- Oracle Projects
 - distribution sets, 1-26

- profile options, A-6
- Oracle Purchasing
 - creating debit memos from return to supplier transaction, 3-2
- Oracle Self-Service Web Applications
 - procurement cards
 - customizing workflow messages, 4-17
- Oracle Web Application Dictionary
 - procurement cards, 4-31
- Oracle Workflow
 - AP Procurement Card Employee Verification Workflow, 4-15
 - AP Procurement Card Manager Approval Transaction, 4-23
 - customizing messages, 4-17
 - Payables Open Interface workflow, 3-16
 - Procurement Card Transactions Approval, 4-23
 - Procurement Card Transactions Verification, 4-15
 - setting workflow timeouts, 4-17
- Oracle XML Gateway
 - processing invoice records, 3-14
 - XML invoices, 3-2
- organizations
 - defining inventory organizations, 1-8

P

- PA: Allow Override of PA Distributions in AP/PO profile option, A-6
- passwords, 1-2
- Payables Command Center
 - Descriptive Flexfields for search, 2-3
 - loading data, 2-4
- Payables Command Center Data Load, 2-4
- Payables Open Interface Import
 - loading interface tables with SQL*Loader, 4-33
 - Payables Open Interface workflow, 3-16
- Payables Options window, 1-49
 - Accounting Methods region, 1-52
 - Currency region, 1-58
 - defining Payables options, 1-50
 - enabling Automatic Offsets, 8-2
 - Expense Report region, 1-60
 - Interest region, 1-61
 - Invoice region, 1-63

- Matching region, 1-65
- overview, 1-49
- Payment Accounting region, 1-67
- Payment region, 1-67
- Reports region, 1-67
- setting up your accounting method, 1-46
- window reference, 1-51
- Withholding Tax region, 1-69
- Payables Procurement Card Transactions Interface table
 - overview, 4-32
- payables setup steps
 - summary, 1-2
- Payables System Setup window, 1-47
- Pay Group
 - defining, 1-23
 - Expense Report Payables option, 1-61
- paying
 - automatic interest, 8-1
- Payment Accounting Payables options, 1-67
- Payment Interest Rates window, 1-96
- Payment Overview window
 - attachments, C-1
- Payment Priority Payables option, 1-61
- payments
 - Payment Payables options, 1-67
- Payments window
 - attachments, C-1
- payment terms
 - calendar-based, 1-74
 - defaulting, 1-74
 - multiple discounts, 1-74
 - setting up, 1-74
- Payment Terms Payables option, 1-61
- Payment Terms window, 1-75
 - multiple language support, 1-75
 - window reference, 1-77
- Penalty type AWT rates, 1-119
- People window, 1-8
- periods
 - aging, 1-114
 - changing status of accounting periods, 1-111, 1-111
 - closing accounting periods, 1-112
 - controlling the status of, 1-111
 - defining accounting periods, 1-4
- period types
 - defining, 1-4
- petty cash funds
 - overview, 8-5
 - setting up a petty cash account, 8-5
- PO Rate Variance Gain/Loss GL Accounts Financials option, 1-37
- positive pay
 - setting up, 8-1
- posting
 - closing a period, 1-112
- Prepayment account
 - Financials option, 1-36
- Prepayment Payment Terms Payables option, 1-65
- Prepayment Remittance Notice
 - modifying, 1-116
 - modifying in multiple languages, 1-116
- print drivers, 1-20
 - setting up for the Supplier Mailing Labels Report, 1-120
- Printer profile option, A-7
- printers
 - default, A-7
- Print Invoice Notice
 - modifying, 1-116
 - modifying in multiple languages, 1-116
- print styles, 1-20
 - setting up for the Supplier Mailing Labels Report, 1-120
- process
 - funds disbursement, 1-103
- PROCESS_INVOICE_002 XML message, 3-7
- procurement cards
 - AP Procurement Card Employee Verification Workflow, 4-15
 - AP Procurement Card Manager Approval Transaction workflow, 4-23
 - building accounts, 4-11
 - configuring Web pages with Web Application Dictionary, 4-31
 - credit card profiles, 4-10
 - credit card programs, 4-6
 - GL account sets, 4-10
 - Procurement Card Transactions Interface table, 4-32
 - setting up (overview), 4-1
 - transaction status, 4-15

- Procurement Card Transactions Approval, 4-23
- Procurement Card Transactions Verification, 4-15
- profile options, A-1
 - AP: Notification Recipient E-mail, A-4
 - AP: Use Invoice Batch Controls, A-4
 - Application Object Library, A-7
 - AuditTrail: Activate, A-7
 - Budgetary Control Group, A-6
 - Default Country, A-7
 - Folders:Allow Customization, A-7
 - General Ledger, A-6
 - Internet Expenses, A-5
 - Journals: Display Inverse Rate, A-6
 - MO: Default Operating Unit , A-8
 - MO: Operating Unit, A-7
 - MO: Security Profile, A-8
 - Multiple Organization Support, A-7
 - PA: Allow Override of PA Distributions in AP/PO, A-6
 - Payables profile options, A-4
 - Printer, A-7
 - Projects, A-6
 - Sequential Numbering, 1-31, A-7
- Profile Options
 - Payables Command Center, 2-2
- Profiles window, 4-10
 - defining credit card profiles, 4-10
 - window reference, 4-11
- programs
 - American Express Transaction Loader, 4-38
 - American Express Transaction Loader and Validation, 4-41
 - Bank of America Visa Transaction Loader, 4-37
 - Diner's Club Transaction Loader, 4-38
 - Diner's Club Transaction Loader and Validation, 4-40
 - MasterCard CDF Transaction Loader and Validation, 4-39
 - Payables Open Interface Workflow, 3-18
 - US Bank Visa Transaction Loader, 4-37
 - US Bank Visa Transaction Loader and Validation, 4-40
 - Visa VCF 3/4 Transaction Loader and Validation, 4-40
 - Withholding Tax Distributions, 1-71
- project-related Distribution Sets, 1-26

- public void ModifyPayment File (Hashtable), E-10
- public void ReceiveException (Hashtable), E-13
- public void ReceiveStatement (Hashtable), E-12
- public void SendPayment File (Hashtable), E-10
- purchase order matching
 - Matching Payables options, 1-65
 - setting up, 3-1
- purchase orders
 - encumbrance, 1-39
- Purchasing Options window, 3-2

Q

- Query Driver hidden parameter, 1-125

R

- rate types, 1-4, 1-4
- Realized Gain/Loss Accounts Payables option, 1-59
- Recalculate Scheduled Payment Payables option, 1-63
- recalculating scheduled payments, 1-63
- Receiving Hold Requestor Notice
 - modifying, 1-116
- recurring invoices
 - sequential numbering, 1-29
- Reporting Currencies feature, 1-1
 - changing period status, 1-111
- Reporting Entity window, 1-109
- reports
 - sorting by alternate fields, 1-67
- reports and listings
 - Multiple Organizations Reporting, 1-120
 - reports Payables options, 1-67
 - sorting by alternate names, A-4
 - XML Inbound Invoice Process, 3-15
- request sets, 1-14, 1-14
 - XML Inbound Invoice Process, 3-15
- Require Exchange Rate Entry Payables option, 1-59
- Require Validation Before Approval Payables option, 1-58
- Reserve at Requisition Completion Financials option, 1-39
- Retrieve Bank Statement program
 - Java Bank class, E-1

- Retrieve Intra-Day Bank Statement program
 - Java Bank class, E-1
- Retrieve Payment Exceptions program
 - Java Bank class, E-1
- Retrieve Payment File Confirmations program
 - Java Bank class, E-1
- return to supplier transaction
 - setup, 3-2
- RFQ Only Site Financials option, 1-41
- Rounding account
 - Payables option, 1-60

S

- scheduled payments
 - Recalculate Scheduled Payment Payables option, 1-63
- security, B-1
- sequence
 - inactive, 1-34
- Sequence Assignments window, 1-31
- sequential numbering
 - implementing sequential voucher numbering, 1-33
 - voucher numbers, 1-27
- Sequential Numbering profile option, A-7
- setting up
 - accounting method, 1-46
 - aging periods, 1-114
 - bank charges, 1-105
 - banks, 1-102
 - bills payable, 5-1
 - countries and territories, 1-97
 - credit card code sets, 4-4
 - credit card programs, 4-6
 - credit cards (overview), 4-1
 - flexfields, 1-118
 - funds disbursement, 1-103
 - holds, 1-81
 - how setup affects accounting, 7-1
 - how system setup affects accounting, 7-1
 - intercompany accounting, 8-4
 - Invoice Approval Workflow, 1-86
 - invoice hold and release names, 1-81
 - lookups, 1-22
 - match tolerance, 1-80
 - overview, 1-1

- Payables options, 1-49
- Payables System Setup, 1-47
- payment terms, 1-74
- petty cash accounts, 8-5
- positive pay, 8-1
- procurement cards (overview), 4-1
- reporting entities, 1-107
- supplier letters, 1-115
- tolerance levels, 1-80
- withholding tax groups, 1-100
- workflow activity timeouts, 4-17
- XML invoices, 3-4
- setting up
 - financials options, 1-35
- Setting Up Payables, 2-2
- Settlement Days Payables option, 1-65
- setup
 - document sequencing
 - example, 1-32
- Setup and Configuration Steps
 - Oracle Payables, 2-2
- Ship-To Location Financial options, 1-41
- Ship Via Financials option, 1-41
- signing authority, 1-79
- Signing Limits window, 1-79
- sign-ons, 1-2
- Skeleton Distribution Sets, 1-26
- Sort by Alternate Fields
 - payables option, 1-67
- sorting
 - reports by alternate names, A-4
- source
 - defining lookup values, 1-24
- Special Calendar window, 1-72
- SQL*Loader
 - loading Payables Open Interface tables, 4-33
- summary
 - payables setup steps, 1-2
- Supplier Mailing Labels Report
 - setting up print styles and drivers, 1-120
- Supplier Payables Options
 - Supplier Region, 1-71
- suppliers
 - employees, 1-60
 - setting up supplier letters, 1-115
- Suppliers window
 - attachments, C-1

supplier type
defining, 1-23

T

tables

AP_CARD_CODE_SETS, 4-4
AP_CARD_CODES, 4-4

tax codes

defining, 1-98
defining withholding tax codes, 1-98
setting up, 1-98
withholding, 1-98

tax entities

defining, 1-109

taxes

on XML invoices, 3-14
taxpayer ID validation, 1-108

Tax Group Payables option, 1-69

Tax Information Verification Letter
modifying, 1-116

terms

payment terms, 1-74

timeouts

setting up for workflow activity, 4-17

tolerance

exchange rate amount, 1-81
Invoice Validation, 1-80
price, 1-81
setting up, 1-80
shipment amount, 1-81, 1-81
tax, 1-65, 1-80
tax amount range, 1-65

Transfer PO Descriptive Flexfield Information
Payables option, 1-66

transmission code

relationship with transmission programs and
Bank class, E-2

Transmit Payment File program

Java Bank class, E-1

transport agent, 3-6

U

US Bank Visa Transaction Loader, 4-37

US Bank Visa Transaction Loader and
Validation, 4-40

Use Approval Hierarchies Financials option, 1-40

Use Future Dated Payment Account

Payables option, 1-56

Use Invoice Approval Workflow Payables
option, 1-57

Use Invoice Batch Controls profile option, A-4

Use Multiple Currencies Payables option, 1-58

Use Pay Site's Tax Region Payables option, 1-69

Use PO Encumbrance Financials option, 1-39

Use Requisition Encumbrance Financials option,
1-38

Users window, 1-2

Use Withholding Tax Payables option, 1-69

utl_file_dir parameter, E-15

V

validation

enabling online validation, 1-63

Visa VCF 3/4Transaction Loader and Validation,
4-40

voucher numbers

implementing sequential voucher numbering,
1-33

sequential numbering, 1-27

W

window

financials options, 1-35

window reference

Card Programs, 4-6

Code Sets, 4-5

Credit Cards, 4-14

Financials Options, 1-36

Invoice Hold and Release Names, 1-84

Invoice Tolerances, 1-80

Payables Options, 1-51

Payment Terms, 1-77

payment terms restrictions, 1-79

Profiles, 4-11

windows

Accounting Calendar, 1-4

Aging Periods, 1-114

Bank Charges, 1-105

Card Programs, 4-6

window reference, 4-6

Code Sets, 4-4

window reference, 4-5

- Control Payables Periods, 1-111
- Countries and Territories, 1-97
- Credit Cards, 4-13
 - window reference, 4-14
- Currencies, 1-3
- Distribution Sets, 1-25
- Enter Person, 1-8
- Financials Options
 - window reference, 1-36
- GL Account Sets, 4-10
- Income Tax Regions, 1-109
- Invoice Hold and Release Names, 1-81
 - window reference, 1-84
- Invoice Tolerances, 1-80
- Ledger, 1-34
- Location, 1-7
- Oracle Payables Lookups, 1-22
- Payables Options, 1-49
 - window reference, 1-51
- Payables System Setup, 1-47
- Payment Interest Rates, 1-96
- Payment Terms, 1-74
 - window reference, 1-77, 1-77
- Profiles, 4-10
 - window reference, 4-11
- Reporting Entity, 1-107
- Signing Limits, 1-79
- Special Calendar, 1-72
- Users, 1-2
- Withholding Tax Certificates and Exceptions, 1-106
- Withholding Tax Groups, 1-100
- window titles
 - including currency, 1-120
 - including organization name, 1-120
- Withholding Amount Basis Payables option, 1-70
- withholding tax
 - tax codes, 1-98
- Withholding Tax Certificates and Exceptions window
 - defining a withholding tax certificate, 1-106
 - defining a withholding tax exemption, 1-107
- Withholding Tax Details window
 - defining withholding tax codes, 1-98
- Withholding Tax Distributions program, 1-71
- withholding taxes
 - creating withholding tax groups, 1-100
 - customizing automatic withholding tax, 1-119
 - defining certificates and exceptions, 1-106
 - defining income tax regions, 1-109
 - defining withholding tax codes, 1-98
 - Payables options, 1-69
 - special calendar, 1-72
- Withholding Tax Groups window, 1-100, 1-101

X

- XML Inbound Invoice Process
 - submitting, 3-15
- XML invoices
 - message map detail, 3-7
 - overview, 3-2
 - processing, 3-14
 - setup, 3-4
 - submitting the XML Inbound Invoice Process, 3-15
 - taxes on invoices, 3-14
 - transaction limitations, 3-3

